البنك الأهلي المصري
NATIONAL BANK OF EGYPT

# ANNUAL REPORT '23

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NATIONAL BANK OF EGYPT

ANNUAL REPORT 23

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# 1 About NBE

The largest bank in Egypt in terms of total assets in 2023 and a leading market position

# NBE at a Glance

The National Bank of Egypt (NBE) is the oldest commercial bank in Egypt. Since its establishment in June 1898 with a capital of GBP 1 mn. and up until today, NBE has never been in isolation from Egypt's causes or concerns. For more than 100 years, the Bank has been the lead supporter of Egypt's national economy through its contribution to the finance of mega national projects.

Throughout its long history, NBE's functions and roles have continually developed to square with the economic and political changes that took place in Egypt. Since its inauguration, NBE has been responsible for issuing banknotes and running the government's accounts. NBE's roles and activities developed later on. During the 1950s, NBE assumed the central bank's duties. In the 1960s, it acted as a purely commercial bank, alongside carrying out the functions of the central bank in the areas where the latter had no branches. Moreover, since the mid-1960s, NBE has been in charge of issuing and managing investment certificates on behalf of the government. In December 2023, NBE commanded market shares of 36.9% of total assets, 36.8% of total deposits, and 45.5% of Gross loans in the Egyptian banking sector.

NBE has always been keen to play an effective role with respect to financial intermediation and financing various sectors, in addition to rendering up-to-date banking services and products that are perfectly tailored for its esteemed customers. This aims to maintain customers' high-level trust and the Bank's leadership in the local banking market. Furthermore, the Bank constantly upgrades its branch network and e-channels and enhances the skills of its human resources via a set of advanced training programs in Egypt and abroad.



## The largest market share in the banking sector

| 36.80% | 36.9% | 45.50% |
|---|---|---|
| Total deposits | Total assets | Total loans |

| | | |
|---|---|---|
| **26,768**<br>NBE total staff | **10.5MN**<br>Prepaid Meeza cards | **20 MN**<br>NBE's total customers |
| **523,179**<br>Total POS machines | **6,797**<br>ATMs nationwide | **657**<br>Total branches, offices, and units |

# Strategic International Presence

NBE has a large network of branches, offices, and units, totaling 657 nationwide, in addition to the Bank's vital presence in most continents. NBE has a worldwide network of correspondent banks that are mostly located in Europe, Egypt's largest trading partner, as well as NBE's subsidiary, NBE DIFC LTD, in Dubai for financial advisory services.

# Salient Financial Indicators and Profitability

**Achieving Outstanding Profits in 2023**

The exceptional performance of NBE reflects its ability to sustain strong profitability for the third year in a row.

EGP
**178** bn.

Net interest income

EGP
**70.7** bn.

Net Profits

EGP
**2.3** trn.

Net loans

EGP
**5.2** trn.

Total assets

EGP
**3.7** trn.

Total deposits

EGP
**297** bn.

Total Shareholders' Equity

## Profitability Indicators

**1.4%**
Return on assets (ROA)

**23.8%**
Return on equity (ROE)

**4.03%**
Net Interest Margin / NIM

# Reaping the Gains of Three Consecutive Years of Sustained Growth

| | FY Ended in December 2021 | FY Ended in December 2022 | FY Ended in December 2023 |
|---|---|---|---|
| **Financial Position Indicators (EGP MN.)** | | | |
| Total assets | 3,233,763 | 4,370,607 | 5,233,952 |
| Net customers' loans | 1,127,422 | 1,665,601 | 2,315,315 |
| Total deposits | 2,386,450 | 3,221,627 | 3,733,203 |
| Paid-up capital | 50,000 | 50,000 | 105,000 |
| Total liabilities | 3,051,595 | 4,147,526 | 4,936,746 |
| Total Shareholders' Equity | 182,168 | 223,081 | 297,206 |
| **Income Statement Indicators** | | | |
| Net interest income | 99,144 | 111,880 | 177,941 |
| Net income from commissions and fees | 12,481 | 12,886 | 18,004 |
| Profit before tax | 66,002 | 70,803 | 126,309 |
| Net profit | 29,698 | 34,650 | 70,686 |
| **Profitability Indicators** | | | |
| Return on assets (ROA) | 0.9% | 0.8% | 1.4% |
| Return on equity (ROE) | 16.3% | 15.5% | 23.8% |

**NBE has key competitive advantages, including a robust capital base, remarkable operational flexibility, and a high-quality risk assessment portfolio.**

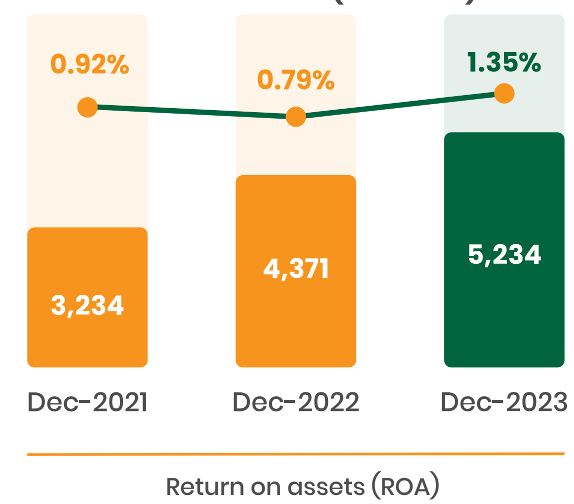
NBE's credit rating compared to Egypt's sovereign rating by international agencies and institutions:

| Institution / Agency | Egypt | NBE |
|---|---|---|
| Moody's | B-, Positive | B-, Positive |
| FitchRatings | Caa1, Positive | Caa1, Positive |
| S&P Global Commodity Insights | B-, Positive | B-, Positive |

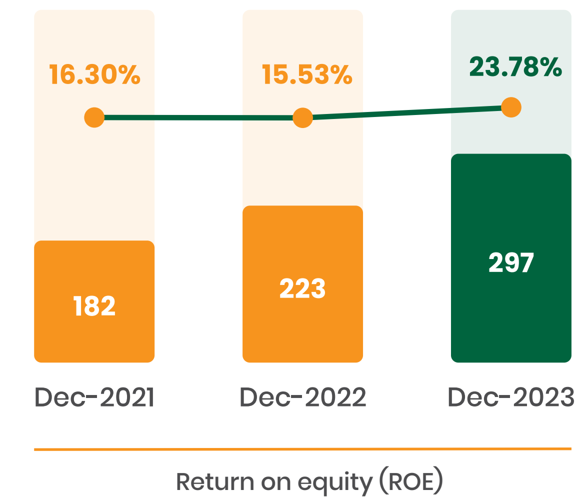


# Bank Performance Level

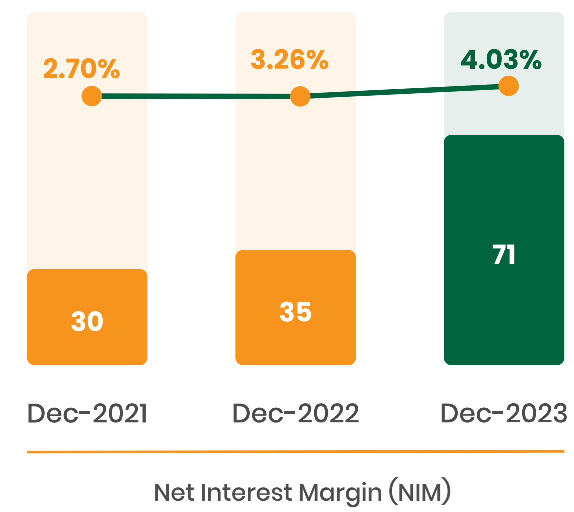
### Total assets (EGP bn.)



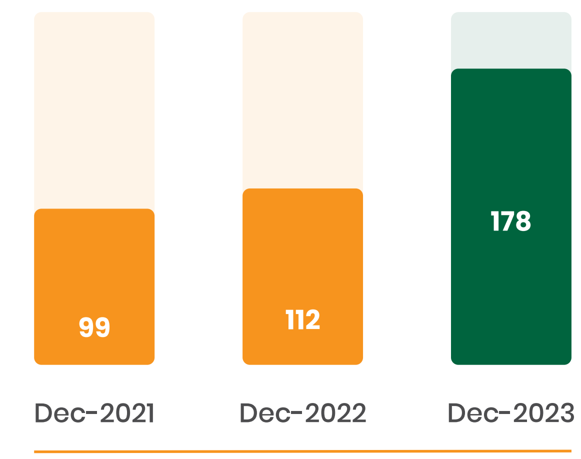

### Total Shareholders' Equity (EGP bn.)



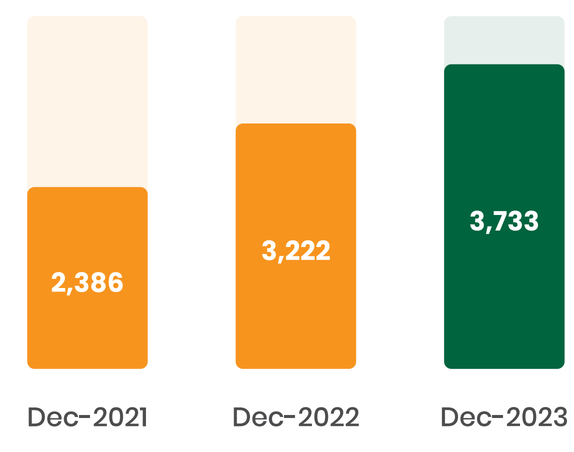

### Net profit (EGP bn.)



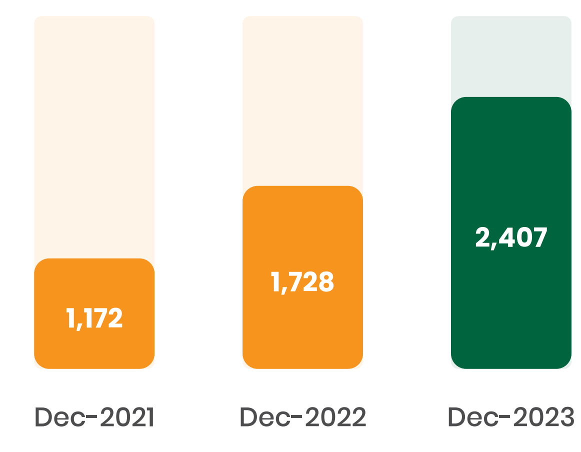

### Net interest income (NII) (EGP bn)




### Total customers' deposits (EGP bn.)




### Total loans (EGP bn.)



# Board of Directors

**Hisham Ahmed Mahmoud Okasha**
Chairman

**Yehia Abo-Elfotouh Ibrahim**
Deputy Chairman

**Dalia Abdallah Mohamed El baz**
Deputy Chairman



**Atef Helmy Naguib**
Board Member

**Sahar Mohamed Ali El-salab**
Board Member

**Ali Fahmi Ibrahim El-Saedy**
Board Member

**Ahmed Mohamed Helmy**
Board Member

**Mohamed Hany Mahmoud Salah El Din**
Board Member

**Sherif Josef Alexan Wahba**
Board Member

# Chairman's Statement

NBE's annual report for this year highlights a significant milestone in our history, as we celebrate the 125th anniversary of the Bank's establishment. For more than a century of strategic growth, we managed to expand our business and maintain the confidence of our customers and partners. Concomitantly with our anniversary, NBE further strengthened its position as one of the most prominent banking institutions in Egypt and the Middle East. Throughout this year, the Bank has successfully transformed all challenges, particularly the ones overwhelming the global economic arena, into opportunities for further growth, thanks to the pivotal role played by our dedicated team to overcome such challenges and the trust of our customers, partners, and all stakeholders.

Despite global indicators confirming a slowdown of global economic growth and the impact of the political scene in the neighboring countries on domestic economic performance, the Egyptian economy succeeded in achieving positive growth rates during FY 2023. Gross domestic product (GDP) grew 3.8% and is expected to reach 4.4% by the end of 2025 according to the forecasts of a number of international organizations.

Egypt's net foreign direct investment (FDI) inflows increased to USD 10.04 bn. in FY 2023, up from USD 8.9 bn. in the previous fiscal year. This rise is mainly attributable to the state's continued efforts to court more private and foreign investments during this year via the improving business climate in Egypt and easing regulatory procedures that hindered investment inflows to Egypt.

Throughout this report, I would like to highlight key features of NBE's role in supporting the state's ambitious development plans and promoting Egypt's Vision 2030.

### Reaping the gains of three consecutive years of sustainable growth

The year 2023 marks the culmination of three years of continuous work and development across all NBE's divisions. During this year, we managed to complete the implementation of the Bank's 2021-2023 strategy, which adopted a customer-oriented approach by delivering a unique banking experience to help NBE maintain its leadership in the Egyptian banking sector.

The objectives of this strategy centered on safeguarding and enhancing our Bank's activities in financial inclusion, achieving internal growth through maximizing profitability, and training and improving the capacities of the staff. Our strategy also focused on achieving sustainable growth, promoting the sustainable finance agenda, and enhancing digital leadership in the market through artificial intelligence (AI) tools to maximize customer satisfaction. Moreover, it emphasized the Bank's effective and positive contribution to the national economy by supporting a myriad initiatives, which, in turn, helped the Bank strengthen its leading position as a giant national bank in the Egyptian banking sector.

### Maintaining market leadership in supporting financial inclusion plans

Financial inclusion is one of the core pillars of Egypt's sustainable development strategy and Vision 2030. As NBE has the largest customer base among Egyptian banks, serving more than 20 million. customers, promoting financial inclusion was a primary pillar of the Bank's strategy. NBE has always been keen on enabling all segments of society to have access to financial products and services that cater to their various needs, especially youth, women, people with disabilities, and customers in remote areas. This reflects the Bank's ongoing commitment to being the "People's Bank".

During this year, the Bank launched a new financial inclusion strategy based on four key pillars:

1- Financial education and raising awareness of the Bank's products and services.
2- Providing a specialized banking experience and extending geographical presence.
3- Promoting digitalization by motivating customers to use digital channels in carrying out their banking transactions.
4- Protecting customers' rights.



Hisham Okasha
Chairman

Moreover, the Bank proceeded with its participation in all initiatives aimed at promoting financial inclusion, either through financial literacy efforts targeting citizens in universities, schools, and remote areas or by offering the relevant products and services, which include doorstep banking services for elderly customers and equipping branches and ATMs to serve customers with disabilities. NBE has spearheaded financial inclusion efforts by creating an enabling environment for micro-, small-, and medium-sized enterprises (MSMEs). In this vein, NBE launched "Hemma" program, which aims to support craftsmen with disabilities (visually and physically impaired persons) to have access to finance for their businesses. Furthermore, a cooperation protocol was signed with Cairo Chamber of Commerce to offer banking services to entrepreneurs, individuals, and visitors to the Chamber's premises.

### Applying best practices in sustainability and prioritizing sustainable finance

Sustainability and sustainable finance are top priorities for NBE and constitute a core element of its strategy. The Bank continuously integrates sustainability into all business models and all managerial decisions. In this regard, NBE established a sustainability committee this year, which is primarily tasked with supporting the Board in strengthening sustainability and a sustainable finance framework and embedding environmental, social, and governance (ESG) standards as a central part of the Bank's policies, strategies, and culture. In the area of disclosure, the Bank issued its first inclusive report on the progress made with respect to the Principles for Responsible Banking (PRB) in accordance with the United Nations Environment Program Finance Initiative (UNEP FI). The report highlights the progress that NBE achieved in the implementation of the PRB, reaffirming the Bank's commitment to adopting responsible banking practices, policies, and procedures. The Bank also issued a quantitative report on sustainable finance activities within the credit portfolio. The report is published on a quarterly basis starting from July 1, 2023, in line with sustainability pillars. Moreover, the Bank issues regular reports on sustainable finance and strategic sustainability in accordance with the regulations of the Central Bank of Egypt (CBE).

### Embracing digital transformation and innovation using AI mechanisms

In an era overwhelmed with increasing importance of digital innovation, NBE takes pride in its precedence in offering distinguished banking services and products for individuals and businesses. The Bank continued to provide top-notch digital services to its customers in a speedy, efficient, and perfect manner.

In 2023, NBE launched a set of digital services that enable customers to have access to all banking services without the need to visit branches, hence saving their time and reducing overcrowding at NBE branches. These services include the launch of a new version of the "NBE PhoneCash" wallet application to comply with the requirements of the CBE, offering seven new features, such as requesting a six-month account statement for the previous period, inquiry about the existence of an active wallet, viewing the service tariffs, etc.

With respect to online and mobile banking services for individuals and businesses, the Bank upgraded its existing services and launched new services in 2023. A new feature was added to NBE's online and mobile banking platform, allowing users to book branch appointments through a link on the Bank's official website. Updates also include creating a subscription to the online statement of account service and customers' applications for secured loans against Al Ahly Plus certificates via the self-service option on the Bank's website.

### Achieving exceptional financial performance

NBE achieved exceptional results in all respects in 2023. Net profit before tax reached EGP 126 bn., while net profit after tax amounted to EGP 70.7 bn., growing 104% compared to the previous fiscal year. Shareholders' equity also recorded a remarkable increase of 33%, reaching EGP 297 bn. by the end of 2023.



In parallel, the Bank's total assets grew 20% YOY, amounting to EGP 5.23 trillion, while total deposits rose to EGP 3.7 trillion, recording a growth rate of 16% and a market share of 36.8% as at December 2023.

NBE's loan portfolio grew 39%, reaching EGP 2.4 trillion as at December 2023, compared to EGP 1.7 trillion YOY. Our corporate banking portfolio saw a significant increase of 41%, rising to EGP 2.1 trillion as at December 2023, up from EGP 1.5 trillion as at December 2022. On the other hand, the retail banking portfolio recorded a 28% growth, accounting for EGP 291.7 bn. as at December 2023, versus EGP 227 bn. as at December 2022.

### Investment in human capital

For several years, NBE has been committed to the capacity building of its human resources. This commitment is most evident in the exceptional caliber of talents recruited every year, who positively contribute to pushing the Bank forward. This year, NBE proceeded with its strategy of intensive investment in building the capabilities of its employees, ensuring that they are equipped with the necessary skills to fully keep abreast with local and global developments. An extensive array of high-quality training programs was implemented, which significantly enhanced staff productivity. A total of 322,000 learning opportunities were provided, including 225 training programs abroad. The Bank adopted AI tools to design customized training paths focused on managerial skills, enabling the selection of appropriate competencies and topics that are commensurate with global trends.

It is worth noting that our focus on investing in human capital remains a main pillar of our strategy. We are proud of NBE's leadership in promoting diversity and inclusion, as the Bank continues to be an employer of choice. In 2023, the Bank made progress in addressing gender mainstreaming, with female employees accounting for 31% of its total workforce, up from 30% in 2022. Additionally, young employees aged 20-40 years constituted 73% of the total staff headcount in 2023, compared to 70% in 2022.

Finally, I would like to extend my sincere gratitude and appreciation to the Bank's employees for their unwavering dedication, efforts, and expertise in achieving each of our strategic objectives. I would also like to thank our customers and partners for their continued trust and loyalty to the Bank. I look forward to seeing this success as a springboard for further achievements and uninterrupted efforts to serve our community and beloved country while bolstering NBE's leading position at the top of the Egyptian banking sector.

# A Year of Significant Achievements

| Q1 2023 | |
|---|---|
| **January** | NBE launched the new Meeza card for university students under the name “Unified Meeza” in collaboration with Al Azhar University to provide a comprehensive bundle of advantages tailored to meet the needs of university students. |
| **February** | NBE signed a strategic partnership agreement with MasterCard International with a view to supporting digitalization in the Egyptian financial sector, offering innovative and advanced payment solutions and achieving financial inclusion in Egypt. |
| **March** | According to Brand Finance’s brand value ranking of top 10 brands in Egypt in 2023, NBE came first in the list of the strongest brands in Egypt in 2023, with a value of USD 478 mn. |

| Q2 2023 | |
|---|---|
| **April** | For the 10th year in a row, NBE managed to maintain its status as the first bank in Egypt to receive the Payment Card Industry Data Security Standard (PCI DSS V3.2.1) Certificate, which is a certificate of compliance with security standards issued by Visa and MasterCard. |
| **May** | NBE launched the “Appointment Booking Service”, allowing all customer segments to book appointments at certain branches through NBE's official website with streamlined steps. |
| **June** | In 2023, NBE managed to maintain its leading position by obtaining the ISO 9001:2015 certification for its legal group quality management for the second year in a row, making it the first bank in Egypt, Africa, and the Middle East to receive such certification. |



| Q3 2023 | |
|---|---|
| **July** | NBE launched a Call Center service exclusively for SME customers to meet the needs of this segment.<br><br>NBE inked a cooperation protocol with the United Nations Industrial Development Organization (UNIDO) to support medium and small enterprises (SMEs). |
| **August** | NBE launched a new USD bancassurance product, “Maash Bokra”, for Egyptian expatriates, in cooperation with Misr Life Insurance Company. |
| **September** | NBE issued the first inclusive and integral report in the banking sector on the PRB according to the UNEP FI. |

| Q4 2023 | |
|---|---|
| **October** | NBE was named the Best CSR Initiative Bank in Egypt - 2023 by the International Business magazine. |
| **November** | NBE obtained the prize of the Best Bank for Syndicated Loans in Egypt from the Global Business Outlook magazine. |
| **December** | NBE ranked first in the African and Egyptian banking markets as a facility agent and lead arranger by the end of 2023, according to Bloomberg. |

# NBE's Awards

**Brand Finance**

- NBE ranks 315th among the banking brands with the highest value worldwide in 2023

**International Finance**

- Best Retail Bank 2023
- Best Bank for SME 2023

**The Asian Banker**

- Best Retail Bank 2023

**Cosmopolitan The Daily**

- Best Funding for Green Project in Egypt 2023
- Best Bank for Trade Finance in Egypt 2023

**World Business Outlook**

- Best Digital Bank in Egypt 2023
- Best Retail Bank in Egypt 2023
- Best Bank for Trade Finance in Egypt 2023

**Gazet International**

- Best CSR Bank 2023
- Best Banking Brand in Egypt 2023
- Best Trade Finance Provider in Egypt 2023



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Most Professional Banks in Egypt 2023
International Business Magazine prizes 2023

Most Trusted Brand in Egypt 2023
International Business Magazine Prizes 2023

Best CSR Initiative Bank - Egypt 2023
International Business Magazine Prizes 2023

Best Brand in Egypt 2023
International Business Magazine Prizes 2023

Best Syndicated Loans and Project Finance Provider - Egypt 2023
International Business Magazine Prizes 2023

Best Advertising Campaign in Egypt 2023
Global Brands Magazine

Best Bank for Eco-friendly Financing Initiative in Egypt 2023
Global Brands Magazine

Best Bank for Syndicated Loans in Egypt 2023
Global Brands Magazine

# Sustainability in NBE

## Key Achievements in 2023

### Social Pillar

- **Accessibility:**
  - Enhancing marginalized segments' access to banking services and empowering individuals and small enterprises by designing products and services that target customers with different backgrounds and diverse needs.
  - Achieving diversity and inclusion through a diverse workforce and ensuring equal treatment of all customers, which provides convenient social and economic opportunities.
- **Capacity building:**
  - Capacity building of 100% of the Bank's employees in the field of sustainability and sustainable finance, while focusing on relationship managers to identify opportunities of cooperation with customers and guide them with respect to sustainable finance.
- **Growth in economic and social sustainable finance portfolio:**
  - Categorizing the social activities of the sustainable finance to increase sustainable finance percentage of NBE's total portfolio.
- **Further job opportunities and improved quality of life:**
  - Creating job opportunities through partnerships with educational institutions, introducing training programs and investing in social projects that target improving quality of life.
- **Impact assessment:**
  - Measuring the Bank's social and economic impact, assessing the economic and social outputs of NBE's different projects and investments using certified assessment tools, and enhancing continued improvement.



### Environmental Pillar

- **Internal operations:**
  - **Solar energy:** expanding the installation of solar energy panels on the roof of NBE branches to enhance the usage of renewable energy and mitigate NBE's carbon footprint.
  - **Smart measurement**: by remotely monitoring electricity meters.
  - **Green goals**: setting annual goals for reducing emissions that align with NBE's comprehensive sustainability strategy, which paves the way for a greener future.
  - **Circular economy**: adopting the ISO 14001 Environmental Management System to prioritize circularization in NBE's banking operations and enhancing resource efficiency.
- **Sustainable finance:**
  - **Sustainability assessment:** unifying the categorization of NBE's sustainability portfolio, ensuring compliance with CBE regulations and enhancing transparency.
  - **Creating green products:** establishing a comprehensive strategy to promote green financial products for NBE's diverse customer base and enabling them to take sustainable decisions.
- **Capacity building:**
  - **Sustainability education:** offering training and awareness programs that target customers, as well as employees, with respect to sustainable projects and climate change risks, and providing them with the required knowledge to deal with the current situation.
  - **Commercial compliance:** providing specialized training for customers on regulations related to exports, such as CBAM, and facilitating their participation in international markets while reducing negative impact on the environment.

### Governance Pillar

- **Sustainability and sustainable finance policies:**
  - Including environmental and social pillars and governance rules in NBE's strategies and policies to achieve sustainable benefits for both entrepreneurs and the entire community.
- **Environmental and Social Management System (ESMS):**
  - Developing and assessing ESMS.
- **Governance of sustainability data:**
  - Automating the sustainability and sustainable finance data covering allof NBE's business units.

# 2 NBE's Strategic Orientation

The largest bank in Egypt in terms of total assets in 2023 and a leading market position

# NBE's Strategic Orientation

## Our Mission

To remain the leading entity in the Egyptian banking sector. It aims to maximize the efficiency of financial intermediation and promote financial inclusion while safeguarding depositors' funds and maximizing returns to shareholders. This in return supports the development of the national economy and enhances the stability of the financial system.

### Our Strategy During 2021-2023

#### 1. Lead the market into financial inclusion

NBE has the largest customer base of total banking-sector customers, accounting for 42.1% by the end of December 2023. NBE relied on a total of 657 branches to provide its services nationwide (10% of which is specifically designed to cater to the needs of people with disabilities).

#### 2. Integrate sustainability into NBE's core activities

- Issuing 3 GRI sustainability reports.
- Issuing the first NBE Social Impact Report and the first Environmental Footprint Report.
- Issuing the report of the United Nations Environmental Program Finance Initiative (UNEP FI) on the principles of banking services.

#### 3. Enhance a seamless digital customer experience through AI integration

NBE started to include many self-services on its website, which enabled customers to carry out transactions without having to visit NBE branches.

#### 4. Focus on profitability, high performance, and cost optimization

NBE's net profit reached EGP 70.7 bn. by the end of December 2023, with a growth rate of 104% compared to December 2022.

#### 5. Create a customer-centric organization

The quality of the Call Center service exceeded 90% as NBE launched a service specifically designed for SME customers.

#### 6. Continue to play a national role and contribute to major governmental and Central Bank of Egypt (CBE) initiatives

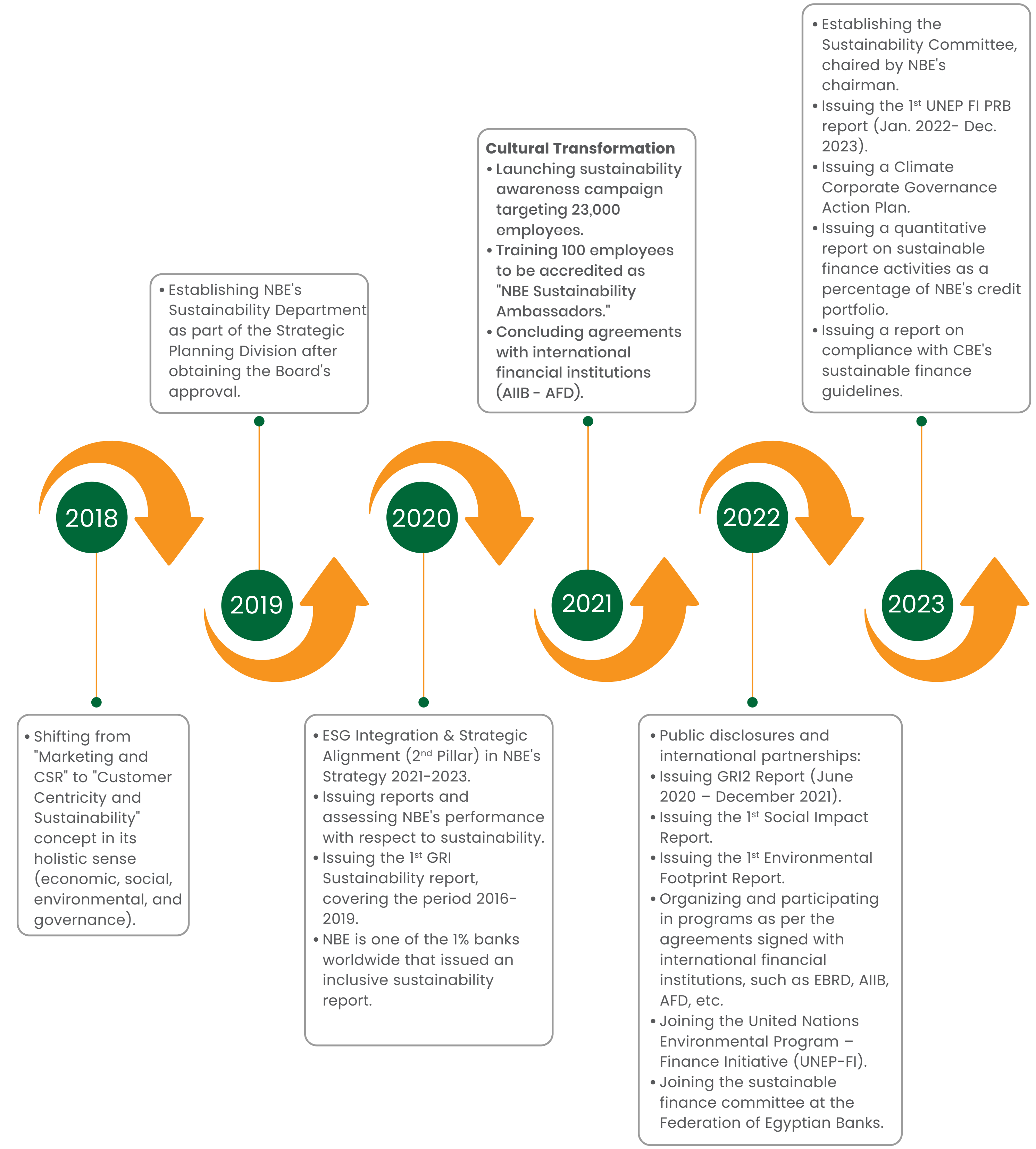
NBE contributed with an amount exceeding EGP 5 bn. to support 117 beneficiaries under the tourism initiative and EGP 86 bn. for 98,000 customers under the SMEs initiative until December 2023. Accordingly, NBE is considered the largest contributor to similar initiatives from the banking sector.

#### 7. Focus on Employees Wellbeing, Talent & Productivity

NBE targets developing the competencies and skill sets of its employees through providing them with different training opportunities The Bank Provided 322 training opportunities via different platforms to 94% of its total employees.



# Moving Forward with Sustainability



# 3 NBE's Key Operations

A global strategic approach to enhance liquidity flows and investment and streamline trade transactions

# Large Corporate Banking Group

The year 2023 witnessed many significant challenges that overwhelmed the world and that, undoubtedly, had a significant impact on the Egyptian economy and banking sector. The repercussions of the COVID-19 pandemic and the subsequent supply chain crises of goods and products carried on. Moreover, the implications of the Russo-Ukrainian war persisted, with subsequent rise in inflation rates and tightening of monetary policy by central banks through raising interest rates. The war on Gaza at the end of the year also had direct adverse consequences on Egypt's economic sectors, most notably tourism, investments, and Suez Canal revenues.

Despite all these challenges, NBE's Corporate Finance and Syndicated Loans Group made a remarkable achievement in 2023. The Bank witnessed considerable development and high growth rates with respect to credit facilities extended to customers, enabling it to maintain its leading position in this area, with a market share (including SMEs loans) of 48.5% (by the end of December 2023) of total banking sector facilities. The direct finance portfolio increased by EGP 598 bn., with a 44% increase, reaching EGP 1.96 trillion as at the end of December 2023, compared to EGP 1.36 trillion year-on-year.

## Total Large Corporate Loans (Direct and Indirect)

**EGP 2.1 trillion**

With a 48.5% market share at end of December 2023

**EGP 1.50 trillion**

With a 46.1% market share at end of December 2022

1. NBE ranked $1^{st}$ as the Best Bank in the African and Egyptian banking market for its various roles as a facility agent, lead arranger, documentation bank, and book runner of syndicated loans.
2. NBE also ranked $1^{st}$ as a documentation bank, $2^{nd}$ as a book runner of syndicated loans, $3^{rd}$ as a lead arranger, and $4^{th}$ as a facility agent in the Middle East and North Africa (MENA) region.

Bloomberg



# Small and Medium Enterprises

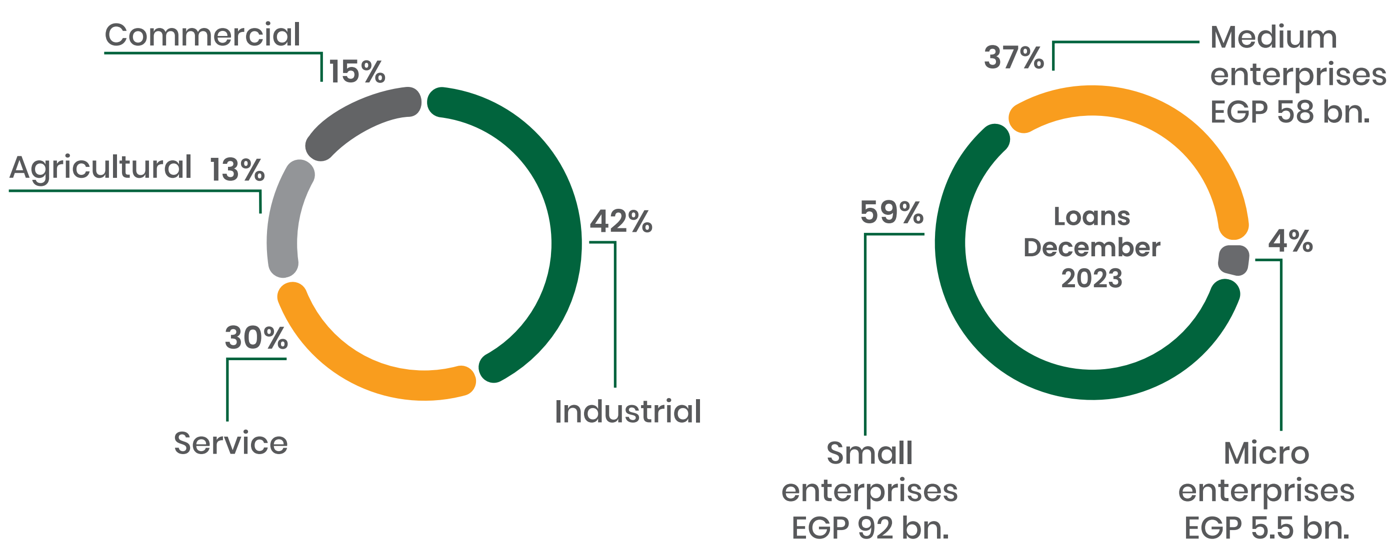
## I. Small and Medium Enterprises (SMEs) Group

NBE pursued its efforts focused on supporting the small and medium enterprises (SMEs) sector, given the critical importance of this sector in the economy at large.The SMEs sector is capable of achieving integrated and balanced economic development, creating jobs and curbing unemployment that many countries, including Egypt, are struggling to address. Therefore, NBE embarked on establishing itself as one of the leading providers of financial and banking solutions for this segment.

The total SMEs (direct and indirect) loan portfolio reached EGP 156 bn. as at the end of December 2023, of which 7% was indirect loans amounting to EGP 10.6 bn.

**Analysis of the SMEs (direct) loan portfolio in December 2023**

**Loans in December 2023**




**The industrial sector ranked first, capturing 42% of total SMEs loan portfolio.**

## II. Business Development Sector

### I. External Partnerships:

#### Activating partnership with the European Bank for Reconstruction and Development (EBRD) on:

**Youth in Business (YiB) programme**

- All training courses were completed, which accounted for 18 courses since the programs inception, resulting in the training of 300 business owners (in 2023, three courses were concluded, resulting in the training of 51 business owners).
- Some 72 advisory services were provided to young entrepreneurs.
- The credit line amounting to USD 30 mn. was allocated.
- Partnerships with other entities, such as the Chamber of Engineering Industries (CEI), the Food Export Council (FEC), and the Chamber of Plastic Industries, were enhanced by providing the program to members who are young business owners.



**Skills in Business (SiB) programme**

- The finance amount offered to the SiB programme members amounted to EGP 508.3 mn., i.e. equivalent to USD 20 mn.

#### Formalizing the partnership with the United Nations Industrial Development Organization (UNIDO)

- A solar energy convoy was sent to Qena and Luxor governorates, where meetings were held with four associations, during which the product for financing the modernization of irrigation system and solar energy applications was presented by NBE, with a view to engaging farmers and landowners with the Bank.
- An introductory workshop was held in the industrial zones in Qena, during which the project consultant explained the opportunities for energy savings and production systems modernization, in addition to demonstrating green financing and technical support provided by NBE.
- NBE participated as a strategic partner in the Green Business Expo 2023 held in Luxor, where the Bank's financial and non-financial services were promoted to 70 exhibitors.
- A solar energy convoy was sent to Qena and Luxor governorates, where meetings were held with two associations, explaining the financial and non-financial solutions offered by NBE for the agricultural sector. Additionally, a UNIDO consultant clarified solar-powered irrigation systems (SPIS) and the relevant costs and benefits. The Bank's product tailored for financing SPIS projects was also presented. The convoy was conducted over two days and welcomed 100 farmers who could be potential beneficiaries of such systems.

#### Activating the partnership with the International Finance Corporation (IFC)

- NBE helped bring the finance provided under the Irrigation System Modernization and Solar Energy Applications Program to EGP 225 mn. for 226 customers.

#### NBE's participation in the Trade Reform and Development in Egypt (TRADE) project, funded by the United States Agency for International Development (USAID)

- Training was conducted for 20 business development specialists at NilePreneurs business development services (BDS) hubs on the technical support services provided by the project.
- An intensive workshop was held for business development specialists and presented by a consultant specialized in assisting companies in exporting and opening up external markets.
- A second workshop was held for business development specialists, and presented by a consultant specialized in assisting companies in exporting and opening up external markets.

#### German Agency for International Cooperation (GIZ)

- A cooperation protocol was finalized with the German Agency for International Cooperation (GIZ) to provide free four training programs to NBE's SME customers.

### SANAD Fund for MSMEs

- A number of meetings were held with SANAD Fund to provide non-financial services to NBE's SME customers. The terms of the cooperation are currently being formulated.
- Discussions are underway to provide NBE's SME customers with training and consulting on corporate governance (for 100 beneficiaries, free of charge), followed by mentoring sessions.

### French Development Agency (AFD-FiC)

- Two customers were referred to obtain finance, with total required facilities, of EGP 380 mn.
- Three customers were referred to obtain finance, with total required facilities, of EGP 70 mn.
- The referred cases received AFD's initial technical approval, which enabled the Bank to withdraw EUR 13.3 mn.

## II. Non-financial services and NilePreneurs hubs:

### Arab Academy for Science, Technology and Maritime Transport (AAST)

- Several meetings were held with respect to the protocol signed between the Bank, the AAST, and the Rally Startup Competition for the third year in a row.
- Some 1,900 projects applied to enter the Rally Startup Competition through the students track from 20 different Egyptian universities.
- Participation and presentation of financial and non-financial services at the Rally Accelerate Mentorship Boot Camp.
- Participation in the closing ceremony of the Rally Startup Competition 2023 in El Alamein city.

### MicroMentor

- Coordination was made with the European Bank for Reconstruction and Development (EBRD), in partnership with MicroMentor. A platform for NBE was launched, through which consulting services are provided free of charge.

### Opening 10 NilePreneurs units

- Ten NilePreneurs offices were started up at medium enterprises credit hubs (Quweisna Industrial Zone Branch - Monieb Branch - Ismailia Branch - Alexandria Branch - Zagazig Branch - Aghakhan Branch - Sadat City Branch - Aswan Branch - Beni Suef Branch - Mansoura Branch).

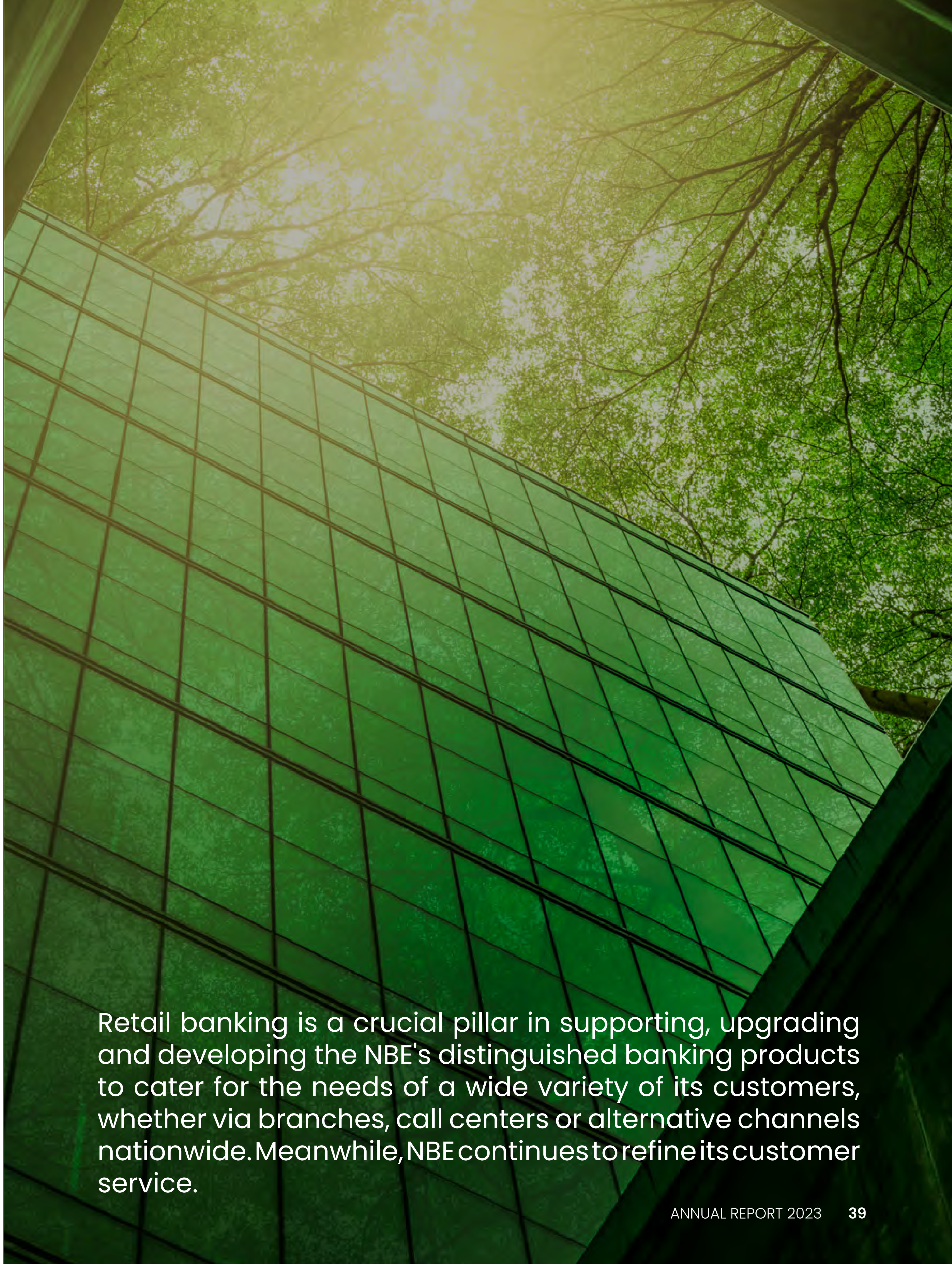
### NilePreneurs hubs

- The total number of new customers benefiting from BDS services provided through BDS hubs reached 12,800.
- Workshops and seminars: 181 training seminars were held for a total of 8,270 customers.

## III. SMEs Marketing Call Center (15011)

- The service was launched, and the promotional plan was released.
- Calls from 7,124 customers were received, through which they inquired about the finance programs and non-financial services provided to SME customers.





Retail banking is a crucial pillar in supporting, upgrading and developing the NBE's distinguished banking products to cater for the needs of a wide variety of its customers, whether via branches, call centers or alternative channels nationwide. Meanwhile, NBE continues to refine its customer service.

# Retail Banking Group

- Retail banking is a crucial pillar in supporting, upgrading, and developing NBE's distinguished banking products to cater for the needs of a wide variety of its customers, whether via branches, call centers, or alternative channels nationwide. Meanwhile, NBE continues to refine its customer service.

**EGP 291.7 bn.**
With a 31.7% market share at end of December 2023

**EGP 227.1 bn.**
With a 30.2% market share at end of December 2022

## Products and Financial Inclusion

### Card Products

### Credit Card Products

**1.64 mn. cards (63.9% activation rate)**
With a 29% market share at end of December 2023

**1.57 mn. cards (64.36% activation rate)**
With a 31.2% market share at end of December 2022



### Prepaid Cards and Financial Inclusion


- The number of prepaid cards reached 11.8 mn. by the end of December 2023. Meeza prepaid cards accounted for 90% of the prepaid card portfolio.
- NBE managed to achieve a 43% growth rate in total card utilization compared to the previous year, reaching EGP 72.8 bn. by the end of December 2023.
- NBE launched the Meeza prepaid card product "Meeza Corporate Prepaid Card" in two types (i.e. closed and semi-closed). Total card issuances (including all four types) reached 6,000, with an average balance of EGP 2.7 mn. standing to the credit of the card accounts.
- Meeza card issuance was expanded to include conscripts in the Armed Forces, with 143,000 cards issued. In 2023, total deposits and transfers made using Meeza cards amounted to EGP 407 mn., in light of the cooperation established with the Armed Forces Financial Affairs Authority as a service provider for Meeza cards.
- The Unified Meeza Prepaid Card for University Students started to be issued, where agreements with 12 universities were concluded and 110,000 cards were issued. The card's issuance is currently being scaled up.
- Service provision agreements were concluded on a wider scope, in coordination with the Central Bank of Egypt (CBE), for Meeza prepaid card services and financial inclusion accounts. Twenty-five new service providers were listed, including Nour Al-Baseera Association as the first service provider of financial inclusion accounts for customers with disabilities. The total number of service providers reached 54, with a total of 927,000 Meeza prepaid cards issued and 2,634 financial inclusion accounts opened.
- NBE's participation in CBE's financial inclusion initiatives throughout the year (six initiatives) was promoted, where 236,000 accounts were opened and 809,000 prepaid cards and 104,000 mobile wallets were issued.

### Direct Debit Cards

**7.44 mn. cards**
With a 29.4% market share at end of December 2023

**6.96 mn. cards**
With a 29.2% market share at end of December 2022

- In 2023, total utilizations amounted to EGP 459.9 bn., including EGP 78.7 bn. in purchases, with a 32% growth rate year-on-year. Purchases accounted for 17% of total debit card utilization.

### Business with International Corporations

mastercard

- The Customer Business Agreement (CBA) with MasterCard was renewed, with total incentives of USD 100 mn., of which USD 9.4 mn. was received in 2023 as a signing bonus and other incentives for the first year.
- NBE issued Visa contactless bracelets for customers holding Visa Infinite and Visa Signature credit cards.

## National Projects and Auto Loans

**EGP 20 bn.**
**Mortgage finance portfolio**
at end of December 2023 to 152.4 thousands customers

**EGP 3.4 bn.**
**Vehicle replacement initiative**
at end of December 2023 to 12.8 thousands customers

## Personal Loans

**EGP 64 bn.**
**Unsecured personal loans**
at end of December 2023 to 668 thousands accounts

**EGP 170.4 bn.**
**Secured personal loans**
at end of December 2023 to 966 thousands accounts

- NBE launched the unsecured personal loan product for Egyptian expatriates against the assignment of foreign currency (the portfolio amounted to EGP 129 mn. for 156 customers).
- NBE introduced three new personal loan programs aligned with the alternative methods for calculating monthly income, based on savings balances, I-Score, and the doctors' program.
- NBE made borrowing available in Egyptian pound against the new USD Al Ahly Plus Certificate (the portfolio amounted to EGP 1.2 bn. for 1,660 customers).

## Savings Products

- Some EGP 201 bn. savings products (retail) balances were added to the balances of December 2022, amounting in total to EGP 2.544 trillion as at December 2023.
- The Platinum Annual Certificate (25%, 22.5%) was launched.
- The Platinum Certificate with Step Down Interest was launched.
- Al Ahly Fawran and Al Ahly Plus Certificates were launched.
- Paper and electronic statements of account were developed and modified.

## Bancassurance Products

- New bancassurance products were launched in cooperation with Misr Life Insurance (MLI) Company, i.e. six products comprising four policies that offer protection and investment and two policies that provide protection only.
- Maash Bokra product was launched in USD.
- Sales amounted to EGP 8.66 bn., with 267,000 insurance policies sold.
- Banccassurance service is currently provided through 250 NBE branches, in cooperation with MLI Co.

## Payroll Products

- The number of cards totaled 5 mn. in December 2023 (i.e. 2.7 mn. Ahly Payroll cards and 2.3 mn. government cards).
- Meeza cards were launched for corporate payroll accounts.

## Distribution Channels

ATM

## Digital Wallets and Payments

### E-Wallet – NBE PhoneCash:

### Market Share in Egypt

### No. 1 Among Banks

- The total number of subscribers reached 1.6 mn. as at the end of December 2023.
- The number of customers who activated the service (i.e. carrying out financial transactions within 90 days) out of the total number of wallet subscribers reached 263,000 in December 2023, at an activation rate of 16%, which exceeds the CBE's activation rate set at 10%.
- In 2023, total financial transactions accounted for EGP 21.4 bn., with a 37% increase compared to the same period last year (from January 1, 2022 to December 31, 2022).


The largest market share among banks in Egypt



## New Services Launched in 2023

- A new version of the NBE PhoneCash application was released, in compliance with the CBE's requirements. It features seven new services, including requesting a six-month statement of account for a previous period, inquiring about an existing wallet, checking tariffs for provided services, etc.
- Receipt of foreign remittances through NBE's agents on NBE PhoneCash was made available. Remittances are credited instantly to the wallet.

## Orange Cash Wallet

- The Orange Cash wallet is managed by NBE. The number of its subscribers reached 5.34 mn. as at the end of December 2023, with financial transactions amounting to EGP 71.12 bn. in 2023.
- New services were launched in 2023:
- Receipt of foreign remittances through NBE's agents on Orange Cash wallet.

## EasyCash Wallet

- EasyCash wallet is managed by NBE.
  - E-collection of e-Finance service charges.
  - Microfinance.
  - A suite of services in compliance with CBE's requirements.

## Instant Payment Network (IPN)

- The total number of NBE's customers subscribing to the service accounted for 1.86 mn. as at the end of December 2023, with 1.37 mn. active customers.
- Some 42.6 mn. outgoing transfers were carried out by NBE customers, at a total value of EGP 198 bn., in addition to 30.6 mn. incoming transfers received by NBE customers at a total value of EGP 230.1 bn.

## The application's second phase services were launched, including:

- Bill payment and donations through NBE accounts.
- Transfers to all card types, including credit and debit cards of international corporations.
- Cardless ATM withdrawal (pilot phase).

## Internet and Mobile Banking Services for Retail and Corporate Customers

**Retail customers**
**7.69 mn. subscribers**
at end of December 2023

**Corporate customers**
**101.9k companies**
at end of December 2023

## Upgrading Internet and Mobile Banking Services

**Some modifications were introduced to Al Ahly Net and NBE Mobile services, as existing services were updated and additional services were launched in 2023, as follows:**

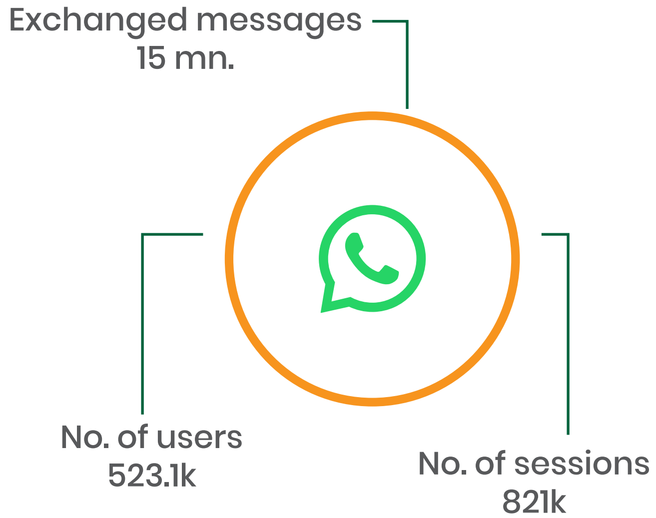
- Merchant Payment service in cooperation with OPay.
- Adding a link to the internet and mobile banking services for appointment booking at available branches.
- Using the International Bank Account Number (IBAN) to make transfers to another

NBE customer.

### Self-Services on NBE’s Official Website

- Subscription to the e-statement of account service through "Self-Services" on NBE’s website was upgraded.
- Application for loans secured by Al Ahly Plus certificates was made available.

### WhatsApp Banking Service




### “Open Your Account Whenever, Wherever” Service

- Egyptians who are at least 21 years old can apply for opening accounts through NBE’s website or through internet or mobile banking services.
- NBE offers two options for obtaining the customer’s physical signature:

1. Requesting a personal visit by an NBE employee to the place specified by the customer. This service is available only to females (to support women empowerment), the elderly (60 years old and above), and persons with disabilities, provided that they can read and hear (corporate social responsibility “CSR”).
2. Visiting one of NBE’s e-service branches at the time and date specified by the customer (a debit card can be instantly issued and received at select branches where service is available).

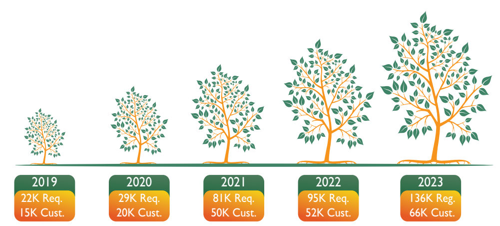
- Visiting one of NBE’s traditional branches.
- About 20,474 account opening applications were received through the service as at the end of December 2023, compared to 15,380 applications a year earlier, with a 25% increase. The total number of applications submitted at traditional branches reached 13,985, compared to 5,632 at e-service branches. Some 857 requests were received for personal visits by an NBE employee (home visits).

### E-Service Branches

**The instant debit card issuance service was made available.**

- The instant debit card issuance service continues to be available and operational for new customers through the Bank’s network of e-service branches (30 e-branches + the bus branch).
- Printed debit cards accounted for 9,500 cards.
- Some 5,628 cards were issued through the service from January to December 2023.

39
Electronic points




**Cost Savings and Sustainability Promotion**

**Cost Savings And Sustainability Promotion**

Average total cost savings due to using different digital channels instead of visiting branches and contacting the call center

**EGP 2.7 Bn.**

Availability of banking services through digital channels contributes to the global ecosystem.

**"Go Green For Sustainability"**

Cost Per Trx @ EGP 37.4 For Cs
Cost Per Trx @ EGP 30.3 For Tellers
Cost Per Trx @ EGP 16.6 For Call Center



The availability of banking services through digital channels contributes to the global ecosystem.
Go Green for Sustainability.

# Financial Inclusion Sector

- Financial inclusion is about making financial services available to various segments of society, including institutions and individuals, and enabling them to use these services by providing financial services of appropriate quality and reasonable prices through official financial channels.
- NBE is always keen to support the state's endeavors to achieve financial inclusion, which aims to enable all segments of society to access financial products and services that meet their various needs. NBE participated in several initiatives and events that promote such efforts.

## General framework of financial inclusion strategy in accordance with CBE's instructions

| | |
|---|---|
| Financial literacy and consumer protection. | Offering a specialized banking experience and enhancing geographical reach. |
| Creating a business environment for micro, small, and medium enterprises (MSMEs) and entrepreneurs. | Digital financial services. |

Vision: Economic empowerment of all segments of society through an inclusive formal financial system that offers quality, cost-effective products and services based on equality of access to achieve sustainable growth.

## NBE's achievements in financial inclusion until December 2023

### Pillar I: Financial literacy and banking consumer protection

**First: External financial literacy:**

**Raising customers' financial literacy outside the Bank and targeting financially excluded groups in villages and remote areas through coordination and holding educational seminars and workshops.**

**164 villages** — **Haya Karima Initiative**
Visiting 9 governorates and raising the awareness of 15k citizens

**35 villages** — **World Food Programme (WFP)**
Visiting 5 governorates and raising the awareness of 10k citizens

**12K students** — **Universities and Educational Institutes**
The presidential initiative "Sabek Helmk", etc.

**10K citizens** — **General Authority for Literacy and Adult Education**
Participating in the preparation of the program's educational material

**Industrial Zones and Exhibitions**
MacTech, AirTech, etc.

**Workshops**
Workshops for startups and entrepreneurs

**Second: Internal financial literacy:**

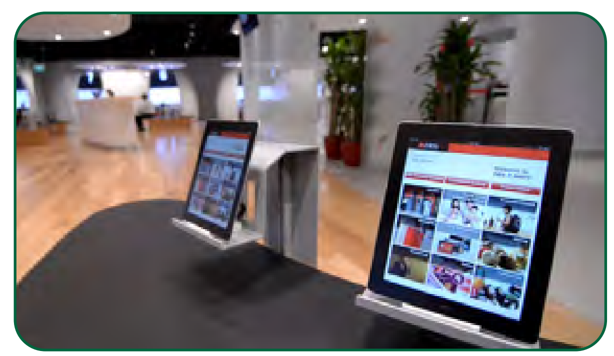
**Educating all employees about the importance of financial inclusion as a strategic objective and its role in achieving banking sustainability and stability through a number of mechanisms as follows:**

- Awareness campaigns
- Briefing sessions
- Lectures
- Electronic publications and educational materials on NBE's website
- 




### Pillar II: Diversifying financial products and services according to customers' needs

**Supporting people with special needs (equipping branches and installing special ATMs to provide services for "people with disabilities".)**



### Assigning special waiting numbers

- Equipping branches infrastructure (ramps at branch entrances, low-height teller windows, and restrooms designated for PSN customers).
- Installing low-height ATMs.
- Establishing controls and procedures for the elderly's home visits.
- Developing controls and procedures for dealing with visually impaired customers (developing controls and procedures for dealing with customers using signature stamp and thumb impression - providing account opening and banking products and services application forms in braille).

**Concluding agreement with Nour Al-Baseera Association concerning the following:**

The Association serves as the first service provider of financial inclusion accounts for people with disabilities.

Account opening and banking products and services application forms were provided in braille.

Six employees delegated by the Association were trained in providing banking services to people with disabilities.

NBE employees were present as representatives at the Association's various locations.

### Pillar III: Creating a business environment for MSMEs and entrepreneurs

#### Al Ahly Business financing programs

- A cooperation protocol was concluded with Cairo Chamber of Commerce.
- The protocol aims to support MSMEs, as defined by CBE, by providing the finance necessary for digitalization and offering digital financing solutions.
- A leading cooperation protocol was concluded and reviewed with the Ministry of Planning and Economic Development (MPED).
- The protocol aims to promote MSMEs nominated by MPED through providing access to finance necessary for these projects, as well as to NBE's package of non-financial services.
- The integrated agricultural system protocol was signed, aiming to train farmers in non-financial services and project management, which helps reduce unemployment, lower poverty rates, improve income distribution, raise the standard of living, and integrate small and medium entrepreneurs and marginalized groups into the formal economy.

### Pillar IV: Digital financial services

- NBE managed to maintain its leadership in the field of digitalization in the banking sector by continuously developing digital banking services to meet customers' needs in light of the current technological developments and promote financial inclusion.
- NBE relied on an ambitious strategy to expand its electronic services and upgrade its alternative channels using artificial intelligence (AI) tools. This included broadening new digital services and channels that meet the needs of various customer segments and employing growing investments to cope with the rapid pace of digitalization, with a view to increasing users of digital services to reduce pressure on the Bank's branches and boost customer convenience.
- NBE developed a new strategy for 2024-2026, encompassing four main pillars:

| | |
|---|---|
| Financial literacy and knowledge of NBE's services and products | Offering a specialized banking experience and enhancing geographical reach |
| Digitalization and higher usage rates | Banking consumer protection |

Vision: To be a market leader in financial inclusion by enabling all segments of society to access integrated financial solutions, with an eye to achieving financial stability and offering a specialized experience for various customers.



# Investment Group

- The year 2023 witnessed further economic challenges due to the unrest seen in the region and the world and its impact on global trade, in addition to rising inflation and higher interest rates. Nevertheless, NBE continued to achieving further successes in direct investments in 2023, similar to its core banking activities. This is attributable to adopting unconventional methods and tools in implementing the Bank's three-year investment strategy 2021-2023. NBE managed to implement the three main pillars of the investment strategy. Below is the progress achieved in each pillar in 2023:

### Pillar I: Maximizing return

I. **Realized returns:** NBE managed to conclude eight divestiture deals throughout the year, in addition to receiving cash dividends from 44 companies in which NBE holds equity stakes. This resulted in the following:

- Capital gains generated from divestitures amounting to EGP 858 mn. This could be primarily traced back to adopting a more flexible policy that is not limited only to cash sale but also incorporates selling in installments, along with selecting the right timing and the best method of divestiture.
- Companies portfolio realized dividends at EGP 1.8 bn., increasing by EGP 0.5 bn., i.e. 38% YOY. This brings the total returns realized from the sale of investments and dividends to EGP 2.6 bn., with EGP 0.5 bn. increase over the budget, at 24%.

II. **Unrealized returns**: Not only did the Bank generate realized returns as indicated above, it also recorded unrealized returns (book value) amounting to EGP 7.2 bn. in total.

III. **New equity stakes:** NBE pursued its pioneering role, seizing investment opportunities by injecting EGP 831 mn. in direct investments. The Bank participated in financing the expansion in existing equity stakes by EGP 681 mn., in addition to concluding new investment deals worth EGP 150 mn. Regarding new investments, NBE continued to enhance its equity participation in fintech ventures and promote financial inclusion through participating in EasyCash Electronic Payment Company by injecting EGP 150 mn. into its capital. EasyCash's business is considered promising in the present time, and it is expected to witness significant growth over the medium and long terms. Internal rate of return (IRR) on investment is projected to reach 47%, assuming that the Company would fully achieve its objectives according to its action plan.

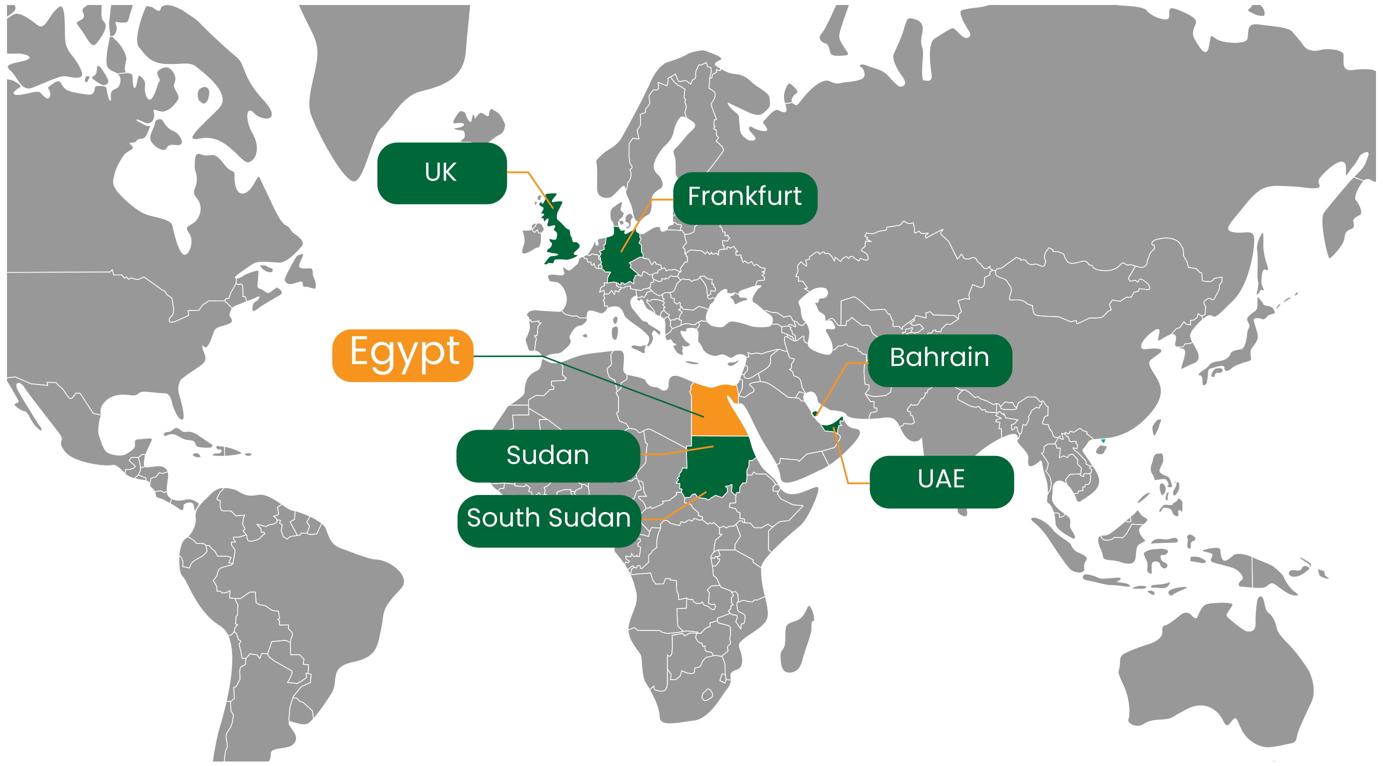
### Pillar II: Achieving integration with NBE's core activities

- This can be achieved through financing the expansions of Al-Ahly Exchange (an NBE subsidiary) and increasing its capital base by EGP 100 mn., which would help bring the number of its branches up to 100 in the coming years, and allocate EGP 5 mn. of its paid-up capital to each branch, in compliance with the CBE's instructions. Moreover, Al Ahly Capital Holding (ACH) established Al Ahly Securitization Co. and Al Ahly Co. for Sukuk Issuance, which are expected to significantly contribute to strengthening instruments for non-banking securities in the Egyptian market, thus increasing opportunities of economic growth.

### Pillar III: Maintaining leadership in sustainability and Supporting national projects

- This is achieved by participating in the implementation of governmental initiatives for national projects of developing slums and villages that are most in need. NBE contributed EGP 264 mn. to the capital increase of AlFath for Investments and Projects, and it held equity participation in fintech companies and companies supporting financial inclusion, The Bank also acquired a new equity stake worth EGP 150 mn. in Easy Cash, whose goals and strategies align with those of NBE and CBE, toward promoting digitalization, financial inclusion and transforming into a cashless society. Furthermore, NBE contributed EGP 108 mn. to the capital increase of Aman Company for non-banking financial services technology and e-payments. The Company aims to raise its market share by controlling a larger portion of the market through expansion into microfinance, consumer finance, and e-payment, in addition to tapping the market of microinsurance and the issuance of payment cards under the "Buy Now, Pay Later" (BNPL) program, which allows for immediate purchases and postponed payment.

**Investments are distributed across three continents in six countries as shown on the map.**




**Achieved results compared to strategy targets during 2021-2023**

- By the end of the third year of the three-year strategy (2021-2023) approved by NBE's BoD, the Bank managed to implement the three main pillars of the investment strategy despite the economic challenges faced in the last three years, including COVID-19 repercussions and the turmoil witnessed by the region and the world due to the Russian-Ukrainian war and Gaza war, with their adverse impacts on tourism, global trade, as well as the rising inflation and interest rates. The Bank outperformed the target of returns (i.e. EGP 6.1 bn.) for the three years by 55%, achieving total returns of EGP 9.4 bn. Moreover, it surpassed the new equity participation target for the three years by 72%, seizing investment opportunities totaling EGP 11.5 bn. (compared to a target of EGP 6.7 bn.), with realized finance amounting to EGP 11.7 bn.



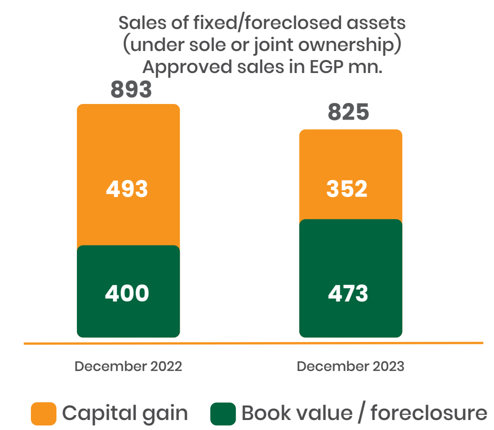
# Investment Trustees Division

## Portfolio and Financial Control Division

- As at the end of FY 2023, and in continuation of the Investment Trustees Division's efforts to support NBE's objectives and policies, the Division succeeded in achieving a number of contributions to implementing the strategy set for NBE's Investments and Investment Trustees Group based on three main pillars, as follows:

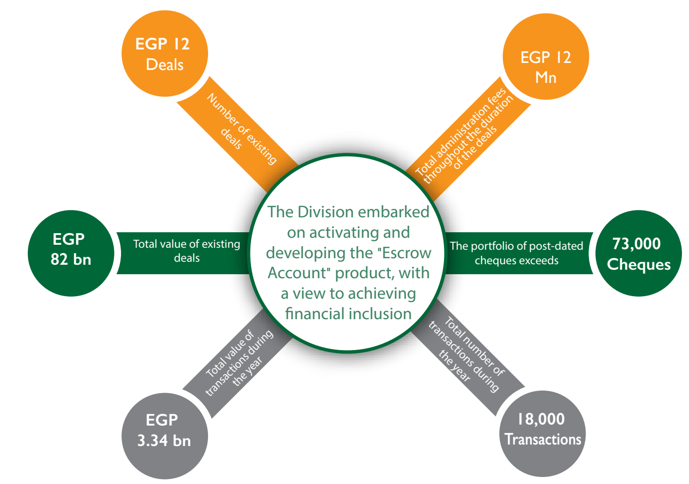
### Pillar I: Maximizing return

- By the end of FY 2023, fixed/foreclosed assets (under sole or joint ownership) were sold for EGP 825 mn., including EGP 352 mn. in capital gains and EGP 473 mn. in book value, against EGP 893 mn. YOY, including EGP 493 mn. in capital gains and EGP 400 mn. in book value.
- Profits worth EGP 835 mn. from sales of fixed/foreclosed assets (under sole or joint ownership) amounting to EGP 1.915 bn. were recorded in the 2023 income statement. Accordingly, provisions of EGP 562 mn. were cancelled, bringing the total direct and indirect impact of the Division's operating results from sales recorded in the balance sheet to EGP 1,397 mn.




### Pillar II: Promoting financial inclusion/ focusing on customer satisfaction

- As part of its commitment to integrating new commercial transaction activities into the banking system to achieve financial inclusion, the Investment Trustees Division has successfully launched the "Escrow Account" product. The product manages a financial relationship that requires mediation between two or more parties to complete a commercial, service, or other deal, where all related financial transactions are carried out through the Division.
- Some 31 auctions were conducted in favor of the customers (including sessions for the Warehouse Division and Debt Recovery Division), generating revenues of EGP 8.8 mn.




**EGP 47 mn.** — **Total value of transactions during the year**

**2,822 transactions** — **Total number of transactions during the year**

### Pillar III: Playing a national and proactive role and participating in government and CBE initiatives

- A joint cooperation protocol was signed off with a governmental entity as part of the development project of land located on the sides of El Mahmoudia Canal Axis. NBE held an in-kind stake, represented in 18 land plots of the foreclosed assets jointly owned with Banque Misr and sprawling over a total area of 486,000 sqm, with a total foreclosure value of EGP 926 mn., of which NBE's share accounted for EGP 298 mn.
- The Ahalina 3 project was launched for the purpose of developing slums. NBE allocated one land plot of the foreclosed assets, over a total area of 98,000 sqm, with a total foreclosure value of EGP 266 mn., of which NBE's share accounted for EGP 138 mn.

# Treasury and Capital Markets Group

**The Group's strategic objective is to manage net revenues and achieve profit margin through the effective management and alignment of liquidity, reserves, and interest rates, as well as taking the necessary measures to ensure compliance with the Bank's risk management framework and the relevant regulatory requirements.**

- The Group is considered a main support center for investors abroad and a fundamental pillar for implementing the national economic reform plan and CBE's initiatives.
- Despite the challenges that emerged with the Russian war in 2022 and the downgrading of Egypt's credit rating twice by the international credit rating agencies "Fitch and Moody's" during 2023, in addition to the external geopolitical challenges that began in the last quarter of the year, the Treasury Group managed to secure sufficient foreign currency liquidity from global markets. This was achieved through the distinguished relationships with foreign correspondent banks and the reliance on traditional and non-traditional treasury products to diversify foreign currency funding sources in domestic and foreign markets.
- The Treasury team delivered strong performance, which helped increase the Bank's profits and trading volume and expand the Treasury customer base. The results were as follows:
- Assets under management (AUM) portfolios grew 26% to reach EGP 2.7 trillion.
- The return on Treasury's AUM portfolios increased by 58%.
- Trading profits grew by 79% to record EGP 9.5 bn.
- The number of Treasury customers rose by 25%.
- NBE ranked first in the "Primary Dealers" system, with trading value exceeding EGP 1.25 trillion. Moreover, NBE is the FX Market Maker and the leading dealer in the Egyptian market, with trading value of USD 41.5 bn.
- The Treasury Group offers various products in the Bank's derivatives market to hedge against market risk and cater to customers' special needs.
- It is worth noting that the Treasury Group received the "Best Treasury and Cash Management Award" and "Best Bank for Liquidity Management Middle East" from Global Finance in 2022. Such recognition was a motivation to pursue NBE's role in the same pace.
- An important unit that complements the Treasury Group is the Assets and Liabilities Department, which delivered strong performance in recommending various strategies for managing the Bank's financial positions throughout the year. The Department succeeded in managing risk and maintaining acceptable risk appetite, which helped improve various risk indicators, maintain liquidity ratios and investments in high-quality liquid assets, and manage interest rate risk for banking book (IRRBB), accordingly enhancing the DoE index in accordance with Basel requirements.

| Trading profits from Treasury Group operations (EGP bn.) | Return on the Treasury Group's AUM portfolios | Value of the Treasury Group's AUM portfolios |
|---|---|---|
| 79% ▲ | 58% ▲ | 26% ▲ |
| Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 |

### Securities Custodian Services Division

- The Securities Custodian Services Division managed to engage new customers, both locally and internationally, in addition to introducing new NBE securities products. It was recognized as the "Best Sub-Custodian in Egypt" in 2023 by the Global Business Magazine. The results were as follows:

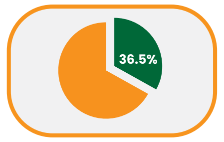
| NBE's total customers portfolios | Profits realized from the Division's operations | Number of NBE's customers |
|---|---|---|
| 38.7% ▲ | 45% ▲ | 6.3% ▲ |
| Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 |



### Securities Custodian Services Division

#### Mutual Funds Division

- The Mutual Funds Division showed outstanding performance, contributing to the growth of mutual funds' assets and the expansion of customer base and market share. Additionally, profits from mutual funds activities were optimized through marketing and promoting NBE's mutual funds and launching new e-services via NBE Mobile and Al Ahly Net, which were activated in August 2022. The results were as follows:

| Profits from mutual funds' activities | Value of NBE mutual funds' assets | Number of NBE mutual funds' customers | Market share of NBE mutual funds' customers |
|---|---|---|---|
| 42% ▲ | 5% ▲ | 75% ▲ |   |
| Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 | Growth rate (%) in FY 2023 |

### Capital Markets and Custodian Services Group

#### Securities Trading Division

- Average invested funds increased 96%.
- Total revenues generated by the Division rose to EGP 5.4 bn. in 2023.
- Profits of equity portfolios managed by the Division scaled up, with the return on average invested funds accounting for 131% in 2023, compared to EGX30 performance of 71%.

Average invested funds

96% ▲

Growth rate (%) in FY 2023

## Financial Institutions and International Financial Services Group - International Loans Department

**Agreements inked with foreign institutions (January – December 2023)**

- The finance agreement worth USD 100 mn. concluded with the Saudi National Bank (SNB) was renewed for one year.
- The finance agreement worth USD 70 mn. signed with SNB was renewed for one year.
- A loan agreement was inked with the European Bank for Reconstruction and Development (EBRD) to arrange a financing package (Loans AB) in the amount of USD 119.5 mn.
- A finance agreement was signed with the African Export-Import Bank (Afreximbank), in the sum of USD 300 mn., to finance NBE's customers foreign trade operations and for NBE's general utilizations.
- A finance agreement was concluded between NBE as the lead bank, the Central Bank of CBE as the borrower, representing both the Ministry of International Cooperation (the Government of Egypt) and the Egyptian Environmental Affairs Agency, and the European Investment Bank in the sum of EUR 135 mn., in the framework of the Green Sustainable Industry (GSI) project.

### Foreign Branches

**NBE's new branch in Riyadh, Saudi Arabia, is to be inaugurated this year.**

## Non-Performing Loans and Debt Recovery Group

Settlements and rescheduling arrangements of indebtedness reached 3,262 customers amounting to EGP 11.7 bn. in total as at the end of December 2023, with growth rates of 67.3% and 298.6%, respectively, YOY.

- Proceeds accounted for EGP 3.9 bn. as at the end of December 2023 (including EGP 1.9 bn. from cases managed by the relevant corporate finance and risk divisions), with a growth rate of 84.7%, YOY.
- Total direct and indirect non-performing loan (NPL) portfolio (including retail banking customers and debtors with assets foreclosed by the Bank and financial institutions) accounted for EGP 28.7 bn. as at the end of December 2023. The ratio of total (direct/indirect) NPLs to total loan portfolio (amounting to EGP 2,845.1 bn.) accounted for 1% at the end of December 2023.
- The relevant direct indebtedness amounted to EGP 23.3 bn., representing 1% of the Bank's total direct loan portfolio (amounting to EGP 2,406.9 bn.) for 14,171 customers.
- In December 2023, most direct NPLs (on- and off-balance sheet), according to the frequency distribution, were concentrated in the segment of EGP 100 mn. or more (at 60.1%), while the least NPLs were concentrated in the segment of EGP 1 mn. to less than EGP 5 mn. (at 6.1%).
- In December 2023, the Group's expected credit loss (ECL) provisions (according to IFRS9 standard) amounted to EGP 18.1 bn., while the creditworthiness provisions accounted for EGP 8.5 bn. during the same period.



### Portfolio Management and Risk Modeling Methodology


### Portfolio Management reports

**1- Overall Risk Report**

- Overall Risk Report aims at:

(a) Periodic monitoring of the Bank's risk profile against the approved risk limits according to various aspects, which include the main types of risks to which the Bank is exposed, assessing the regulatory capital requirements necessary to encounter the risks of the first and second pillars, and providing an additional capital buffer.

(b) Following up on the main Risk Matrix position of the Bank.

**2- ICAAP Report**

- The Internal Capital Adequacy Assessment Process (ICAAP) report is prepared in the framework of implementing the second pillar of Basel II, also known as the "Supervisory Review" process. This is designed to ensure that there is a mechanism in place for the comprehensive assessment of capital adequacy in line with the overall risk framework, the efficiency of the risk management system, and the Bank's strategy to maintain adequate levels of capital.

**3- Recovery Plan**

- A recovery plan is prepared annually, with the participation of relevant NBE divisions. It is then submitted to the CBE, in accordance with the regulatory instructions on the preparation and approval requirements. The plan makes recommendations, if necessary, regarding the corrective measures required to restore the Bank's financial soundness.

**4- Assessment of individual and sectoral credit concentration risk in the framework of implementing the second pillar of Basel requirements**

- Conducting a quarterly assessment and disclosure to the CBE of capital requirements necessary to hedge against individual and sectoral credit concentration risk, according to the second pillar of the Basel framework.

**5- Stress Testing Report**

- Stress tests are conducted on a quarterly basis on the credit portfolio assets, and the quantitative impact on key risk indicators (KRIs), which are the expected losses (provisions) and unexpected losses (required capital), is measured. The Bank's ability to address such losses is assessed under a group of tests and according to gradual levels of severity, along with the quantitative impact assessment and the overall evaluation of findings, with recommendations given in light of such findings.

### Developing an integrated solution platform for enterprise risk management (ERM):

- The integrated solution platform for the Enterprise Risk Management (ERM) project is one of the basic pillars of the Bank's overall risk management framework, where:
- NBE entered into an agreement with Moody's, the service developer, to set up the risk platform, where 72% of the project was completed. The whole project is expected to be complete by June 2023.
- The framework of managing, analyzing, and assessing risks "ERM" is being currently implemented and applied according to the planned schedule.


MOODY'S

# Operational Risk Group

NBE's Operational Risk Group continued to develop its business and relevant policies during 2023, keeping pace with the ongoing changes in the operational environment, in light of rapid technological changes and related regulatory instructions. This indicates NBE's ability to fulfill its obligations to all stakeholders and continue its business under various operating conditions. The year 2023 witnessed the achievement of several positive results, mainly:

- Raising the efficiency of forward-looking mechanisms for operational risks and diversifying the statistical methods used in accordance with the nature of risk management activities. This resulted in the following:
- Adopting a mechanism for designing and implementing stress tests for operational risks and their relationship to recovery plans, ensuring increased operational capacity and achieving financial stability and banking safety for NBE upon exposure to exceptional risk events.
- Developing scenarios for operational, risk-related recovery plans and presenting test results, recovery options, and early warning indicators to the relevant committees to activate the plan according to each scenario, with the aim of ensuring the Bank's readiness and enhancing its ability to respond effectively to any economic or financial pressures it may face.
- Continuously developing the Bank's operational risk methodology and policies in line with regulatory requirements and global best practices in this regard.
- Adhering to regulatory instructions issued by the CBE.
- Implementing the COSO internal control framework requirements related to operational risk management activities in accordance with the CBE's regulatory instructions.
- Conducting a pre-launch operational risk assessment of several new products and services to help further the usage of fintech applications and tools and boosting digital transformation at NBE.
- Fulfilling the requirements for renewing the ISO 27701 Privacy Information Management System (PIMS) certification of privacy management and personal data protection from the British Standards Institution (BSI), in coordination with relevant divisions.
- Continuing to develop the Group's human capital by raising the level of specialized knowledge in the field of operational risk management, in accordance with international best practices and the latest applications in the banking arena. The previous year witnessed the implementation of a variety of training courses and accredited international certification programs, the most important of which are the following:
- Certificate of the Business Continuity Institute (CBCI).
- A variety of training courses and workshops in the field of Business Continuity Management (BCM) (Crisis Management – Business Impact Analysis BIA - Business Continuity Management ISO 22301 and Operational Resilience in Banking Sector).
- The Certified Operational Risk Officer (CORO) certification.
- A specialized program on international best practices in identifying and assessing operational risks in accordance with COSO's Internal Control Framework requirements.



# Market Risk Group

## Market risk

- The Division measures the risks related to the price sensitivity of portfolios held for trading (exchange rates, stock, financial derivatives) and non-trading portfolios (fixed and floating interest rates) through designing and developing methods for measuring expected risks in normal circumstances to maintain NBE's investments compromising the capital base. It is necessary to ensure that risks are within the limits determined by the CBE or the approved internal policies. The accuracy of the relevant findings and risks is tested and periodically reported via a framework of following up on monitoring, and controlling risks.
- In this regard, a number of future scenarios and stress tests are conducted to serve as an early warning indicator in plausible, unusual circumstances to address risks arising out of sudden and unfavorable changes in exchange rates, stocks, financial derivatives, and fixed return and interest rates. The relevant results are presented to facilitate taking and implementing the proper decision needed to mitigate the ensued impacts of risks.
- Capital requirement to meet all various types of market risk is calculated using the means and methods instructed by the respective regulators and international best practices to measure, manage, and control such risks.

## Liquidity risk

- The adequacy and quality of liquid assets are measured and examined to fulfill obligations arising out of NBE's business and check whether the Bank has a proper finance structure in terms of adequate assets against liabilities to ensure that NBE is able to meet customers' requirements and maintain the trust of financial institutions and customers under the usual circumstances.
- Stress tests are conducted to gauge the Bank's ability to cater to customers' requests under unfavorable circumstances, to ensure the constant solvency and good reputation of the Bank, and maintain the confidence and trust of institutions and customers.
- A number of future scenarios are conducted to serve as an early warning indicator under unusual circumstances to address the resulting liquidity risks. The relevant results are presented to facilitate taking the appropriate decision to mitigate the ensued impacts of risks.
- Concentration risks are monitored across the Bank's funding sources and placements to ensure the stability of the Bank's liquidity position.
- NBE's general liquidity position is assessed annually through an internal liquidity adequacy assessment process (ILAAP) report to assess NBE's adherence to the limits set by the CBE or in the approved internal policies. The report gives a future outlook of NBE's liquidity.
- The Bank's ability to meet liquidity risks resulting from increased collateral and deposits in foreign currency from banks is also measured in light of the evaluation of financial derivatives transactions.

## Quantitative methods

- Releases and updates on market risk measurement issued by the Basel Committee and the CBE's instructions are followed up on and studied, and relevant versions are presented to the various departments within the Division.
- Local and global economic indicators, as well as exchange-rate and interest-rate trends, are studied and analyzed, and analytical reports are presented, setting and updating risk limits to support the Division's departments in making the appropriate decisions.
- The validity of statistical models used to measure and evaluate various types of risks is periodically tested and assessed. In The Bank also ensures, the reliability and appropriateness of the quantitative methods applied to market risks and their compliance with regulatory instructions and Basel requirements.

## Regulatory Compliance and Corporate Governance Group

- Governance is a group of relationships between a Bank's management, its board of directors (BoD), shareholders, and other stakeholders setting a clear definition of powers and responsibilities for each of them. Governance tackles the method adopted by the bank's BoD and senior management to direct and oversee its business and daily activities, including the following:

  - Ensuring that the Bank's business activities are conducted safely and properly within the framework of applicable laws and regulations
  - Controlling the Bank's business and daily activities
  - The Bank's strategy and objectives
  - Adopting effective disclosure and transparency policies
  - The Bank's risk appetite
  - Maintaining balance between assuming responsibility toward shareholders and protecting the interests of depositors, taking into consideration other stakeholders' interests

NBE exerts continuous efforts in order to adopt the best international governance practices to elevate business growth, maximize profitability, and enhance sustainability.

- The main framework for applying NBE's governance is subject to a continuous and periodic review by the Corporate Compliance and Governance Group. The governance manual reflects the effective governance practices set according to the legal and regulatory requirements imposed by the Organization for Economic Co-operation and Development (OECD), the Bank for International Settlements (BIS), and the CBE.
- NBE's BoD is fully responsible for governance, starting from inculcating the culture of governance and approving the Code of Ethics for NBE's Staff and Senior Management, which serves as a guide for performing their daily duties, up to taking the necessary steps to communicate the objectives and code of conduct that should be followed at NBE. At the same time, the best interest of all stakeholders should be protected. The Board also approves the standards and values that reflect NBE's policies set in place to be followed by all employees, senior management, and directors, including NBE's strategies. In addition, the Board sets general objectives for executive officers and oversees the realization of such objectives. The Board also verifies the effectiveness of internal controls and risk management to ensure maintaining NBE's reputation.
- NBE releases an annual report to document its governance framework. The governance report provides an overview of the Bank's governance practices and the effectiveness of the governance framework, and it highlights obstacles and problems to help address them in the future. The report also aims to raise the efficiency of the Bank's governance framework.

### NBE's Governance Principles

- Fair treatment of all relevant parties
- Transparency and disclosure
- Balance in the relationship between the Bank's senior management and Board
- Responsibility and accountability
- Good role models
- Code of ethics for staff and senior management
- Whistleblowing and whistle-blower protection policy
- Conflict of interests management
- Social and environmental responsibility



## Regulatory Compliance Group

- The key responsibility of NBE's Regulatory Compliance and Corporate Governance Group is managing risks of non-compliance with laws and regulatory controls to protect the Bank from incurring any losses. Compliance risks include penalties, fines, legal or regulatory risk, as well as financial losses and reputational risks. The Compliance Department also helps the BoD and executive management assume their responsibilities in terms of compliance with laws and regulatory instructions.
- The Regulatory Compliance and Corporate Governance Group is completely independent, directly reporting to the Board and Audit Committee. It has the necessary authority to access all data and information required to perform its duties and report to higher managerial levels. The Regulatory Compliance Group has established and developed a monitoring program through site inspection and corrective action plans based on risk assessment to identify the level of compliance in all NBE divisions.
- The Regulatory Compliance and Corporate Governance Group continually ensures the compliance of NBE's overseas branches and NBE's financial subsidiaries with local and international policies and procedures, CBE's instructions, and international best practices, which stipulate that the Bank should take special regulatory measures regarding its overseas branches and subsidiaries.
- The Group's current strategy aims at continuously building and developing the skills of the Group's staff by enrolling them in the latest training programs to improve their competencies in the areas of compliance, anti-money laundering and countering the financing of terrorism (AML/CFT), as well as related updates. In cooperation with NBE's Learning and Development Department, the Group took part in providing tailored training programs to promote a culture of compliance among all employees. Moreover, the Bank provided specialized training programs through the e-learning channels available to all employees.

### Combating financial crimes

- the Regulatory Compliance and Corporate Governance Group has introduced state-of-the-art automated systems to keep up with the latest best practices in the local and international banking sectors. This aims to manage compliance and reputation risks by preventing the use of its products/ services in any illegal or suspicious activities of money laundering, terrorism finance, or dealing with banned individuals or entities at the local or international level, particularly in light of advanced techniques employed globally in financial crime in recent years.
- The Group uses cutting-edge software and technologies to ensure, examining and monitoring of all banking transactions carried out at NBE. Moreover, integrated electronic systems are used to check all parties of transactions against international and national ban lists. Combating financial crimes policies and procedures are regularly updated, where procedures recently focused on promoting due diligence and KYC measures to identify high-risk customers. The Group continuously updates policies based on the latest developments in the regulations and instructions issued by local regulatory bodies and all instructions issued by the Financial Action Task Force (FATF). Furthermore, the Group continually strives to enhance the effectiveness of its internal control environment and improve its infrastructure to meet regulatory requirements.
- The Regulatory Compliance and Corporate Governance Group prepares an annual report on the Bank's AML/CFT activities to be presented to the BoD for remarks and to take the necessary actions if needed. The report is forwarded to the Money Laundering and Terrorist Financing Combating Unit (MLCU), accompanied by the Board's remarks and decisions in this regard.

### Banking consumer protection

- NBE's Banking Consumer Protection Unit was established pursuant to the CBE's instructions issued on February 13, 2019. It is responsible for protecting the rights of customers, service providers, and outsourcing companies. It aims to enhance the concept of transparency and disclosure in NBE's financial and banking transactions provided to various customers, with a view to securing an appropriate environment to protect their rights. The Unit monitors the status of complaints submitted by NBE or non-NBE customers through complaint channels to ensure that complaints are handled within the appropriate, standard timeframes.

The Unit also ensures the quality and efficiency of the mechanism of handling customer complaints, participates in reviewing products and procedures, and guarantees the protection of customer data/accounts against confidentiality breaches.

**The main principles for banking consumer protection are as follows:**

- Dealing with customers in a highly professional manner with fairness and transparency.
- Treating all customers equitably and fairly without bias at all stages of their banking relationship.
- Ensuring that all terms and conditions are clearly stated to the customer upon marketing products and services and that the customer has reviewed them with transparency before or at the time of purchase.
- Evaluating the customer's financial ability to meet all obligations, including installments, commissions, and any other additional expenses that the customer may incur.
- Helping the customer choose the appropriate service or product that meets his/her needs and ability to fulfill the resulting obligations, without forcing him/her to purchase a package of products to obtain a certain product.
- Explaining how to cancel a service or product and the time necessary for such cancellation, as well as the resulting costs and expenses.
- Generating periodic reports on all complaints submitted to the Bank through the complaints channels for monitoring purposes and ensuring that final decisions are reached within the specified standard timeframe according to the CBE's instructions.
- Preparing quarterly reports to be submitted to the Audit Committee, the Bank's BoD, and the CBE.
- Raising awareness in respect of complaints handling via checking and analyzing a sample of such complaints and issuing recommendations that contribute to their proper registration and professional examination to fairly resolve customer complaints. This is conducted in coordination with relevant divisions to develop work mechanisms and procedures for handling complaints submitted by customers according to the relevant regulatory instructions.
- Taking the necessary corrective actions to prevent the occurrence or recurrence of such complaints through the following work methodology:
- Provide means for lodging complaints through any of the following channels (NBE branches, email, website, call center, social media platforms, etc.), provided that the complaint is registered in the relevant system no later than the next business day.
- Supply customers with a complaint reference number within two business days of complaint registration through the Bank's channels and means for ease of reference. This allows customers to easily follow up and inquire about complaints, whether through NBE's call center or branches.
- Reply to customer complaints within a period not exceeding (15) business days as of date of receiving the complaint (except for complaints related to transactions with third parties, in which case the customer shall be notified of the requested time to examine his/her complaint).
- In case the customer rejects the Bank's reply, the customer shall notify the Bank in writing within 15 business days from the date of receiving the Bank's reply stating the reasons for rejection, otherwise, it would be deemed an implicit acceptance of the Bank's reply. The complaint shall be re-examined, and the customer shall be provided with the Bank's final reply within 15 business days supported by clear and reasonable justifications, especially if the reply does not change. The customer has the right to escalate the complaint to the CBE in case he/she does not accept the Bank's final response. However, the customer must first refer to the Bank before submitting the complaint to the CBE.



# Banking Operations Group

The Operations Group continued its internal development contributions, which build on the Group's past achievements that go in tandem with NBE's current comprehensive development strategy. This positively impacted several aspects, including the level and speed of performance, which improved significantly, leading to greater customer satisfaction, as planned by NBE's senior management. The Group's divisions achieved the following:

## Remittances and cheques

- Number of cheques collected in foreign currency inside and outside Egypt amounted to 6.66k with a total value of EGP 24.53 bn., with an increase of 0.86k cheques YOY. Collection fees amounted to EGP 5.88 mn.
- Number of incoming foreign currency cheques reached 9.19k with a total value of EGP 9.19 bn, recording an increase of 2.09k cheques YOY.
- Number of cheques collected outside the clearing house reached 2.78k with a total value of EGP 19.37 bn. Collection fees amounted to EGP 1.85 mn.
- Portfolio of outstanding, post-dated cheques reached 538.53k cheques with a total value of EGP 223.49 bn., with an increase of 201.53k cheques YOY. Collection fees on post-dated cheques amounted to EGP 3.28 mn.

## Trade finance

- NBE processed 33,071 import documentary collections, in addition to 1,986 export documentary collections. Import and export letters of credit (LCs) opened during the fiscal year 2023 reached 3,808, compared to 9,702 LCs YOY. Total trade finance revenues, excluding letters of guarantee (LGs), amounted to EGP 5.75 bn. by the end of December 2023, compared to a total value of EGP 3.182 bn. YOY, with an increase of 80.8%.
- Revenues of the Custodian Operations Division amounted to EGP 56.2 mn., where settlement for 235,000 share and bond sale /purchase transactions worth EGP 885 bn., and 126,000 treasury bills and bonds transactions were processed, at a growth rate of 53% YOY. The value of securitization portfolios managed by the Division as a custodian amounted to EGP 4.7 bn.

## Cards and alternative channels transactions

- ATMs amounted to 6,797 machines (including 56 mobile ATMs, 30 ITMs, and one bus branch ATM) by the end of December 2023, compared to 6,618 machines YOY with an increase of approximately 2.7%.
- The number of valid cash withdrawals amounted to 329.7 million transactions during 2023, compared to 290 million transactions YOY, with an increase of 13.7%. The value of disbursed amounts reached EGP 736.2 billion during the fiscal year 2023 compared to EGP 603.5 bn. YOY, with an increase of 22%.
- The number of valid cash deposits reached 45.3 million transactions during 2023, compared to 31.8 million transactions YOY, with an increase of 42.3%. The value of ATM-deposited amounts reached EGP 127.7 bn. during 2023, compared to EGP 80.9 bn. YOY, with an increase of 57.8%.
- Total e-commerce transactions processed through the merchant gateways amounted to 93 million transactions, amounting to EGP 44.3 bn. with a monthly average of 7.7 million transactions in 2023 and a monthly average usage of EGP 3.7 bn.

## Loans and Deposits

- A 72-hour reduction in application processing time was achieved.
- Manual forms were replaced by auto-fill forms.
- Cardboard forms were replaced by electronic forms printed from the CRM system to preserve the environment and reduce the materials used in cardboard manufacturing.
- Reliance on the CRM system enabled auto-fill forms from the system within 24 hours instead of 96 hours, previously.
- Risk protection arrangement (RPA) was used to suspend and reschedule loan installment claims.

# Information Technology (IT) Group

### 1. Third Party Remittance Hub

- The Remittance Hub system has been developed to receive and process remittances credited to the accounts/cards of beneficiaries at other banks operating in Egypt, by connecting to the Automated clearing house (ACH) payment system, to be credited in EGP after all necessary verifications are completed.

### 2. Remittances to PhoneCash and Orange Cash wallets

- The Remittance Hub system has been developed to allow crediting incoming remittances from agents in the Gulf countries to the PhoneCash mobile wallet and Orange Cash wallet through direct connection with Fawry and the ACH system, respectively.

### 3. Merchant payment service

- In light of the NBE's policy of developing and updating its internet and mobile banking services, as well as contributing to the state's efforts to expand digital transformation services and promote financial inclusion, purchases from participating e-commerce merchants became available through payment modes using the customer's online banking account. An agreement was signed with OPAY to make the service available through the company's mobile app.


### 4. PhoneCash – CBE Release

- Implementing the CBE's instructions regarding e-wallets, such as customer's subscription self-cancellation, reviewing service tariff, sending an e-statement report, evaluating the service, lodging a complaint about an executed transaction, and locating Fawry outlets.
- Automatically turning any e-wallet accounts not used for one year into inactive accounts, after sending notifications to customers three months, two months, and one month before inactivation, to encourage them to use the application.


### 5. Self-services through the Bank's website

- NBE has developed several self-services for both customers and non-customers, as follows:

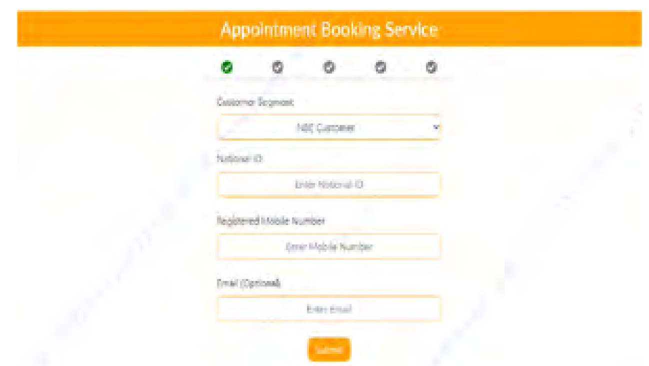
1. Book an appointment for a branch visit.
2. Book an appointment with an SME business development specialist.
3. Request an EGP personal cash loan against Al Ahly Plus certificate.


### 6. The I-Supplier Portal

- Activate and launch the electronic supplier portal project on the Bank's website as an integral part of the previously introduced procurement and supply system. The new system enables suppliers to submit bids for offered tenders, track their issued purchase orders, manage their invoices, view the payment status and submit invoices for each supplier online. The system also allows modifying the supplier's data after obtaining the necessary approvals from the relevant divisions.

### 7. Customer Experience Management (CEM)

- The CEM system allows customers to book a branch visit via NE's website, enabling them to choose the date, time, branch, and service they prefer and need. It also allows the Bank to obtain aggregated data and reports at the Bank's level and dividing customers into different segments based on financial solvency or age, or disabled persons.




### 8. Securitization system

A new system has been introduced that allows NBE to::

- Introduce new services to attract a larger segment of customers where NBE acts as a custodian for securitization transactions;
- Register transactions related to the securitization agreement in which NBE acts as the securitization custodian, as well as the separate accounts opened for each securitization transaction;
- Automate securitization transactions; and
- Improve the workflow across the Bank's various units.


### 9. Escrow account post-dated cheque wallet

The post-dated cheque wallet system was developed to provide the Bank's corporate customers with services (to hold and collect their cheques) as follows:

- Allow corporate officials (subscribing to the service) to register their cheques on said system.
- Enable them to track the status of corporate cheques held with NBE, and to issue relevant cheque status reports (outstanding, collected, bounced, or drawn before the due date).
- Allow companies subscribing to the service to issue account statements through the system at any time without the need to refer to the Bank.

### 10. All NBE Credit Cards' E-Statement

- Create and generate e-statements for all credit card segments (Classic, Gold, Platinum, Infinite, and Signature).

### 11. Estate

Develop current procedures to automate all estate operations, as follows:

- Effect automated online liquidation.
- Automatically waive Interest and Charge for the accounts of the deceased customer for whom an estate account has been opened.
- Initiate a daily job to transfer the balances

of the deceased customer's accounts (current - savings) to the estate accounts, excluding joint and gift accounts.

- Initiate a daily job to automatically close checkbooks related to the deceased customer's accounts.

## Prizes

### PCI DSS Certificate

- NBE received the PCI DSS V3.2.1 Certification, a certificate of compliance with security standards issued by Visa and MasterCard for the payment card data security in January 2023 for the 10th year in a row.
- NBE was listed on the Visa Global Registry of Service Providers that are PCI DSS-compliant.

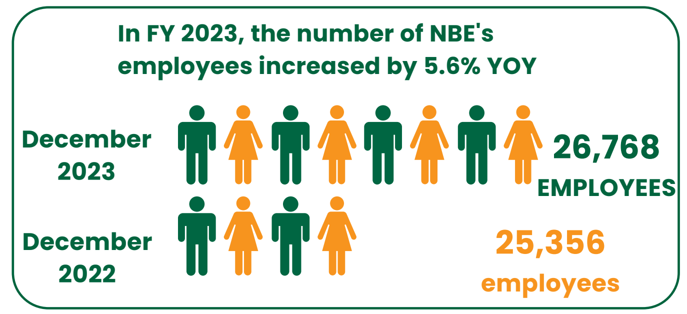


# Human Resources Group

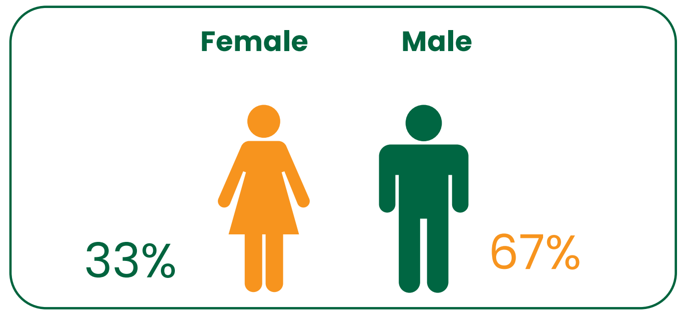
During FY 2023, NBE continued to support its human resources by attracting the best talents to ensure continued excellence and leadership in the banking market.

NBE also launched several initiatives aimed at developing its human power and their career prospects by providing practical and educative training to sharpen their skills and provide them with diverse and innovative knowledge and techniques available in the labor market, with a view to boosting the Bank's overall performance.

### An overview of NBE's employee count

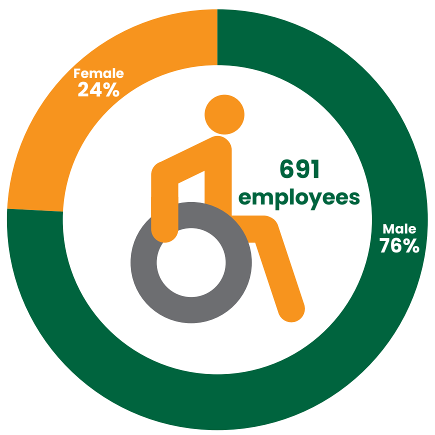



### % of NBE's employees in December 2023

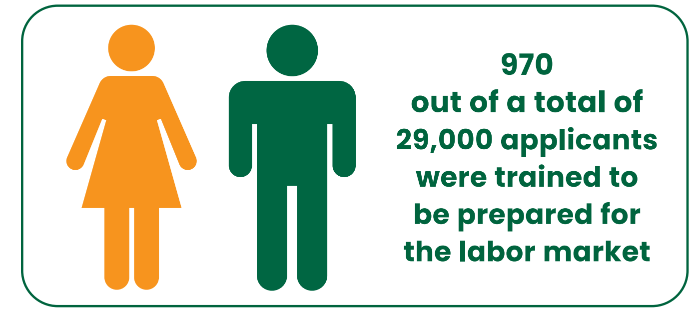



### The percentage of NBE's employees with disabilities in December 2023

Employees with disabilities accounted for 2.58% of NBE's total workforce by the end of 2023.




## Summer Internship




## Campaigns and initiatives

NBE launched 67 campaigns and initiatives in 2023 with a view to engaging employees, raising their awareness, and providing a healthy work environment.


## Learning & Development

**25,249**
Total number of trainees with 820,412 training hours (an average of 32 hours per trainee)

**94%**
Percentage of employees trained out of actual workforce

**Participate in new, specialized e-platforms for employee training and development**

**Learning platforms**

إدارة.كوم

video arts Longer lasting learning

AIHR ACADEMY TO INNOVATE HR

THOMSON REUTERS


almentor

Moody's

coursera

LinkedIn

**Protocols**

iti

بناة مصر الرقمية

- NBE is cooperating with the Information Technology Institute (ITI) and the Digital Egypt Builders Initiative (DEBI), affiliated with the Ministry of Communications and Information Technology (MCIT). This partnership represents a joint effort to develop high-quality tech paths with ITI to provide for the needs of the Bank and the Egyptian market with respect to trained competencies in various technological fields.
- The Bank is committed to establishing clear learning paths for all work groups and specializations within NBE, integrating the role of digital learning as a fundamental component into these paths. The target is to align with the banking labor market requirements through providing soft and administrative skills programs designed in accordance with an institutional competency framework.
- Keeping pace with the global shift toward digital transformation, NBE has developed advanced digital solutions through its NBE Staff mobile application, with a view to improving the employee experience and facilitate access to all HR operations and support within the Bank at any time.



# 4 National Bank of Egypt (S.A.E) The Separate Financial Statements and Auditors' Report for the Financial Year Ended December 31, 2023

A global strategic footprint to enhance liquidity flows, investment, and facilitate trade transactions.

Saleh, Barsoum & Abdel Aziz - Grant Thornton

Accountants & Auditors

Sameh Samy Mohamed Kamal

Accountability State Authority

## AUDITORS' REPORT

**To the Shareholders of National bank of Egypt S.A.E**

### Report on the Separate Financial Statements

We have audited the accompanying separate financial statements of National bank of Egypt SAE «the Bank», which comprise the separate financial position as at December 2023 ,31 and the related separate statements of income, comprehensive income, changes in shareholder›s equity and cash flows for the financial year then ended, and a summary of significant accounting policies and other explanatory notes.

### Management's Responsibility for the Separate Financial Statements

These separate financial statements are the responsibility of Bank›s management. Management is responsible for the preparation and fair presentation of these separate financial statements in accordance with the rules of preparation and presentation of the banks› financial statements, basis of recognition and measurement issued by Central Bank of Egypt on December ,16 2008 as amended by the regulations issued on February 2019 ,26 and in light of the prevailing Egyptian laws and regulations. Management›s responsibility includes, designing, implementing and maintaining internal control relevant to the preparation and fair presentation of separate financial statements that are free from material misstatement, whether due to fraud or error; management›s responsibility also includes selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

### Auditors' Responsibility

Our responsibility is to express an opinion on these separate financial statements based on our audit. We conducted our audit in accordance with the Egyptian Standards on Auditing and in the light of the prevailing Egyptian laws. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the separate financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the separate financial statements. The procedures selected depend on the auditors› judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the bank›s preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the bank›s internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the separate financial statements.



### Opinion

In our opinion, the separate financial statements referred to above present fairly, in all material respects, the separate financial position of the Bank as of December 2023 ,31 and of its separate financial performance and its separate cash flows for the year then ended, in accordance with Central Bank of Egypt's rules, pertaining to the preparation and presentation of the banks' financial statements, issued on December 2008 ,16 as amended by the regulations issued on February 2019 ,26 and in light of the prevailing Egyptian laws and regulations relating to the preparation of these separate financial statements.

### Report on Legal and Other Regulatory Requirements

The Bank maintains proper books of accounts, which include all that is required by law and by the statutes of the bank. The separate financial statements are in agreement thereto.

The separate financial information included in the Board of Directors' report, prepared in accordance with law no. 159 of 1981 and its executive regulations, is in agreement with the Bank's books of account.

Cairo; 22 July 2024

Auditors

Saleh, Barsoum & Abdel Aziz - Grant Thornton

Accountants & Auditors

Sameh Samy Mohamed Kamal

Accountability State Authority

## National Bank of Egypt
### Separate Statement of Financial Position as at 31 December 2023

All Figures Are In EGP mns

| | | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|---|
| Assets | | | |
| Cash and balances with Central Banks | (15) | 73,837 | 218,773 |
| Due from banks, net | (16) | 634,247 | 280,978 |
| Financial investments at fair value through profit or loss | (17) | 8,495 | 2,250 |
| Loans and advances to banks, net | (18) | 1,855 | 1,758 |
| Loans and advances to customers, net | (19) | 2,313,460 | 1,663,843 |
| Financial derivatives | (20) | 4,336 | 20 |
| Financial investments | | | |
| Financial investments at fair value through other comprehensive income | (21) | 640,028 | 476,283 |
| Financial investments at amortized cost | (22) | 1,373,145 | 1,400,926 |
| Investments in subsidiaries and associates | (23) | 12,000 | 11,756 |
| Fixed assets, net | (24) | 14,667 | 10,308 |
| Investment property | (25) | 1 | 1 |
| Other assets | (26) | 157,881 | 303,711 |
| Total assets | | 5,233,952 | 4,370,607 |
| Liabilities and shareholders' equity | | | |
| **Liabilities** | | | |
| Due to banks | 27 | 535,031 | 335,249 |
| Repurchase agreements-treasury bills | | 20,940 | 21,371 |
| Customers' deposits | 28 | 3,733,203 | 3,221,627 |
| Financial derivatives | 20 | 0 | 9 |
| Other loans | 29 | 374,518 | 343,019 |
| Other liabilities | 30 | 244,089 | 204,306 |
| Current income tax obligations | | 10,030 | 353 |
| Other provisions | 31 | 13,427 | 16,446 |
| Pension benefits' liabilities | 32 | 5,508 | 5,146 |



## National Bank of Egypt
### Separate Statement of Financial Position as at 31 December 2023

All Figures Are In EGP mns

| | | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|---|
| Total liabilities | | 4,936,746 | 4,147,526 |
| Shareholders' equity | | | |
| Paid-up capital | (33) | 105,000 | 50,000 |
| Paid capital under settlement | (33) | 0 | 25,000 |
| Reserves | (34) | 23,848 | 22,771 |
| CBE subordinate-loan differences between nominal and present value | | 76,044 | 79,987 |
| Fair value reserves for investments through other comprehensive income | | 20,139 | 9,637 |
| Net profit for the financial year | | 70,686 | 34,650 |
| Retained earnings | | 1,489 | 1,036 |
| Total shareholders' equity | | 297,206 | 223,081 |
| Total liabilities and shareholders' equity | | 5,233,952 | 4,370,607 |
| Contingent liabilities and commitments | | | |
| Letters of Credit, Guarantee and other commitments | (35) | 459,388 | 371,658 |

-The attached notes from page (11) to page (61) are an integral part of these separate financial statements.

| Chief Financial Officer | Deputy Chairman | Deputy Chairman | Chairman |
|---|---|---|---|
| **Wael Abou-Ali** | **Dalia El Baz** | **Yehia Abu El Fotuh** | **Hisham Ahmed Okasha** |

## National Bank of Egypt

## Separate Statement of Financial Position as at 31 December 2023

All Figures Are In EGP mns

| | NOTE NO. | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|---|
| Interest income on loans and similar income | | 605,181 | 367,742 |
| Interest expense on deposits and similar expense | | (427,240) | (255,862) |
| Net interest income | (6) | 177,941 | 111,880 |
| Fees and commissions income | | 18,724 | 13,487 |
| Fees and commissions expense | | (720) | (601) |
| Net fees and commissions income | (7) | 18,004 | 12,886 |
| Dividends income | (8) | 2,038 | 1,572 |
| Net trading income | (9) | (1,004) | 3,399 |
| Profits from financial investments | (2/22) | 402 | 644 |
| Charge of expected credit losses | (10) | (31,911) | (16,281) |
| Administrative expenses | (11) | (56,161) | (42,890) |
| Other operating income / expenses | (12) | 17,000 | (407) |
| Profit before income tax | | 126,309 | 70,803 |
| Income tax expenses | (13) | (55,623) | (36,153) |
| Net profit for the financial year | | 70,686 | 34,650 |
| Basic earnings per share/ Diluted | (14) | 0.61 | 0.29 |
| EGP | (19) | 0.16 | 0.29 |

-The attached notes from page (11) to page (61) are an integral part of these separate financial statements.

| Chief Financial Officer | Deputy Chairman | Deputy Chairman | Chairman |
|---|---|---|---|
| **Wael Abou-Ali** | **Dalia El Baz** | **Yehia Abu El Fotuh** | **Hisham Ahmed Okasha** |



## National Bank of Egypt

## Separate Statement of Financial Position as at 31 December 2023

All Figures Are In EGP mns

| | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|
| Net profit for the financial year after tax | 70,686 | 34,650 |
| Items that may not be recycled to Profit / Loss:- | | |
| Net change in fair value of equity instruments | 9,952 | 2,554 |
| Transferred from FV reserve To Retained earnings | (1,489) | (1,036) |
| Items that may be recycled to Profit / Loss:- | | |
| Net change in fair value of debt instruments | (224) | (3,506) |
| Net change in ECL of debt instruments | 2,263 | 898 |
| | 10,502 | (1,090) |
| Total comprehensive income for the financial year | 81,188 | 33,560 |

-The attached notes from page (11) to page (61) are an integral part of these separate financial statements.

National Bank of Egypt

Separate Statement of Cash Flows for the financial year ended 31 December 2023

All Figures Are In EGP mns

| | | 31-DEC 2023 | 31-DEC 200 |
|---|---|---|---|
| Cash flows from operating activities | | | |
| Net profit for the financial year before tax | | 126,309 | 70,803 |
| Adjustments to reconcile net profit to cash flows from operating activities: | | | |
| Fixed assets depreciation | (24) | 2,743 | 1,696 |
| Pension benefits' liabilities | (32) | 683 | 638 |
| Amortization of financial investments at FVOCI (Bonds and equity instruments) | | (3) | 27 |
| Profits or losses from financial investments at fair value through OCI | | (548) | (357) |
| Charge of expected credit losses-Financial investments at fair value through OCI | | 2,150 | 469 |
| Foreign currencies valuation differences of expected credit losses-Financial investments at fair value through OCI | | 113 | 80 |
| Foreign currencies valuation differences (+/-) Financial investments | | (96,561) | (138,451) |
| Amortization of financial investments at amortized cost | | 1,526 | (25,053) |
| Charge of expected credit losses- investments at amortized cost | | 13,271 | 673 |
| Charge of expected credit losses charge-Customers' loans | | 20,073 | 15,685 |
| Charge of expected credit losses-banks' loans | | 18 | 0 |
| Reversal / Charge of expected credit losses-Due from banks | | 30 | 140 |
| Reverse / Charge of Assets reverted to the bank provision | | (454) | 59 |
| Other debt balances provision Reverse/Charge | | (43) | 57 |
| Foreign currencies valuation differences of Due from banks | | 53 | 43 |
| Reversal / Charge of expected credit losses - other provisions | | (2,086) | 2,808 |
| Foreign currency translation differences for overseas branches | | 374 | 557 |
| Foreign currencies valuation differences for expected credit losses charged to customers' loans | | 1,935 | 2,784 |
| Foreign currencies valuation differences for other provisions | | (122) | 478 |
| Impairment losses on subsidiaries and associate companies | (23) | 226 | 47 |



National Bank of Egypt

Separate Statement of Cash Flows for the financial year ended 31 December 2023

All Figures Are In EGP mns

| | | 31-DEC 2023 | 31-DEC 200 |
|---|---|---|---|
| Gain on sale of fixed assets | | (123) | (41) |
| Gain on sale investments in subsidiaries and associates | | (80) | (333) |
| Dividends income - Financial investments | | (2,038) | (1,566) |
| **Operating profit (losses) before changes in assets and liabilities from / (used in) operating activities** | | **67,446** | **(68,757)** |
| Net decrease (increase) in assets | | | |
| Obligatory reserve balances with Central Banks | | 153,562 | (140,070) |
| Due from banks(more than three months) | | 30,366 | (67,839) |
| Financial investment at fair value through other comprehensive income (Treasury bills with maturity more than three months) | | (107,180) | (8,803) |
| Financial investment at fair value through profit/loss | | (6,245) | (810) |
| Loans and advances to banks | | (116) | 965 |
| Loans and advances to customers | | (670,613) | (554,532) |
| Financial derivatives, net | | (4,325) | 1,021 |
| Other assets | | 145,315 | (175,469) |
| Net increase (decrease) in liabilities | | | |
| Due to banks | | 199,782 | (7,568) |
| Pension benefits' liabilities | | (321) | (267) |
| Customers' deposits | | 511,576 | 835,177 |
| Other liabilities | | 35,921 | 151,797 |
| Other provision | | (811) | (250) |
| Taxes paid | | (42,431) | (35,800) |
| Net cash flows from / (used in) operating activities | | 311,926 | (71,204) |
| Cash flows from Investing activities | | | |
| Payments to acquire fixed assets and fixtures of branches | (24) | (7,105) | (3,540) |
| Payments to acquire financial investment at amortized cost | (22/1) | (332,216) | (370,519) |
| Proceeds from sale of financial investment at amortized cost | (22/1) | 422,323 | 158,765 |
| Payments to acquire investment at fair value through other comprehensive income | (21/5) | (1,293,934) | (19,763) |

## National Bank of Egypt
### Separate Statement of Cash Flows for the financial year ended 31 December 2023

All Figures Are In EGP mns

| | | 31-DEC 2023 | 31-DEC 200 |
|---|---|---|---|
| Proceeds from sale of investment at fair value through other comprehensive income | (21/5) | 1,250,702 | 27,337 |
| Payments for acquisition of subsidiaries and associates companies | (23) | (497) | (3,359) |
| Proceeds form sale of subsidiaries and associates companies | (23) | 107 | 333 |
| Proceeds from sale of fixed assets | | 126 | 45 |
| Proceeds from financial investments' dividends | | 2,038 | 1,481 |
| Net cash flows from / (used in) investing activities | | **41,544** | **(209,220)** |
| Cash flows from Financing activities | | | |
| Other loans | (29) | 27,556 | 126,337 |
| Repurchase agreements-treasury bills | | (431) | (33) |
| Dividends' paid | | (4,637) | (7,764) |
| Net cash flows from financing activities | | 22,488 | 118,540 |
| Net increase / (decrease) in cash and cash equivalents during the financial year | | 375,958 | (161,884) |
| Cash and cash equivalent at the beginning of the financial year | | 366,060 | 527,944 |
| Cash and cash equivalent at the end of the financial year | | 742,018 | 366,060 |
| Cash and cash equivalents represented in the following- | | | |
| Cash and balances with Central Banks | (15) | 73,837 | 218,773 |
| Due from banks | (16) | 634,247 | 280,978 |
| Financial investment at fair value through other comprehensive income (Treasury bills) | (21) | 412,156 | 302,819 |
| Financial investment at fair value through other comprehensive income (Treasury notes) | | 170,000 | 133,000 |
| Obligatory reserve balances with Central Banks | | (40,024) | (193,586) |
| Due from banks with maturity more than three months | | (58,791) | (89,240) |
| Financial investment at fair value through other comprehensive income (Treasury bills with maturity more than three months) | | (394,407) | (286,684) |
| Financial investment at fair value through other comprehensive income (Treasury notes with maturity more than three months) | | (55,000) | - |
| Total cash and cash equivalent | | 742,018 | 366,060 |

-The attached notes from page (11) to page (61) are an integral part of these separate financial statements.



## National Bank of Egypt
### Separate Statement of Cash Flows for the financial year ended 31 December 2023

All Figures Are In EGP mns

| | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|
| Net profit for the financial year | 70,686 | 34,650 |
| Deduct:- | | |
| Gain on sale of fixed assets transferred to capital reserve in conformity with article No 40 for the Law No. 159 for the year 1981 | (122) | (41) |
| Financial year Profit available for distribution | **70,564** | **34,609** |
| Add:- | | |
| Retained earnings | 1,489 | 1,036 |
| Net Profit available for distribution | **72,053** | **35,645** |
| Relevant Dividends | | |
| Legal reserve | 7,056 | 3,461 |
| General reserve | 6,351 | 3,115 |
| Banking system Support and Development Fund | 706 | 346 |
| Employees' dividends | 6,506 | 4,091 |
| Shareholders' dividends * | 51,434 | 24,632 |
| Total | **72,053** | **35,645** |

*Shareholders' dividends Represent the following:-

- An amount of EGP 759 mn paid in accordance with the agreement of subordinated loan which used in increasing the bank's paid- up capital.
- An amount of EGP 2 mn represents bank's net accrued interest related to the 5% governmental bonds.
- An amount of EGP 50673 mn transferred to supportive reserve.

## National Bank of Egypt

### Separate statement of changes in shareholders' equity for the financial year ended 31 December 2023

National Bank of Egypt
Separate statement of changes in shareholders' equity for the financial year ended 31 December 2023

All Figures Are In EGP mns

| | Paid-up capital | Paid capital under settlement | Legal reserve | "General reserve" | Capital reserve | Supportive reserve | "Special reserve" | General banking risks reserve | "General risk reserve" | Difference between the nominal and present value * | Fair value reserve** | Foreign currency translation differences for overseas branches | Net profit of the financial year | Retained earnings | Total |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Beginning balance as at 01 January,2022 | 50,000 | - | 9,229 | 3,549 | 111 | 5,334 | 107 | 1,496 | 3,793 | 66,167 | 10,727 | 323 | 29,698 | 1,634 | 182,168 |
| Net profit of the year ended 31 Dec,2021, transferred to retained earnings | - | - | - | - | - | - | - | - | - | - | - | - | (29,698) | 29,698 | - |
| Transferred to reserves | - | - | 2,959 | 2,610 | 105 | - | - | 533 | - | - | - | - | - | (6,207) | - |
| Transferred to supportive reserve- Shareholders dividends | - | - | - | - | - | 17,065 | - | - | - | - | - | - | - | (17,065) | - |
| Shareholders' dividends | - | - | - | - | - | - | - | - | - | - | - | - | - | (3,914) | (3,914) |
| Employees' dividends | - | - | - | - | - | - | - | - | - | - | - | - | - | (3,850) | (3,850) |
| Transferred to the Banking system Support and Development Fund | - | - | - | - | - | - | - | - | - | - | - | - | - | (296) | (296) |
| Paid capital under settlement | - | 25,000 | - | (2,666) | - | (22,334) | - | - | - | - | - | - | - | - | - |
| Difference between the nominal and present value | - | - | - | - | - | - | - | - | - | 13,820 | - | - | - | - | 13,820 |
| Net changed in other comprehensive income items' | - | - | - | - | - | - | - | - | - | - | (54) | - | - | - | (54) |
| Foreign currency translation differences for overseas branches | - | - | - | - | - | - | - | - | - | - | - | 557 | - | - | 557 |
| Net profit of the financial Year | - | - | - | - | - | - | - | - | - | - | - | - | 34,650 | - | 34,650 |
| Transferred from FV reserve To Retained earnings | - | - | - | - | - | - | - | - | - | - | (1,036) | - | - | 1,036 | - |
| Ending balance as at 31 December,2022 | 50,000 | 25,000 | 12,188 | 3,493 | 216 | 65 | 107 | 2,029 | 3,793 | 79,987 | 9,637 | 880 | 34,650 | 1,036 | 223,081 |

* For Central Bank of Egypt subordinated loans
**For Financial investment through other comprehensive income
-The attached notes from page (11) to page (61) are an integral part of these separate financial statements.

## National Bank of Egypt

### Separate statement of changes in shareholders' equity for the financial year ended 31 December 2023

National Bank of Egypt
Separate statement of changes in shareholders' equity for the financial year ended 31 December 2023

All Figures Are In EGP mns

| | Paid-up capital | Paid capital under settlement | Legal reserve | "General reserve" | Capital reserve | Supportive reserve | "Special reserve" | General banking risks reserve | "General risk reserve" | Difference between the nominal and present value * | Fair value reserve** | Foreign currency translation differences for overseas branches | Net profit of the financial year | **Retained earnings** | **Total** |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 50,000 | 25,000 | 12,188 | 3,493 | 216 | 65 | 107 | 2,029 | 3,793 | 79,987 | 9,637 | 880 | 34,650 | 1,036 | 223,081 |
| Net profit of the year ended 31 Dec,2022, transferred to retained earnings | - | - | - | - | - | - | - | - | - | - | - | - | (34,650) | 34,650 | - |
| Transferred to reserves | - | - | 3,461 | 3,115 | 41 | - | - | - | - | - | - | - | - | (6,617) | - |
| Transferred to supportive reserve- Shareholders dividends | - | - | - | - | - | 24,086 | - | - | - | - | - | - | - | (24,086) | - |
| Shareholders' dividends | - | - | - | - | - | - | - | - | - | - | - | - | - | (546) | (546) |
| Employees' dividends | - | - | - | - | - | - | - | - | - | - | - | - | - | (4,091) | (4,091) |
| Transferred to the Banking system Support and Development Fund | - | - | - | - | - | - | - | - | - | - | - | - | - | (346) | (346) |
| Paid capital under settlement at the beginning of the year | 25,000 | (25,000) | - | - | - | - | - | - | - | - | - | - | - | - | - |
| Paid capital under settlement | 30,000 | - | - | (5,849) | 0 | (24,151) | - | - | - | - | - | - | - | - | - |
| Difference between the nominal and present value | - | - | - | - | - | - | - | - | - | (3,943) | - | - | - | - | (3,943) |
| Net changed in other comprehensive income items' | - | - | - | - | - | - | - | - | - | - | 9,728 | - | - | - | 9,728 |
| Net change in ECL of debt instruments | - | - | - | - | - | - | - | - | - | - | 2,263 | - | - | - | 2,263 |
| Foreign currency translation differences for overseas branches | - | - | - | - | - | - | - | - | - | - | - | 374 | - | - | 374 |
| Net profit of the financial Year | - | - | - | - | - | - | - | - | - | - | - | - | 70,686 | - | 70,686 |
| Transferred from FV reserve To Retained earnings | - | - | - | - | - | - | - | - | - | - | (1,489) | - | - | 1,489 | - |
| Ending balance as at 31 December,2023 | 105,000 | - | 15,649 | 759 | 257 | - | 107 | 2,029 | 3,793 | 76,044 | 20,139 | 1,254 | 70,686 | 1,489 | 297,206 |

* For Central Bank of Egypt subordinated loans
**For Financial investment through other comprehensive income
-The attached notes from page (11) to page (61) are an integral part of these separate financial statements.

## 1. General

National Bank of Egypt (S.A.E) was established as a commercial bank on 25/6/1898 and operates in accordance with the central bank of Egypt and banking sector Law No.194 for 2020 in Arab Republic of Egypt, and the head office is located in Cairo.

National Bank of Egypt (S.A.E) provides retail, corporate and investment banking services in Arab Republic of Egypt through its head office in Cairo and (657) branches, domestic financial units, representative offices in Johannesburg (South Africa), Dubai (United Arab of Emirates) and Addis Ababa (Ethiopia) and through branches in New York (United States), Shanghai (China). The bank has 26768 employees at December 31, 2023.

## 2. Presentation of the separate financial statements

On October 13, 2020, the General Assembly had approved the amendment of Article (25) of the Bank's Articles of Association to start the financial year from the first of January and end on the end of December of each year, starting from January 1,2022.

## 3. Summary of significant accounting policies

### 3.1- Basis of preparation of the separate financial statements

These separate financial statements have been prepared in accordance with the instructions of the Central Bank of Egypt (CBE) rules approved by its Board of Directors on December 16, 2008; and as per IFRS 9 "Financial Instruments" in accordance with the instructions of the Central Bank of Egypt (CBE) dated February 26, 2019.

Accordingly, management amended the accounting policies to comply with the adoption of mentioned instructions, the following disclosure describes the changes in accounting policies:

The Bank initially applied IFRS 9 "Financial Instruments" issued on July 2014 starting from July 01, 2019. The standard requirement substantially differ from the previously applied standard in the classification , measurement and disclosers of some financial assets and liabilities.

**Classification of financial assets and financial liabilities:**

At initial recognition, financial assets have been classified and measured according to amortized cost, fair value through other comprehensive income (FVTOCI) and fair value through profit or loss (FVTPL).

- The financial assets have been classified according to how they are managed (the entity's business model) and their contractual cash flow characteristics.
- The financial assets are measured at amortized cost if it is not measured at fair value through the profit or loss and if the following two conditions met:

a) The management's intention is to maintain the asset in the business model to collect contractual cash flows and;

b) The contractual conditions of the financial assets will build cash flows in certain dates which are limited only on payment of principal and interest (SPPI).

The Bank may choose without recourse to measure equity investments which are not classified as a trading investment at fair valuethrough other comprehensive income at initial recognition. This choice will be made per each investment.

- All other financial assets will be classified at fair value through profit or loss

In addition to that, the bank may choose without recourse a financial asset to be measured at amortized cost or fair value through other comprehensive income to be measured at fair value through the profit or loss in the initial recognition, and in such a case that this reclassification will lead to prevent an accounting mismatch.

### 3.1.1-Business model assessment:

The Bank makes an assessment of the objective of a business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

a) The stated policies and objectives for the portfolio and the operation of those policies in practice, especially to know whether these management policies concentrate to gain the contractual interest or reconcile financial assets period with financial liabilities period which finance these assets or target cash flow from selling the assets;

b) How the performance of the portfolio is evaluated and reported to the Bank's management;





c) The risks that affect the performance of the business model and the financial assets held within that business model and how those risks are managed

The frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. Meanwhile the bank did not rely only on information related to sales activity separately, but taking into consideration overall assessment on how achieving the goal that was announced by the bank to manage financial assets and how to achieve cash flow.

**Assessment of whether contractual cash flows are solely payments of principal and interest**

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset at initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition.

### 3.1.2 Impairment of financial assets

According to Central Bank of Egypt (CBE) instructions dated February 26, 2019 to implement IFRS 9 is to replace the "impairment loss model recognized" according to previous instructions dated December 16, 2008 with expected credit loss (ECL).

Expected credit loss is applied on all financial assets in addition to some financial guarantees and loan commitments.

According to IFRS 9, a credit loss will be recognized much earlier than the current impairment loss model stated in the Central Bank of Egypt

(CBE) instructions dated December 16, 2008.

The Bank apply three stages to measure expected credit loss on financial assets that are recognized at amortized cost and debt instruments that are recognized at fair value through other comprehensive income. The financial assets can transfer between three stages according to changes in credit quality since initial recognition.

**Stage 1: 12 months Expected Credit Loss:**

Stage 1 includes financial assets on initial recognition and that do not have a significant increase in credit risk since the initial recognition or that have low credit risk. For these assets, an expected credit loss is recognized over 12 months, and the interest is calculated on the gross carrying amount of the asset (without deducting ECL provision), ECL for 12 months is the expected credit loss resulted from expected default within 12 months from the reporting date.

**Stage 2: Lifetime Expected Credit Loss - not credit impaired:**

Stage 2 includes financial assets that have had a significant increase in credit risk since initial recognition but that do not have objective evidence of impairment. For these assets, lifetime expected credit loss is recognized, but interest is still calculated on the gross carrying amount of the asset. Lifetime expected credit losses are the expected credit losses that result from all possible default events over theexpected life of the financial instrument

**Stage 3: Lifetime Expected Credit Loss - credit impaired**

Stage 3 includes financial assets that have objective evidence of impairment at the reporting date. For these assets, the lifetime expected credit loss are recognized, and the interest is marginalized in this stage.

According to CBE regulation issued on February 26, 2019, IFRS 9 had been applied starting from July 01, 2019, the bank had recognized the implementation impact according to the said instructions, special reserve (credit), general banking reserve and IFRS 9 risk reserve are merged together under general risk reserve amounting to 3793 million at 31 Dec 2023

### 3.2 Accounting for Investments in subsidiaries and associates

Investments in subsidiaries and associates are presented in the attached separate financial statements based on the cost method, which

represents the bank's direct share of ownership, and not based on the investee's companies net operating and net assets value

### 3.2.1 - Investments in subsidiaries

Subsidiaries are entities (including Special Purposes Entities / SPEs) which the bank exercises direct or indirect control over its financial and operating policies in order to get benefits from its activities and usually have an ownership share of more than half of its voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered in assessing why ether the bank has the control over its investees.

### 3.2.2 - Investments in associates

Associates are entities over which the bank exercises significant influence directly or indirectly, but without exercising control or joint control, where the bank holds 20% to 50% of voting rights in the associate.

The purchase method is used to account for the bank's purchases of subsidiaries and associates when they are initially recognized;

the acquisition date is the date on which the acquirer obtains control or significant influence of acquire "subsidiary or associate". According to the purchase method, the investments in subsidiaries and associates are initially recognized at cost (which may be incorporated goodwill). The acquisition cost represents the fair value of the consideration given in addition to the other acquisition related costs.

In business combination achieved in stages, and business combination achieved through more than one transaction, is then dealing with every transaction of such transactions that separately on the basis of the acquisition consideration and fair value information at the date of each transition until the date where the control is achieved.

The investments in subsidiaries and associates are subsequently accounted for using the cost method on the separate financial statements. According to the cost method; investments are recognized at acquisition cost less any impairment losses in value, if any. Dividends are recognized as revenue in the separate income statement when declared and the bank ha a right to collect them.

## 3.3- Foreign currency translation

### 3.3.1 - Functional and presentation currency

The separate financial statements of the bank are presented in the Egyptian pound which is the bank' s functional and presentation currency.

### 3.3.2 - Transactions and balances in foreign currencies

The Bank maintains its accounting records in Egyptian pounds. Transactions in foreign currencies during the period are translated into the Egyptian pounds using the exchange rates prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are re- translated using the exchange rate at end of reporting period. Foreign exchange gains and losses resulting from settlement and translation of such transactions and balances are recognized in the income statement and reported under the following items:-

- Net trading income from held for trading assets and liabilities.
- Other operating revenues (expenses) from the remaining assets and liabilities.
- Investments in equity instrument recognized at fair value through other comprehensive income in equity.
- Changes in the fair value of investments in debt instruments; which represent monetary financial instruments, denominated in foreign currencies and classified as fair value through other comprehensive income assets are analysed into differences resulting from changes in the amortized cost of the instrument, differences resulting from changes in the applicable exchange rates and differences resulting from changes in the fair value of the instrument. Differences resulting from changes in the amortized cost are recognized and reported in the income statement in "Interest on loans and similar income" whereas differences resulting from changes in foreign exchange rates are recognized and reported in "Other operating revenues (expenses)". The remaining differences resulting from changes in fair value are recognized in equity and accumulated in the "Fair value reserve" in Other Comprehensive Income.
- Valuation differences arising on the measurement of non-monetary items at fair value include gains or losses resulting from changes in foreign currency exchange rates used to translate those items. Total fair value changes arising on the measurement of equity instruments classified as at fair value through the profit or loss are recognized in the income statement, whereas total fair value changes arising on the measurement of equity instruments classified as fair value through other comprehensive income are recognized directly in equity in the "Fair value revaluation reserve" in Other Comprehensive Income.





## 3.4- Financial assets

### 3.4.1 - Financial Policies:

The Bank classifies its financial assets into the following categories Financial assets classified at amortized cost, fair value through other comprehensive income (FVTOCI) and fair value through profit or loss (FVTPL). The classification generally based on the business model, in which the financial assets are managed, and its contractual cash flows.

#### 3.4.1.1- Financial assets classified at amortized cost

The financial asset is held within a business model, which objective is to collect contractual cash flows.

The objective of that model is to collect a contractual cash flows which include both principal and interest. The sale is an exceptional event for the purpose of this model and under the terms of the standard represented in the following:-

- A credit deterioration for the issuer of financial instrument.
- Lowest sales in terms of rotation and value
- A clear and reliable documentation process for the justification of each sale transaction and its conformity with the requirements of the standard.

#### 3.4.1.2- Financial assets classified as fair value through other comprehensive income

- The financial asset is held within a business model, which objective is to collect contractual cash flows and sale.
- The objective of the model is achieved by both collecting contractual cash flows and sale.
- Comparing to the business model which objective is to held contractual cash flows, sales are higher in turnover and value.

#### 3.4.1.3 - Financial assets classified as fair value through profit/ loss

- The financial asset is held within the other business models, including trading, asset management under fair value, maximizing contractual cash flows through selling transactions.
- The objective of the business model is neither to held contractual cash flows nor to held contractual cash flows and sale.
- Collecting contractual cash flows is an incidental event for the objective of the model.

**The characteristics of the business model are as follows:**

- Structuring a set of activities designed to extract specific outputs.
- Represents a complete framework for a specific activity (inputs - activities - outputs).
- One business model can includes sub-business models.

## 3.5 - Offsetting between financial instruments

A financial assets and a financial liabilities should only be offset when an entity has a legally enforceable right to set off and intends to settle on a net basis, or to realize the asset and settle the liability simultaneously.

## 3.6- Financial derivatives and hedge accounting

Derivatives are initially recognized at fair value on the commitment date and are subsequently measured at fair value. Fair values are determined based on quoted market prices in active markets, including recent market transactions, or valuation techniques, including discounted cash flow models and options pricing models, as appropriate. Derivatives are recognized as an assets when their fair value is a positive, or as a liabilities when their fair value is a negative.

Embedded derivatives, such as the conversion option in a convertible bonds, are treated as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract, provided that the host contract is not classified at fair value through profit or loss. These embedded derivatives are measured at fair value, changes in fair value are recognized in the income statement under "Net trading income", embodied derivative are not separated from the hybrid contract if the bank decided to classify the whole hybrid contract at fair value through profit or loss.

The recognition treatment in profit or loss, arising from changes in derivatives fair value, depends on whether the derivative designated as a hedging instrument and the nature of the hedged item. The bank then designates certain derivatives as follows:

- Fair value hedge, hedge of the exposure to changes in fair value of a recognized asset or liability, or an unrecognized firm commitment.
- Cash flow hedge is attributable to a particular risk associated with all, or a component of a recognized asset or a liability or a highly probable forecast transaction.

Hedge accounting is used for derivatives designated in a hedging relationship when the following criteria are met, at the inception of the hedging relationship, the bank documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the bank documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item.

#### 3.6.1- Fair value hedge

Changes in the fair value of derivatives that are designated and qualify as fair value hedge are recognized immediately in the profit or loss, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk. The effective portion of changes in the fair value of the forward exchange contracts and the changes in the fair value of the hedged item are recognized in "Net trading income" Additionally, any ineffective portion is recognized in "Net trading income".

#### 3.6.2- Cash flow hedge

The effective portion of changes in the fair value of derivatives designated and qualify for cash flow hedge is recognized in equity

while changes in fair value relating to the ineffective portion is recognized immediately in the income statement under "Net trading income".

Amounts accumulated in equity are transferred to income statement (profit/loss) in the relevant periods when the hedged item

affects the income statement. The effective portion of changes in fair value of interest rate swaps and options are reported in "Net trading income". When a hedged item matured or sold, or if the hedge is no longer qualify for hedge accounting requirements, gains or losses that have been previously accumulated in equity remain in equity and are only recognized in profit or loss when the forecast transaction ultimately occurs. If the forecast transaction is no longer expected to occur, any related cumulative gain or loss on the hedging instrument that has been recognized in equity shall be reclassified immediately to the income statement (profit / loss).

#### 3.6.3- Non qualifying derivatives for hedge accounting

Where a derivative instrument does not qualify for hedge accounting, changes in fair value of that derivative are recognized in the income statement under "Net trading income"

Net income from the changes in the financial instruments designated at inception with fair value through profit or loss are recognized in the income statement under gains or losses arising from changes in fair value of derivatives that are managed in conjunction with financial assets or financial liabilities, designated upon initial recognition at fair value through profit or loss.

### 3.7- Interest income and expense

"Interest income on loans and similar income" or "Interest expense on deposits and similar expense" are recognized in the income

statement under "Net interest income" using the effective interest rate method for all financial instruments.

The effective interest rate is a method of calculating The amortized cost of a debt instrument whether a financial asset or a financial liability and of allocating its interest income or interest expense over The relevant period. The effective interest rate is The rate that exactly discounts estimated future cash payments or receipts through The expected life of The financial debt instrument or, when appropriate, a shorter period to The net carrying amount of The financial asset or financial liability on initial recognition. when calculating The effective interest rate, The bank estimates The future cash flows, considering all contractual terms of The financial instrument (for example, prepayment options) but does not consider future credit losses. The calculation includes all fees and points paid or received between parties to The contract that are an integral part of The effective interest rate, transaction costs and all other premiums or discounts.

Interest income on loans is recognized on an accrual basis except for the interest income on non-performing loans, which ceases to be recognized as revenue when the recovery of interest or principle is in doubt.

Interest income on non-performing or impaired (Stage 3) loans and receivables ceases to be recognized in profit or loss and is rather recorded off-balance sheet in statistical records. Interest income on these loans is recognized as revenue on a cash basis s as follows:

- For retail loans, personal loans, small and medium business loans, real estate loans for personal housing and small loans for





businesses, when interest income is collected and after recovery of all arrears.

- For corporate loans, interest income is recognized on a cash-basis after the bank collects 25% of the rescheduled instalments, provided these instalments continue to be paid regularly for at least one year. If a loan continues to be performing thereafter, interest accrued on the principal then outstanding starts to be recognized as revenues (interest on rescheduling performing loans) . except for Interest that is marginalized prior to the date when the loan becomes performing, which is not recognized in the profit or loss provided that the total balance of loan, prior to that date, is paid in full.

### 3.8 Fees and commission income

Fees charged for servicing a loan or facility that is measured at amortized cost, are recognized as revenue when the service is provided. Fees and commissions on non-performing or impaired loans or advances cease to be recognized as income and are rather recorded off balance sheet. These are recognized as revenue on a cash basis.

Commitment fees and related direct costs for loans where draw down is probable are deferred, and is regarded as a compensation for the ongoing involvement with the acquisition of the financial instrument, thereafter recognized as an adjustment to the loan effective interest rate. If the commitment expires without the bank granting the loan, the fees are recognized as revenue on the maturity date.

Loan syndication fees received by the bank are recognized as revenue when the syndication has been completed, if only the bank arranges the loan and retains no part of the loan package for itself (or retains a part at the same effective interest rate for comparable risk as other participants).

Commission and fee arising from negotiating or participating in the negotiation of third party transaction, such as the arrangement of the acquisition of shares or other financial instrument and the purchase or sale of properties, are recognized in the income statement (profit/loss) upon completion of the underlying transaction.

Other management advisory and service fees are recognized based on a relative time –basis throughout the service performing term. Financial planning and custody services fees that are provided on long term are recognized over the year in which the service is provided.

### 3.9 - Dividend Income

Dividends are recognized in the income statement for the bank's equity investments when the right to collect it is declared

### 3.10- Repurchase agreement and resale agreement.

Financial instruments sold under repurchase agreements are not derecognized from the statement of financial position, cash proceeds are shown in liability side in the statement of financial position.

### 3.11 - Impairment of financial assets

#### 3.11.1- Financial Policies:

The Bank reviews all its financial assets except for financial assets that are measured at fair value through profit or loss to assess the extent of impairment as described below.

Financial assets are classified at three stages at each reporting date:

**Stage 1:** Financial assets that have not experienced a substantial increase in credit risk since the date of initial recognition, and

the expected credit loss is calculated for 12 months.

**Stage 2**: Financial assets that have experienced a substantial increase in credit risk since the initial recognition or the date on which the investments are made, and the expected credit loss is calculated over the life of the asset.

**Stage 3**: Impairment of financial assets whose expected credit loss is to be recognized over the life of the asset.

**Credit losses and impairment losses of financial instruments' value are measured as follows:**

- The lowest risk financial instrument is initially recognized at stage one, credit risks are monitored by the Bank's credit risk management on a regular basis.
- If there is a significant increase in the credit risk since initial recognition, the financial instrument will be transferred to stage
- two, as the financial instrument is not considered impaired at this stage.
- If there are an impairment indicators for the financial instrument, it will be transferred to the stage three.

All Figures are in EGP Millions

- The financial assets developed or acquired by the Bank which include a higher credit risk rate than the bank's financial assets with the lowest credit risk rate are initially recognized at stage two directly, therefore the expected credit losses are measured

over the life time expected credit loss.

### 3.11.2-Significant increase in credit risk

The Bank considers that the financial instrument has a significant increase in the credit risk when one or more of the quantitative and qualitative criteria, as well as the factors relating to default, have been met. Such as the deterioration in creditworthiness of the debtors, or there is a significant negative changes in the debtors behaviour i.e.. instalment default...etc.

**Transition backward between stages (1,2,3):**

**Transition backward from stage two to stage one :**

The financial asset is not backward from stage2 to the stage1, unless all the quantitative and qualitative aspects of stage1 are met, and a full payment of all arrears and interest with up to date payment for the period of three months.

**Transition backward from stage three to stage two :**

The financial asset is not backward from stage3 to the stage 2 including reschedule transactions unless all the following conditions have been met:

- All the quantitative and qualitative aspects of stage2 are met.
- Payment of 25% from accrued outstanding balance including accrued suspended/ marginalized interest.
- Up to date payment of interest and principle for the period of 12 months at least.

**Reference to Central Bank of Egypt dated 14 December 2021.**

- Customers are included in stage 3, in case of not-complying with the contractual terms and if they have a past dues equal or more than 180 continuous days (instead of 90 days according to the current instructions).
- For customers previously listed in stage 3, due to the occurrence of a past dues equal or more than 90 days, they will be upgraded to stage 2, if their past dues are less than 180 days, however their expected credit losses remains at stage 3.
- Customers backward from stage 3 to stage 2, if all of the quantitative and qualitative aspects for stage 2 are met, and a full payment of the accrued/ marginalized interest, in addition to a regular payment for a period of 90 days.
- All of the above are applied for a period of 18 months from the date of this circular

### 3.12 - Property investments

Property investments represents lands and buildings owned by the bank in order to obtain rental revenue or capital gains. Consequently, these investments do not include properties used by the bank for its operations and activities or the assets reverted to the bank as settlement of debts. The accounting treatment used for fixed asset is the same applied for property investment.

### 3.13 - Intangible Assets

### 3.13.1-Computer programs

The expenses related to upgrading or maintenance of computer programs, are to be recognized as expenses in income statement, when incurred. The expenses directly related to a specific software program and subjected to the bank's control and expected to produce economic benefits exceeding its cost for more than one year, are to be recognized as an intangible asset. The direct expenses include cost of software upgrading staff and a suitable portion of respective overhead expenses. The expenses leading to an increase or expansion of computer software performance beyond their original specifications are recognized as an upgrading cost and are added to the original software cost.

The cost of computer software recognized as an asset shall be amortized over the expected useful life, but not exceeding three years.

### 3.13.2 - Other Intangible Assets

Other intangible assets are intangible assets other than goodwill and computer software (for instance: trademarks, license, and benefits of rental agreement).Other intangible assets are recognized at acquisition cost and amortized over its estimated useful life using straight-line method or according to expected economic benefits. Other intangible assets with indefinite useful life are not subjected to amortization; however, it will be tested for impairment annually and charged to income statement (profit / loss) if any.





### 3.14 - Fixed Assets

Lands and buildings comprise mainly in head office, branches and offices. All fixed assets are reported at historical cost less depreciation and impairment losses. The historical cost includes the expenditures directly related to the acquisition of fixed assets items. Subsequent costs are included in the asset's carrying value or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Bank and the cost of the item can be measured reliably. Maintenance and repair expenses are charged to other operating expenses during the year in which they are incurred. Leasehold improvements are charged as an expense on income statement. Land is not depreciated. Depreciation of other assets is calculated using the straight-line method to allocate their cost to their residual values over their estimated useful lives, as follows:-

### 3.14 - Fixed Assets (Continued)

| Type of Asset | Depreciation period |
|---|---|
| Buildings and constructions | 20 years |
| Furniture | 4 years |
| Fittings and fixtures | 10 years |
| Vehicles | 5 years |
| Integrated automated systems (computers) | 4 years (3 years for softwar) |
| Locked doors and rooms | 10 years |

### 3.15 - Impairment of Non-Financial Assets

Assets with indefinite useful life other than goodwill are not amortized however, it will be tested for impairment annually. Depreciable assets shall be reviewed for impairment, whenever there are events or changes in circumstances indicating that the book value may not be recoverable.

An impairment loss is recognized and the asset`s value is reduced for the amount by which the asset`s carrying amount exceeding its recoverable amount. The recoverable amount is the higher of an asset`s net selling value or the value in use. For impairment test purposes, Assets are attributed to the lowest level of cash generating unit(s) and the recognized impairment of non-financial assets is reviewed to determine reversal of impairment to income statement on each balance sheet date.

### 3.16 - Cash and Cash Equivalents

For the purposes of the cash flows statement, cash and cash equivalents comprise balances with maturity of three months from the date of acquisition, balances with Central banks over the obligatory reserve outline, due from banks and treasury bills and other governmental notes.

### 3.17 - Other provisions

Provisions for obligations, other than those for credit risk or employee benefits, due within more than 12 months from the date of separate financial statements are recognized based on the present value of the best estimate of the consideration required to settle the present obligation at the reporting date. An appropriate pre-tax discount rate that reflects the time value of money is used to calculate the present value of such provisions.

For obligations due within less than twelve months from the date of separate financial statements, provisions are calculated based on undiscounted expected cash outflows unless the time value of money is material, in which case provisions are measured at present value.

When a provision is wholly or partially no longer required, it is reversed through the profit or loss under "Other Operating Income (Expenses)" line item.

### 3.18 - Financial Guarantees Contracts

The financial guarantees contracts are contracts issued by the bank as a guarantee for loans or overdrafts granted by other entities to the bank's customers, which obligate the bank to pay certain compensation to the beneficiary for the loss incurred due to a default of the debtor on maturity date aligning with the debt instrument conditions. These financial guarantees are granted to the banks, corporations, financial institutions and other entities on behalf of the bank's customers.

It is initially recognized in the financial statement at fair value which reflects the guarantee fees on the date of granting. Subsequently, the Bank's obligation shall be measured by the initially recognized value less guarantee fees amortization, which is reported in the income statement using the higher of a straight-line method over the guarantee useful life or the best estimate of the required payment settlement of any financial obligation resulted from the financial guarantee on the balance sheet date. These estimates are mainly based on management experience with similar transactions and historical losses. Any increase in the obligations resulted from the financial guarantee, is recognized in income statement under "other operating income (expenses)".

### 3.19 - Employee's Benefits

Employee's benefits include all financial and nonfinancial benefits provided by the bank to its employees' for their services.

#### 3.19.1 - Short-term Employee's Benefits

Short-term employees' benefits include salaries and wages, social insurance subscription fees, paid annual leave, bonus (if accrued within 12 months from the financial period ends) and non-financial benefits (as healthcare, housing utilities, transportation, free and subsided services provided to current employees).

Short-term employees' benefits are charged to the income statement as an expense for the period in which the service was provided to the bank's employees who are entitled to receive these benefits.

#### 3.19.2 - Early termination-service's Benefits

Early termination-service's benefits include accrued benefits for the employees who were early terminated aligning with the approved regulations by board of directors'. The bank recognizes the cost of such benefits at the effective date of early termination according to the optional early termination scheme in which the expenses are charged to the income statement for the period in which these benefits are accrued.

#### 3.19.3 - Pension Benefits-specific subscription scheme

#### 3.19.3.1 - Social insurance

Pension benefits represent the bank's contribution of the social insurance paid to the social insurance authority on behalf of its employees according to the Law of the Social Insurance No. (79) for the year of 1975 and its amendments. As the bank pays its contribution in the social insurance authority for each period. This contribution is charged to the income statement in salaries and wages reported in the general and administrative expenses caption for the period in which the bank's employees provide their services. The bank's obligation regarding the settlement of pension benefits is considered as a specific subscription scheme therefore no additional obligation regarding employee's pension benefits is charged on the bank expect its contribution of social insurance that is accrued for the authority by the bank on behalf of its employees'.

#### 3.19.3.2 - Special Insurance Fund

The bank pays the fund's share (the special insurance fund) from the determined annual variable wages according to the fund's articles of association which enclose on paying the annual member's subscription fees which is equal to six months of the employees shares The fund provides the determined one-instalment benefit in cases of (Retirement in 60's age, Death, Early termination and Resignation) in addition to post-retirement monthly pension for ten years varied according to the employee job ranking. The bank's obligation of payment these benefits is considered as a specific subscription scheme.

#### 3.19.4 - Other Post-Service's Benefits-Healthcare

The bank provides healthcare benefits for pensioners after service ends. .The healthcare commitment is considered as a specific subscription scheme. The recognized liability in the balance sheet regarding the pensioner's healthcare system is measured at the present value of the determined liabilities on balance sheet's date after deducting the fair value of the related assets and subtracting (adding) unrealized actuarial reconciliations of profits (losses) as well as the cost of the additional benefits regarding prior service terms.

An independent actuary who applies the Projected Unit Credit Method calculates the liability of the annually determined benefits system (future cash flows expected to be paid). The present value of the determined benefits system liability is measured through deducting these expected future cash flows to be paid by applying the rate of return of high quality corporate bonds or the rate of return of government bonds in the same currency to be used in payment of benefits and which have almost the same maturity period as the pension benefit liabilities regarding these benefits.

Calculated gains (losses) resulting from changes and adjustments in actuarial estimates and assumptions are to be deducted from (the losses added to) the income statement if they do not exceed 10% of the determined benefit system's assets value or 10% of the determined benefit system's liability whichever is higher. In case gains (losses) rise above-mentioned percentage then the increase shall be deducted (added) in the income statement. The costs of previously mentioned-service are directly recognized in the income statement within administrative





expenses caption unless the amendments of the retirements' regulations are conditional to the remaining of the employee in services for a specific period of time.

#### 3.19.5 - Other Post-Employment Benefits

The bank provides benefits for pensioners after service ends. Generally, the accrual of these benefits are conditional to, the remaining of the employees in service till the retirement age and the completion of a minimum period of service. The expected costs of these benefits are to be accrued over the employment period of time by adopting an accounting method similar to the method adopted in the specific subscription scheme.

### 3.20 - Income Tax

The income tax on period / year performance results' includes both the current and deferred taxes. Income tax is recognized in the income statement except for income taxes relating to equity items that are recognized directly in the equity.

The income tax is recognized based on the net taxable income, using the applicable tax rate on the balance sheet date, in addition to prior years' tax adjustments.

Deferred taxes arising from the temporary time differences between the book value of assets and liabilities allied with the accounting principle and the value allied with tax principles are recognized according to the expected manner to realize or settle the value of assets and liabilities using the applicable tax rate on the date of balance sheet.

### 3.20 - Income Tax (Continued)

The bank's deferred tax assets are recognized when there is a weighted probability of realizing a taxable net profit in the future whereby this asset can be utilized. The deferred tax assets are reduced by the estimated amount of the unrealized taxable profit in the following years. However, in case of increasing in the estimated taxable profit, the deferred tax assets will increase to the extent of previous reduction.

The Bank is subject to income taxes in several tax districts regarding overseas branches that require using a significant estimate to determine the total provision of the income taxes. There are some accounts and operations that are hard to comprehensively determine the final tax assessment.

The Bank records obligations derived from the expected results of tax inspection based on estimates of the probability of determining additional taxes. When there is a variance between the final taxes' result and the amounts previously recorded, these variances will affect the income tax and the deferred tax provision for the year in which the variance is identified.

### 3.21 - Borrowing

The obtained loans by the bank are recognized initially at fair value net of transaction costs incurred. Loan is subsequently reported at amortized cost. Any difference between the net proceeds and the settlement value is recognized in the income statement over the borrowing' period using the effective interest rate method.

### 3.22 - Significant accounting estimates and assumptions

The Bank uses an estimates and assumptions that affect the disclosed amounts of assets and liabilities in the following year. These estimates and assumptions are evaluated based on the historical experience and other factors including the expectations of future events that are considered reasonable under the circumstances and available information.

When scheduling future cash flows, the management uses estimates based on previous experience of asset losses with credit risk characteristics in the presence of objective evidence indicating impairment similar to that in the portfolio. The method and assumptions used to estimate both the amount and timing of future cash flows are reviewed regularly to reduce Any differences between the estimated loss and the actual loss based on experience

#### 3.22.1 - Fair value of derivatives

The fair values of derivative financial instruments not quoted in active markets, are determined using valuation methods. When these methods (such as models) are used to measure the fair values, they are tested and reviewed periodically by qualified personnel who are independent of the method's drafters. All models are verified before being used and after being tested to ensure that their results reflect actual data and prices that can be compared to the market to the extent that is considered practical. Only reliable data are used in these models; however, areas such as credit risks corresponding to the bank, counterparties, volatility or correlations require management to use estimates. Changes in estimates of these factors may affect the fair value of the financial instrument reported at the date of the reporting date.

## 4. Financial Risk Management:

The bank, as a result of the exercised activities, is exposed to various financial risks. Since the basis of financial activity is to accept risks; some risks or risks grouped together are analysed, evaluated and managed altogether. The bank intends to achieve a convenient balance between the risk and the return and to reduce the probable adverse effects on the bank's financial performance. The most important type of risk is credit risk, market risk, liquidity risk and other operating risks. The market risk comprises of foreign currency exchange rates risk, rate of return risk and other pricing risks.

The bank's risk management policies are designed to identify, analyse these risks, set limits to the risk and control them through reliable methods and up-to-date information systems. The bank regularly reviews its risk management policies and systems and amend them to reflect the changes in market, products and services and emerging best practice.

Those risks are managed by risk department in the light of policies approved by Board of Directors. The risk department determines, evaluates and hedge the financial risks, in close collaboration with the bank's various operating units, and the Board of Directors provides written principles for the overall risk management, in addition to a written policies covering specific risk areas, like credit risk, foreign currency exchange rate risk, rate of return risk, and the using of financial derivative and non–derivative instruments. Moreover, the risk department is independently responsible for a periodical review of risk management and control environment.

### 4.1 - Credit risk

The bank is exposed to a credit risk, which is the risk arising from the default of one party. The credit risk is considered to be the most significant risk for the bank, therefore the risk department manages its risk exposure carefully. The credit risk is essentially represented in the lending activities which result in loans, advances and investing activities that leads to the arising of a debt instrument included in the bank's financial assets.

The credit risk is also found in off balance sheet financial instruments, such as loan commitment. The managing and monitoring process on credit risk is centralized at credit risk management team at credit risk department that reports to Board of Directors and Head units on a regular basis.

### 4.1.1 - Credit risk measurement

**Loans and advances to banks and customers**

In measuring credit risk for loans and advances to customers and banks, the bank reflects three components:

- Probability of default by the customer or a third party on their contractual obligations.
- The current position and the future weighted evolution from which the bank derive the exposure at default.
- Loss given default.

The daily activities of the bank`s business involve measurement of credit risk which reflects the expected loss (the expected loss model) required by Basel committee on banking supervision, the operating measures may contradict with the impairment charge in accordance with the previous standards, which are based on the losses incurred on reporting date (the incurred losses model) rather than the expected losses, as will be explained later.

The Bank evaluates the probability of default for each customer using internal evaluation techniques in order to separately categorize the eligibility of different types customers. These techniques are updated by considering the statistical analysis and the personal judgment of the credit officer to reach a convenient eligibility rating.

The bank's customers are segmented into four eligibility rating. The bank's eligibility rating scale, which is shown as below, assesses the probability of default for each eligibility rating category, which essentially means that credit positions migrate between the mentioned categories as the assessment of their probability of default changes. The assessment techniques are reviewed and updated whenever it's necessary. Further, the bank periodically assesses the performance of the eligibility rating techniques and its predictability of the default cases.

**The Bank's internal rating categories according to eligibility rating scale:**

| Rating | Grade description |
|---|---|
| 1 | Performing loans |
| 2 | Regular watching |
| 3 | Watch list |
| 4 | Non performing loans |

The position exposed to default is based on the expected outstanding amounts when the default occurs; for example, as for a loan, the position is the nominal value while for commitments, the bank enlists the actual withdrawing amounts in addition to the expected amounts to be withdrawn until the date of default, if any.

Loss given default or loss severity represents the bank's expectations of the extent of loss when the debt is claimed in case of default. Expressed by the percentage of loss to the debt; this typically varies by the category of the debtor, the claim's priority and the availability of collaterals or other credit hedge items.

### 4.1.2 - Risk Limit Control and Mitigation Policies

The Bank manages limits and controls the credit concentrations at the borrowers' level, groups of borrower's level, industries level and countries level. The Bank arranges the acceptable credit risk level by placing limits on the extent of risk accepted in relation to single borrower, or groups of borrowers, and to the geographical and economic segments. Such risks are monitored on a regular basis and subject to an annual or more frequent review, when considered necessary. Credit risk level limits for borrowers, groups of borrower, products, sectors and countries are approved by The Board of Directors on quarterly basis.

The credit limits for any borrower including banks is divided by sub-limits which includes the on and off-balance sheet amounts and the daily risk exposure limit regarding the trading items such as forward foreign exchange contracts. Actual amounts against limits are monitored daily. Exposure to credit risk is also managed through regular analysis of the existing and potential borrowers' ability

to settle their obligations and also through changing the lending limits, when appropriate.

**The following are some tools used by the bank to mitigate the credit risk Collaterals**

The bank sets a various policies and regulations in order to mitigate its credit risk. One of these methods is accepting collaterals against granted money. The bank implements guidelines for a specified category of accepted collaterals. The major types of collateral for loans and advances are:

- Property mortgage
- Business assets mortgage such as machines and goods.
- Financial instruments mortgage such as debt and equity instruments.

Longer-term finance and lending to corporate and retail are often secured. To reduce credit loss to its minimum level, the bank intends to get additional collateral from the concerned parties as soon as an indication of impairment of loan or facility appears. Collateral held as a security against assets other than loans and facilities; determined by the nature of the instrument, and debt instruments and treasury bills are normally unsecured with the exception of asset-backed securities and the similar instruments backed by a financial instrument portfolio.

**Derivatives**

The bank maintains conservative control limits over net open derivatives positions, the difference between the purchase and sale contracts on both the value and term. At any time, the amount subject to credit risk is measured at the instrument's fair value which achieves benefit to the bank (i.e., assets that have positive fair value), which represent a small portion of the notional value or the notional values used to express the volume of the outstanding instruments. This credit risk is managed as a part of the overall lending limits granted to customers' together with expected risk exposure arising from market changes. Generally, no collateral obtained for credit risk related to these instruments, except for marginal deposits required by the bank from other parties.

Settlement risk arises when cash, equity instruments or other financial papers is used in the settlement process, or if there is expectation to receive cash, equity instruments or other financial papers. Daily settlement limits are established for each other party in order to cover the aggregated settlement risk arising from the daily Bank transactions.

**Master Netting Arrangements:**

The Bank further restricts its exposure to credit risks by entering into master netting arrangements with parties representing significant volume of transactions. Master netting arrangement do not generally result in netting between assets and liabilities at the balance sheet date as the settlement is a collectively based. However, the credit risk regarding the bank's favourable contracts is reduced by a master netting arrangement as if there is a default, all amounts with other parties using the master netting arrangement is terminated and settled. The value of the credit risk exposure arising from derivatives instrument subject to master netting agreement is changed in short term as it is affected by each transaction subject to this agreement.

All Figures are in EGP Millions

**Credit-related Commitments:**

The primary purpose of credit-related commitments is to ensure that funds are available to customer when required. Guarantees and standby letters of credit carry the same credit risks as loans. Documentary and commercial letters of credit – which are issued by the Bank on behalf of its customer by which a third party grants the right to draw within a stipulated limit subjected to a specific terms and conditions that are collateralized by the goods under shipment. Therefore, a lower risk than a direct loan is carried.

Credit-related commitments represent the unused portion of the authorized granting for credit limit of loans, collaterals or letters of credit. With respect to credit risk arising from credit-related commitments, the Bank is exposed to a probable loss of an amount equal to the total unused commitment. However, the expected weighted amount of loss is less than the unused commitments, as the most of credit-related commitments are contingent liabilities for customers with specific credit criteria. The Bank monitors the maturity term of the credit-related

commitments because the longer-term commitments generally have a greater degree of credit risk than the shorter-term commitments.

**4.1.3 - Expected credit losses policy**

The Bank's policies require the identification of three stages of classifying financial assets measured at amortized cost, loan

commitments and financial guarantees as well as debt instruments at fair value through other comprehensive income in accordance with changes in credit quality since initial recognition and thereafter measuring the impairment losses (expected credit losses) as follows:-

The un-impaired financial asset is classified at initial recognition in the first stage and credit risk is monitored continuously by the Bank's credit risk management.

In the case of a significant increase in credit risk since the initial recognition, the financial asset is transferred to the second stage and the financial asset is not considered at this stage (the expected credit loss over the life of the asset without impairment).

In case of indications of impairment of the financial asset, it is transferred to the third stage. The Bank relies on the following indicators to determine whether there is objective evidence of impairment:

- A significant increase in the rate of return on the financial asset as a result of increased credit risk.
- Significant negative changes in the activity and financial or economic conditions in which the borrow were operates.
- Scheduling request as a result of difficulties facing the borrower.
- Significant negative changes in actual or expected operating results or cash flows.
- Future economic changes affecting the borrower's future cash flows.
- Early indicators of cash flow / liquidity problems such as delays in servicing creditors / business loans.
- Cancellation of a direct facility by the bank due to the high credit risk of the borrower.

The expected credit loss provision reported in the balance sheet at the end of the period / year is derived from the four internal rating grades. However, the majority of the impairment loss provision derived from the last two ratings.

| Bank's rating | 31-DEC 2023 | | 31-DEC 2022 | |
|---|---|---|---|---|
| | Loans and advances-Corporate | Loans and advances-Corporate | Loans and advances | ECL provision |
| Performing loans | 85.58% | 19.51% | 83.50% | 15.50% |
| Regular watching | 12.67% | 46.61% | 14.20% | 42.29% |
| Watch list | 0.67% | 11.88% | 1.15% | 20.90% |
| Non-performing loans | 1.08% | 22.00% | 1.15% | 21.31% |
| | 100% | 100% | 100% | 100% |





All Figures are in EGP Millions

The management is confident in its ability to continue of controlling and maintaining the minimum credit risk limit derived from loans, advances portfolio as follows:

the loans and advances` portfolio which classified at the highest two categories

| 31-DEC 2023 | 31-DEC 2023 |
|---|---|
| 97.7% | 98.3% |

**4.1.4 - Pattern of measure banking general risk**

In addition to the four categories of credit rating indicated in note (A/1) the management makes more categories in shape of more detailed subgroups in accordance with the CBE requirements, Assets exposed to credit risk in these categories are classified according to detailed conditions and terms depending on customer's information about, his activities, financial position and his regularity of making payment.

The Bank calculates the provisions required for impairment of assets exposed to credit risk, including credit-related commitments on the basis of determined rates by CBE. In case, the provision required for impairment losses as per CBE regulations exceeds the provision required for financial statements preparation purposes, this increase shall be reduced from "the retained earnings" caption and carried forward to the "general Banking risk reserve" caption in equity. This reserve is amended in a regular basis by increasing or decreasing, as it always shall be equivalent to the amount of increase between the two provisions. This reserve is not available for distribution. The following are categories of institution worthiness according to internal ratings compared to CBE ratings and rates of required provision for impairment of assets exposed to credit risk:

| CBE rating | CBE rating | Provision% | Internal rating | Rating description |
|---|---|---|---|---|
| 1 | Low risks | 0% | 1 | Performing loans |
| 2 | Moderate risks | 1% | 1 | Performing loans |
| 3 | Satisfactory risks | 1% | 1 | Performing loans |
| 4 | Appropriate risks | 2% | 1 | Performing loans |
| 5 | Acceptable risk | 2% | 1 | Performing loans |
| 6 | elbatpecca yllanigraM sksir | 3% | 2 | Regular watch-list |
| 7 | Special watch-list | 5% | 3 | Watch-list |
| 8 | Substandard | 20% | 4 | Non performing loans |
| 9 | Doubtful | 50% | 4 | Non performing loans |
| 10 | Bad | 100% | 4 | Non performing loans |

All Figures are in EGP Millions

### 4.1.5 - Maximum limits for credit risk before collaterals:

| Credit risky items' exposure in the statement of financial position:- | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|
| Obligatory reserve balances with Central Banks | 40,024 | 193,586 |
| Due from banks, net | 634,247 | 280,978 |
| Loans and advances to Banks, net | 1,855 | 1,758 |
| Loans and advances to customers | | |
| Individual loans:- | | |
| Credit cards | 17,343 | 12,034 |
| Overdrafts | 9,913 | 10,912 |
| Personal loans | 240,455 | 183,518 |
| Auto loans | 3,740 | 3,447 |
| Mortgage loans | 20,257 | 17,196 |
| Total individual loans | 291,708 | 227,107 |
| Corporate loans | | |
| Overdrafts | 1,125,817 | 731,188 |
| Direct loans | 663,938 | 527,082 |
| Syndicated loans | 323,553 | 242,244 |
| Total Corporate loans | 2,113,308 | 1,500,514 |
| Total loans and advances to customers | 2,405,016 | 1,727,621 |
| Financial derivatives | 4,336 | 20 |
| Financial investment at fair value through other comprehensive income | 640,028 | 476,283 |
| Financial investment at amortized cost | 1,373,145 | 1,400,926 |
| Other assets* | 100,036 | 62,689 |
| Total risk limit before collateral | 5,198,687 | 4,143,861 |

*Represent the amount of the current accrued revenues.



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Separate Statement of Financial Position as at 31 December 2023

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| | 31-DEC 2023 | 31-DEC 2022 |
|---|---|---|
| Credit risk exposure in off-balance sheet items' | | |
| Letters of credit | 75,232 | 74,728 |
| Letters of guarantee | 261,611 | 203,802 |
| Customer acceptances | 121,676 | 92,381 |
| Discounted bills | 869 | 747 |
| | 459,388 | 371,658 |
| As shown in the previous table:- | | |
| Loans and advances (customers & banks) ratio to total risk limit | 46% | 42% |
| Debt investment ratio to total risk limit | 39% | 45% |

The Bank applied more conservative testing process when granting loans and advances during The financial year ended 31-Dec-2023.

All Figures are in EGP Millions

### 4.1.6 - Financial assets quality

Quality of most significant financial assets'-gross amounts(on-balance sheet)

| | 31-DEC-2023 | | | | 31-DEC-2022 | | | |
|---|---|---|---|---|---|---|---|---|
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| Due from banks | 634,542 | - | - | 634,542 | 281,190 | - | - | 281,190 |
| Loans and advances to Banks | 1,878 | - | - | 1,878 | 1,762 | - | - | 1,762 |
| Loans and advances to customers | 2,273,468 | 105,746 | 25,802 | 2,405,016 | 1,629,880 | 80,925 | 16,816 | 1,727,621 |
| Financial derivatives | 4,336 | - | - | 4,336 | 20 | - | - | 20 |
| Financial investment at fair value through other comprehensive income | 640,028 | - | - | 640,028 | 476,283 | - | - | 476,283 |
| Total | 3,554,252 | 105,746 | 25,802 | 3,685,800 | 2,389,135 | 80,925 | 16,816 | 2,486,876 |

Credit risk exposure in off-balance sheet items' (excluding collaterals)

| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
|---|---|---|---|---|---|---|---|---|
| Letters of credit | 74,968 | 263 | 1 | 75,232 | 74,247 | 481 | - | 74,728 |
| Letters of guarantee | 222,084 | 36,605 | 2,922 | 261,611 | 198,408 | 2,807 | 2,587 | 203,802 |
| Customer acceptances | 121,633 | 43 | - | 121,676 | 90,542 | 1,839 | - | 92,381 |
| Discounted bills | 869 | - | - | 869 | 747 | - | - | 747 |
| | 419,554 | 36,911 | 2,923 | 459,388 | 363,944 | 5,127 | 2,587 | 371,658 |





All Figures are in EGP Millions

### 4.1.6.1 - Customer loans

The following table provides information on the quality of loans and advances to customers' during the period / year-according to the bank's internal rating

| | 31-DEC-2023 | | | | 31-DEC-2022 | | | |
|---|---|---|---|---|---|---|---|---|
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| Individual loans and advances to customers: | | | | | | | | |
| Performing loans | 181,193 | - | - | 181,193 | 127,946 | - | - | 127,946 |
| Regular watching | 97,724 | - | - | 97,724 | 92,300 | - | - | 92,300 |
| Watch list | - | 10,400 | - | 10,400 | - | 6,170 | - | 6,170 |
| Non-performing loans | - | - | 2,391 | 2,391 | - | - | 691 | 691 |
| Total Individuals | 278,917 | 10,400 | 2,391 | 291,708 | 220,246 | 6,170 | 691 | 227,107 |
| Corporate loans | | | | | | | | |
| Performing loans | 1,843,758 | 13,519 | - | 1,857,277 | 1,277,065 | 7,088 | - | 1,284,153 |
| Regular watching | 150,793 | 77,681 | - | 228,474 | 132,569 | 57,617 | - | 190,186 |
| Watch list | - | 4,146 | - | 4,146 | - | 10,050 | - | 10,050 |
| Non-performing loans | - | - | 23,411 | 23,411 | - | - | 16,125 | 16,125 |
| Total Corporate loans | 1,994,551 | 95,346 | 23,411 | 2,113,308 | 1,409,634 | 74,755 | 16,125 | 1,500,514 |
| Total loans and advances to customers | 2,273,468 | 105,746 | 25,802 | 2,405,016 | 1,629,880 | 80,925 | 16,816 | 1,727,621 |
| **Less: Expected credit losses, interest in suspense & commercial papers discount** | | | | | | | | |
| Individual loans and advances | (2,330) | (65) | (2,065) | (4,460) | (1,380) | (155) | (206) | (1,741) |
| Corporate loans and advances | (29,342) | (36,450) | (21,304) | (87,096) | (18,164) | (28,799) | (15,074) | (62,037) |
| Total expected credit losses | (31,672) | (36,515) | (23,369) | (91,556) | (19,544) | (28,954) | (15,280) | (63,778) |
| Net | 2,241,796 | 69,231 | 2,433 | 2,313,460 | 1,610,336 | 51,970 | 1,537 | 1,663,843 |

All Figures are in EGP Millions

### 4.1.6.1 - Customer loans

The below table represents loans and advances to customers quality during the financial period / year -according to products

| Individual loans | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 31-DEC-2023 | | | | 31-DEC-2022 | | | |
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| Overdrafts | | - | 1 | 9,913 | 10,910 | - | 2 | 10,912 |
| Credit cards | | 310 | 66 | 17,343 | 11,737 | 240 | 57 | 12,034 |
| Personal loans | | 9,706 | 851 | 240,455 | 177,224 | 5,727 | 567 | 183,518 |
| Mortgage loans | | 346 | 1,466 | 20,257 | 16,955 | 177 | 64 | 17,196 |
| Auto loans | | 38 | 7 | 3,740 | 3,420 | 26 | 1 | 3,447 |
| Total Individual loans | 278,917 | 10,400 | 2,391 | 291,708 | 220,247 | 6,170 | 690 | 227,107 |

| Corporate loans | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| Overdrafts | 1,092,873 | 23,949 | 8,995 | 1,125,817 | 705,728 | 18,692 | 6,768 | 731,188 |
| Direct loans | 595,624 | 56,025 | 12,289 | 663,938 | 477,065 | 41,481 | 8,536 | 527,082 |
| Syndicated loans | 306,054 | 15,372 | 2,127 | 323,553 | 226,841 | 14,582 | 821 | 242,244 |
| Total Corporate loans | 1,994,551 | 95,346 | 23,411 | 2,113,308 | 1,409,634 | 74,755 | 16,125 | 1,500,514 |
| Total | 2,273,468 | 105,746 | 25,802 | 2,405,016 | 1,629,881 | 80,925 | 16,815 | 1,727,621 |




All Figures are in EGP Millions

### 4.1.6-Financial assets quality (Continued)

### 4.1.6.1 - Customer loans (Continued)

Past dues of loans and advances:

| Individual loans and advances | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 31-DEC-2023 | | | | 31-DEC-2022 | | | |
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| No Past Dues | 245,454 | - | - | 245,454 | 195,637 | - | - | 195,637 |
| up to 30 days | 33,463 | - | - | 33,463 | 24,609 | - | - | 24,609 |
| > 30 ≤ 60 days | - | 9,736 | - | 9,736 | - | 4,350 | - | 4,350 |
| > 60 < 90 days | - | 664 | - | 664 | - | 1,820 | - | 1,820 |
| > 90 days | - | - | 2,391 | 2,391 | - | - | 691 | 691 |
| Total individual | 278,917 | 10,400 | 2,391 | 291,708 | 220,246 | 6,170 | 691 | 227,107 |

| Corporate loans | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| No Past Dues | 1,210,019 | 71,277 | - | 1,281,296 | 1,333,448 | 55,032 | - | 1,388,480 |
| up to 30 days | 784,461 | 16,061 | - | 800,522 | 76,119 | 12,095 | - | 88,214 |
| > 30 ≤ 60 days | 71 | 2,666 | - | 2,737 | 34 | 2,691 | - | 2,725 |
| > 60 < 90 days | - | 1,492 | - | 1,492 | 33 | 1,866 | - | 1,899 |
| > 90 days * | - | 3,850 | 23,411 | 27,261 | - | 3,071 | 16,125 | 19,196 |
| Total corporate | 1,994,551 | 95,346 | 23,411 | 2,113,308 | 1,409,634 | 74,755 | 16,125 | 1,500,514 |

* The above figures include 3 billion EGP for SME portfolio according to CBE circular dated 14 June 2023, to extend the grace period for transferring accounts to stage 3 in case of past due days more than 180 day.

All Figures are in EGP Millions

## Loans and advances collaterals:

At loans and advances initial recognition, the fair value of collaterals are measured in accordance to the valuation methods used usually with similar assets, subsequently the fair value is measured according to market prices or similar assets prices.

| Individual loans | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 31-DEC-2023 | | | | 31-DEC-2022 | | | |
| | Stage 1 | Stage 2 | Stage 3 | Total | Stage 1 | Stage 2 | Stage 3 | Total |
| Overdrafts | 9,318 | - | - | 9,318 | 10,019 | - | - | 10,019 |
| Credit cards | 10,483 | 272 | 41 | 10,796 | 7,210 | 217 | 41 | 7,468 |
| Personal loans | 161,044 | 8,992 | - | 170,036 | 110,137 | 5,580 | - | 115,717 |
| Auto loans | 348 | 20 | - | 368 | 568 | 24 | - | 592 |
| Corporate loans | | | | | | | | |
| Overdrafts | 903,149 | 3,554 | 1,255 | 907,958 | 598,552 | 4,134 | 816 | 603,502 |
| Direct loans | 214,947 | 13,350 | 3,943 | 232,240 | 124,647 | 11,225 | 2,198 | 138,070 |
| Syndicated loans | 251,496 | 107 | 469 | 252,072 | 185,187 | 641 | 140 | 185,968 |
| **Total Corporate loans** | 1,550,785 | 26,295 | 5,708 | 1,582,788 | 1,036,320 | 21,821 | 3,195 | 1,061,336 |

**Acquisition of collaterals during the year**

| Type of asset | Book value |
|---|---|
| Property investment | 65 |

Acquired assets are classified in the balance sheet under "other assets". The Bank, as practical, sells such assets.





All Figures are in EGP Millions

### 4.1.6.1 - Customer loans (Cont.)

**Restructured loans and advances**

Restructuring activities include extension of payment arrangements, implementation of the obligatory management programs, adjustments and deferred payment. The implementation of restructuring policies depends on an indicators or criteria of a highly probability of continuous payment based on the management personal judgment. Such policies are reviewed on a regular basis. Restructuring is commonly applied to long-term loans, especially the loans for customers financing, the below table represents the renegotiated loans :

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| loans and advances movement | 2,123 | 1,749 |

### 4.1.6.2- Quality of financial assets (Debt instruments)

The following table represents the analysis of debt instruments, treasury bills, and other governmental notes at the end of the financial year, according to S&P / Fitch rating with a Stable future outlook.

| | 31-DEC-2023 | | 31-DEC-2022 | |
|---|---|---|---|---|
| | Rating | Balance | Rating | Balance |
| Financial investment at fair value through other comprehensive income | | | | |
| Treasury bills -Egypt | B- | 444,497 | B2 | 322,654 |
| Governmental bonds-Egypt | B- | 1,095 | B2 | 932 |
| Financial investment at amortized cost | | | | |
| Governmental bonds -Egypt | B- | 1,389,219 | B2 | 1,403,623 |

### 4.1.6.3- Expected credit losses' for financial assets

| | Note No. | 31-DEC 2022 | (Charge) / Reverse | Revaluation | Amounts Written-off during the year / Re-classification | 31-DEC 2023 |
|---|---|---|---|---|---|---|
| Corporate | 19 | 54,765 | 16,944 | 1,935 | (1,639) | 72,005 |
| Individual | 19 | 1,741 | 3,129 | - | (410) | 4,460 |
| Contingent liabilities | 31 | 5,777 | (810) | (129) | - | 4,838 |
| Financial investments at amortized cost | 22 | 2,797 | 13,271 | 6 | - | 16,074 |
| Financial investment at fair value through OCI | 21 | - | 2,150 | 113 | (2,263) | 0 |
| Due from banks | 16 | 212 | 30 | 53 | - | 295 |
| Loans to Banks | 18 | 4 | 18 | 1 | - | 23 |
| Amounts recovered during the year | 10 | - | (2,821) | - | 2,821 | - |
| Total | | 65,296 | 31,911 | 1,979 | (1,491) | 97,695 |

All Figures are in EGP Millions

### 4.1.7 - Concentration of financial assets' risks exposed to credit risk - Geographical segments

The following table represents an analysis of book value related to the Bank's significant credit risks limits, distributed by geographical region at the end of the current period. The risk was distributed over the geographical areas in accordance to the connected areas with bank's customers.

| | Greater Cairo | Alexandria, Delta, Sinai and Canal | Upper Egypt | Other Countries | Total |
|---|---|---|---|---|---|
| Obligatory reserve balances with Central Banks | 39,869 | - | - | 155 | 40,024 |
| Due from banks, net | 621,996 | - | - | 12,251 | 634,247 |
| Loans and advances to Banks, net | 1,564 | 2 | - | 289 | 1,855 |
| Individual loans:- | | | | | |
| Credit cards | 11,623 | 4,704 | 1,016 | - | 17,343 |
| Overdrafts | 7,412 | 2,043 | 458 | - | 9,913 |
| Personal loans | 128,331 | 78,755 | 33,369 | - | 240,455 |
| Auto loans | 3,136 | 543 | 61 | - | 3,740 |
| Mortgage loans | 14,990 | 2,416 | 2,851 | - | 20,257 |
| | | | | | 291,708 |
| Corporate included SME's loans | | | | | |
| Overdrafts | 1,066,634 | 47,892 | 11,291 | - | 1,125,817 |
| Direct loans | 594,438 | 42,307 | 27,193 | - | 663,938 |
| Syndicated loans | 309,029 | 14,524 | - | - | 323,553 |
| | | | | | 2,113,308 |
| Financial derivatives | 4,336 | - | - | - | 4,336 |
| Financial investment at fair value through other comprehensive income | 639,874 | - | - | 154 | 640,028 |
| Financial investment at amortized cost | 1,373,145 | - | - | - | 1,373,145 |
| Other assets* | 99,009 | 739 | 241 | 47 | 100,036 |
| Total at the end of the current year | 4,915,386 | 193,925 | 76,480 | 12,896 | 5,198,687 |
| **Total at the end of the comparative year** | 3,878,858 | 154,343 | 62,946 | 47,714 | 4,143,861 |

*Represented in current accrued revenue.





All Figures are in EGP Millions

## 4.2 - Market risks

The Bank is exposed to market risks embodied in the fair value fluctuations or the future cash flows arising from the changes in market rates. Market risks are derived from the open positions of interest rate, currency rates and the equity products, as each of them is exposed to a general and special market movements as well as to changes in the sensitivity level of market rates or prices such as interest rates, exchange rates and equity instrument rates. The Bank separates its exposure to market risk, either for trading or non-trading portfolios.

The management of market risks arising from trading or non-trading activities is centralized in the Bank's Market Risk management department which is monitored by two separate teams. periodical reports on market risks are submitted to the Board of Directors and the heads of business unit on a regular basis.

Trading portfolios include position derived from the Bank's direct dealing with customers or market, while non-trading portfolios are primly derived from interest rate management of assets and liabilities related to retail transactions. These portfolios include foreign currency risks and equity instruments arising from investments at amortized cost and fair value through other comprehensive income investments'.

### 4.2.1 - Market risk measurement techniques

As part of market risk management, the Bank perform several hedging strategies and enters into interest rate swaps in order to balance the inherent risks of debt instruments and fixed-rates long term loans, if the fair value option is applied. The following are the most important measurement methodologies applied to control the market risks.

**Value at Risk**

The Bank applies "Value at Risk" methodology for trading and non-trading portfolios in order to estimate the market risks of the current positions and the maximum limit of expected loss, based on a number of assumptions for various changes in market conditions. The Board of Directors sets a limits for the value at risk that the Bank can tolerate for trading and non-trading separately. Such limits are daily monitored by the Bank's Market Risks Department.

Value at risk is a statistical prospect for the expected loss of the current portfolio arising from the market's adverse circumstances. It states the maximum value the Bank may lose using a specific confidence coefficient (99%). Consequently, the statistical probability of (1%) indicates that the actual loss may be greater than the expected value at risk.

The value at risk model assumes a defined retention period (one day) before closing the open positions. The model also assumes that the market's move will follow, during the retention period, the same pattern of movement that occurred during the previous day. The Bank estimates the previous movement on the basis of the information for the past five years.

The Bank applies such historical changes in the rates, prices and indicators to the current positions directly – this method known as the historical simulation. Actual outputs should also be monitored on a regular basis to measure the correctness of assumptions and the factors used to calculate the value at risk. Usage of this method does not prevent the losses to exceed these limits in case of larger movement within the market.

Since value at risk is considered a basic component of the Bank's monitoring system on market risk, the Board of Directors' sets the limits of the value at risk for each of trading and non-trading transactions to be divided on the units of activity. The actual values at risk are compared with the limits set by the Bank and daily reviewed by the Bank's Market Risk Department.

The quality of the value at risk model is persistently monitored through reinforcement testing for results of the value at risk of trading portfolio. Results of these tests are reported to senior management and Board of Directors.

All Figures are in EGP Millions

**Total value at risk according to risk type**

| | 31-DEC-2023 | | | 31-DEC-2022 | | |
|---|---|---|---|---|---|---|
| | Average | Higher | Lower | Average | Higher | Lower |
| Exchange rates risk | 163 | 455 | 2 | 308 | 1,885 | - |
| Equity at fair value through profit / loss risk | 362 | 489 | 225 | 64 | 76 | 53 |
| Fund certificates' risk | 1 | 2 | 1 | 4 | 5 | 3 |
| Equity at fair value through other comprehensive income risk | 406 | 449 | 342 | 461 | 934 | 261 |
| Interest rate risk | 20,545 | 28,034 | 14,983 | 20,233 | 23,933 | 17,655 |

**Value at risk for portfolios at fair value through profit / loss-according to the risk type**

| | 31-DEC-2023 | | | 31-DEC-2022 | | |
|---|---|---|---|---|---|---|
| | Average | Higher | Lower | Average | Higher | Lower |
| Exchange rates risk | 163 | 455 | 2 | 308 | 1,885 | - |
| Equity at fair value through profit / loss risk | 362 | 489 | 225 | 64 | 76 | 53 |
| Fund certificates' risk | 1 | 2 | 1 | 4 | 5 | 3 |

**Value at risk for portfolios at fair value through other comprehensive income-according to the risk type**

| | 31-DEC-2023 | | | 31-DEC-2022 | | |
|---|---|---|---|---|---|---|
| | Average | Higher | Lower | Average | Higher | Lower |
| Interest rate risk | 20,545 | 28,034 | 14,983 | 20,233 | 23,933 | 17,655 |
| Equity at fair value through other comprehensive income risk | 406 | 449 | 342 | 461 | 934 | 261 |

The increase in value at risk, especially the interest rate risk, is related to the increase in the sensitivity of interest rates in the international financial markets. The three previous results of value at risk are calculated separately from the specific positions and the markets' historical movements. Total values at risk for trading and non-trading do not form the Bank's value at risk, due to the correlation between the types of risks and types of portfolios and its subsequent various impacts.





All Figures are in EGP Millions

### 4.2.2 - Foreign exchange rate volatility risk

The Bank is exposed to volatility in the foreign currency exchange rates in terms of the bank's financial position and cash flows. The Board of Directors has set limits for foreign currencies based on the total value of each position at the end of the day and also during the day for the monitored on spot positions. The following table summarizes the bank's exposure to the risks of volatility in foreign exchange rates at the end of the period. This table includes the carrying value of the financial instruments categorized by its component currencies:

| 31-DEC-2023 | EGP | USD* | EUR | GBP | SAR | Others | Total |
|---|---|---|---|---|---|---|---|
| Financial assets | | | | | | | |
| Obligatory reserve balances with Central Banks | 66,541 | 6,399 | 534 | 93 | 223 | 47 | 73,837 |
| Due from banks, net | 396,823 | 235,507 | 687 | 283 | 132 | 815 | 634,247 |
| Financial investments at fair value through profit / loss | 3,926 | 4,569 | - | - | - | - | 8,495 |
| Loans and advances to banks, net | 76 | 1,521 | 258 | - | - | - | 1,855 |
| Loans and advances to customers, net | 1,470,945 | 840,165 | 2,350 | - | - | - | 2,313,460 |
| Financial derivatives | 4,336 | - | 0 | - | - | - | 4,336 |
| Financial investments | | | | | | | |
| Financial investments at fair value through other comprehensive income | 514,235 | 109,847 | 15,946 | - | - | - | 640,028 |
| Financial investments at amortized cost | 1,007,062 | 366,083 | - | - | - | - | 1,373,145 |
| Investments in subsidiaries and associates | 10,511 | 406 | - | 1,083 | - | - | 12,000 |
| Other assets | 146,501 | 9,965 | 1,087 | 4 | 258 | 66 | 157,881 |
| Total financial assets | 3,620,956 | 1,574,462 | 20,862 | 1,463 | 613 | 928 | 5,219,284 |
| Financial liabilities | | | | | | | |
| Due to banks | 30,813 | 497,632 | 3,761 | 1,532 | 1,219 | 74 | 535,031 |
| Repurchase agreement-treasury bills | 20,940 | - | - | - | - | - | 20,940 |
| Customers` deposits | 3,244,592 | 466,557 | 19,052 | 2,104 | 495 | 403 | 3,733,203 |
| Other loans | 50,703 | 315,349 | 7,703 | - | - | 763 | 374,518 |
| Other liabilities | 173,574 | 68,727 | 1,420 | 26 | 71 | 271 | 244,089 |
| Total financial liabilities | 3,520,622 | 1,348,265 | 31,936 | 3,662 | 1,785 | 1,511 | 4,907,781 |
| Off balance sheet items | 227,242 | (244,746) | 12,230 | 3,420 | 1,222 | 632 | - |
| Net of financial positions | 327,576 | (18,549) | 1,156 | 1,221 | 50 | 49 | 311,503 |
| Letters of Credit, Guarantee and other commitments | 83,926 | 277,985 | 68,392 | 505 | 14,055 | 14,525 | 459,388 |
| At the end of the comparative year | EGP | USD* | EUR | GBP | SAR | Others | Total |
| Total financial assets | 3,198,867 | 1,133,252 | 21,839 | 3,428 | 1,168 | 1,744 | 4,360,298 |
| Total financial liabilities | 2,946,076 | 1,153,083 | 21,632 | 2,345 | 1,169 | 1,629 | 4,125,934 |
| Net of financial positions | 252,791 | (19,831) | 207 | 1,083 | (1) | 115 | 234,364 |
| Letters of Credit, Guarantee and other commitments | 71,639 | 228,752 | 56,602 | 343 | 5,486 | 8,836 | 371,658 |

*Overseas branches included in USD column.

All Figures are in EGP Millions

### 4.2.3 - Interest rate risk

The Bank is exposed to the effects of fluctuations in the levels of the prevailing market's interest rates which is the interest rate risk for cash flows represented in the volatility of future cash flows of a financial instrument due to changes in the instrument's interest rate. The interest rate risk for fair value is the risk of fluctuations in the instrument's value due to the changes in market's interest rates. The interest margin may increase due to these changes, while the profits may decrease, in case of unexpected movements occur. The Board of Directors sets limits for the level of difference when re-pricing the interest rate held by the bank; whereby monitored by Assets & Liabilities Department collaborated with Treasury Department on a daily basis.

| 31-DEC-2023 | Up to 1 month | More than 1 - 3 months | More than 3 Months - 1 year | More than 1 - 5 years | More than 5 years | Total |
|---|---|---|---|---|---|---|
| financial assets | | | | | | |
| Balances with Central Bank of Egypt -interest bearing | 419,684 | 49,459 | 9,775 | - | - | 478,918 |
| Due from banks | 164,433 | 1,046 | 562 | - | - | 166,041 |
| Treasury bills | 77,228 | 130,413 | 240,008 | - | - | 447,649 |
| Bonds and other financial instruments | 144,512 | 267,879 | 397,063 | 791,645 | 138,535 | 1,739,634 |
| Performing loans and advances | 1,209,900 | 704,807 | 135,662 | 340,961 | 187,668 | 2,578,998 |
| Performing loans guaranteed by a residential property-Variable interest | - | 637 | - | - | - | 637 |
| Performing loans with a fixed interest rate guaranteed by a residential property-Fixed interest | 124 | 238 | 1,065 | 6,134 | 26,306 | 33,867 |
| Non-performing loans | - | - | - | - | 2,542 | 2,542 |
| Other assets (sensitive to interest rate ) | 39,643 | 8,536 | 16,445 | 8,858 | 10 | 73,492 |
| Total | 2,055,524 | 1,163,015 | 800,580 | 1,147,598 | 355,061 | 5,521,778 |
| Interest-rate swaps | 249,662 | 14,476 | 862 | 1,599 | - | 266,599 |
| Total sensitive assets and interest rate swaps | 2,305,186 | 1,177,491 | 801,442 | 1,149,197 | 355,061 | 5,788,377 |
| Non-sensitive and held for 'trading purpose assets | - | - | - | - | - | 307,388 |
| Total assets | 2,305,186 | 1,177,491 | 801,442 | 1,149,197 | 355,061 | 6,095,765 |





All Figures are in EGP Millions

### Interest rate risk

| 31-DEC-2023 | Up to 1 month | More than 1 - 3 months | More than 3 Months - 1 year | More than 1 - 5 years | More than 5 years | Total |
|---|---|---|---|---|---|---|
| **Financial liabilities** | | | | | | |
| Demand deposits and current accounts | 416,557 | 46,028 | 138,085 | 189,660 | - | 790,330 |
| Saving Deposits | 123,640 | 23,391 | 70,172 | 116,954 | - | 334,157 |
| Time and notice deposits | 87,828 | 123,456 | 46,775 | 14,138 | 19 | 272,216 |
| Certificate of deposit | 380,312 | 136,933 | 663,491 | 1,751,102 | 13,039 | 2,944,877 |
| Due to banks | 555,487 | 656 | 3,779 | 41 | - | 559,963 |
| Long-term loans | 104,021 | 93,659 | 121,234 | 52,239 | 193,888 | 565,041 |
| Other liabilities (sensitive to interest rate) | 25,891 | 14,894 | 20,419 | 13,814 | - | 75,018 |
| | 1,693,736 | 439,017 | 1,063,955 | 2,137,948 | 206,946 | 5,541,602 |
| Interest rate swaps | 258,368 | 2,122 | 719 | - | - | 261,209 |
| Total sensitive liabilities and interest rate swaps | 1,952,104 | 441,139 | 1,064,674 | 2,137,948 | 206,946 | 5,802,811 |
| Total non-sensitive liabilities for interest rate | - | - | - | - | - | 543,557 |
| Total liabilities | 1,952,104 | 441,139 | 1,064,674 | 2,137,948 | 206,946 | 6,346,368 |
| **Interest rate gap** | 353,082 | 736,352 | (263,232) | (988,751) | 148,115 | (14,434) |
| **At the end of the comparative financial year** | | | | | | |
| Total financial assets | 1,165,614 | 943,304 | 680,724 | 1,082,915 | 477,884 | 4,350,441 |
| Total financial liabilities | 989,087 | 623,709 | 949,133 | 1,895,982 | 128,290 | 4,586,201 |
| Interest rate gap | 176,527 | 319,595 | (268,409) | (813,067) | 349,594 | (235,760) |

All Figures are in EGP Millions

### 4.3 - Liquidity risk

The liquidity risk is the risk for which the bank is exposed to encounter difficulties in meeting its obligations associated with its financial liabilities at maturity date. and replacing the funds when withdrawn ; Consequently it may fail to meet obligation related to repay depositors and meet lending commitments .

**Liquidity risk management**

The Bank's liquidity risk control is carried out by the Bank's Assets and Liabilities Management Department collaborated with the Treasury Department and include the following :

- The daily funding is managed by monitoring the future expected cash flows in order ensure the ability of fulfilling all requirements. This includes replenishment of funds as they mature or as borrowed by customers. The Bank maintains access to the global capital markets to ensure that his objective is achieved.
- Maintaining a portfolio of highly marketable assets, which can easily be liquidated to meet any unexpected interruption in cash flows.
- Monitoring liquidity ratios compared to the internal requirements of the Bank and the Central Bank of Egypt's requirements.
- Managing of concentration and profile of loans maturities.

For monitoring and reporting purposes, the cash flows for the next day, week and month is measured and projected. These periods are the key periods for liquidity Department. The starting point for these projections is represented in the analysis of the contractual maturities of financial liabilities and expected collection dates of financial assets.

Assets and Liabilities Management Department collaborated with the Treasury Department monitor the inconsistency of medium-term assets with the level and type of the unutilized portion of loan commitments, and also the extent of use of overdraft facilities with the effect of contingent liabilities such as letters of guarantees and documentary credits.

**Financing approach**

Sources of liquidity are reviewed by a separate team in the Assets and Liabilities Management Department collaborated with the Treasury Department in order to provide a wide diversification within currencies, geographical regions, resources, products, and maturates.

**Cash flows hedge**

The value at risk model is continuously monitored for quality through confirmed tests for the value at risk results related to the trading portfolio. The results of those tests are reported to bank's senior management and the board of directors.

**Derivatives settled on a net basis**

The Bank's derivatives settled on net basis include:

- Foreign exchange derivatives: currency option in/over the counter, and forward currency contracts
- Interest rate derivatives: foreign currency swaps, cross currency contracts, Interest-rate swap, in/over the counter, forward contracts and other contracts.

**Derivatives settled with gross**

Derivatives settled with gross include:

- Foreign exchange derivatives: Cross currency contracts, foreign currency swap.
- Interest rate swap, interest rate and foreign currency swap contracts together.





All Figures are in EGP Millions

### 4.3 - Liquidity risk (Cont.)

| 31-DEC-2023 | Up to 1 month | More than 1 - 3 months | More than 3 months – 1 year | More than 1 year - 3 years | More than 3 years | Total |
|---|---|---|---|---|---|---|
| **Financial assets** | | | | | | |
| Cash and balances with Central Banks | 33,968 | - | - | - | 39,869 | 73,837 |
| Due from banks | 533,387 | 42,069 | 52,908 | - | 5,883 | 634,247 |
| Loans and advances to Banks | 309 | 618 | 928 | - | - | 1,855 |
| Loans and advances to customers | 231,011 | 96,366 | 140,686 | 1,174,998 | 670,399 | 2,313,460 |
| Financial derivatives | 722 | 1,446 | 2,168 | - | - | 4,336 |
| Financial investments at fair value through profit / loss | 4,804 | - | 457 | 3,234 | - | 8,495 |
| Financial investments at fair value through other comprehensive income | 276,258 | 107,654 | 234,818 | 8,579 | 12,719 | 640,028 |
| Financial investments at amortized cost | 10,459 | 33,010 | 266,868 | 496,839 | 565,969 | 1,373,145 |
| Investments in subsidiaries and associates | 16 | - | 16 | - | 11,968 | 12,000 |
| Other assets | - | - | - | - | 157,881 | 157,881 |
| Total financial assets | 1,090,934 | 281,163 | 698,849 | 1,683,650 | 1,464,688 | 5,219,284 |
| **Financial liabilities** | | | | | | |
| Due to banks | 323,738 | 127,482 | 83,811 | - | - | 535,031 |
| Repurchase agreements-treasury bills | - | 20,940 | - | - | - | 20,940 |
| Customers` deposits | 453,536 | 294,667 | 910,817 | 1,749,579 | 324,604 | 3,733,203 |
| Other loans | 12,056 | 65,898 | 134,785 | 51,698 | 110,081 | 374,518 |
| Other liabilities | - | - | - | - | 244,089 | 244,089 |
| Total financial liabilities | 789,330 | 508,987 | 1,129,413 | 1,801,277 | 678,774 | 4,907,781 |
| Net of financial positions | 301,604 | 227,824 | 430,563 | (117,627) | 785,914 | 311,503 |
| **At the end of the comparative financial year** | | | | | | |
| Total financial assets | 426,676 | 494,138 | 1,210,772 | 657,770 | 1,570,942 | 4,360,298 |
| Total financial liabilities | 326,190 | 569,904 | 1,027,453 | 1,710,048 | 492,339 | 4,125,934 |
| Net of financial positions | 100,486 | (75,766) | 183,319 | (1,052,278) | 1,078,603 | 234,364 |

All Figures are in EGP Millions

## 4.4 - Fair value of assets and financial liabilities

### 4.4.1-Financial instruments measured at fair value

### Due from banks

The fair val ue of overnight deposits designated at floating interest rate is represented in its nominal value. The expected fair value of the deposits designated a floating interest rate is measured based on the discounted cash flows by using the prevailing capital market's nominal value of debts with similar credit risk and similar maturity date.

### Loans & advances to banks

Loans & advances to banks are represented in loans other than deposits with banks. The expected fair value of Loans & advances is measured at the discounted value of future cash flows expected to be collected. Cash flows are discounted using the current market rate in order to determine the fair value.

### Loans & advances to customers

Loans & advances are stated in net terms after deducting the impairment loss provision. The expected fair value of Loans & advances is represented in the discounted value of future cash flows expected to be collected. Cash flows are discounted using the current market rate in order to determine the fair value

### Investment in securities

Listed financial investment are classified either through fair value through other comprehensive income or through fair value through profit / loss. Fair values are determined based on quoted market prices in active markets, If such data were not available then the fair value is measured using the prevailing capital market's prices for marketable securities with similar credit features, maturity dates as well as similar rates.

### Due to other banks and customers

The estimated fair value of deposits with unspecified maturity date, which includes non- interest bearing deposits, is represented in the amount to be paid on demand. The fair value of fixed interest-bearing deposits and the other loans that are not quoted in an active market are determined based on the discounted cash flows by applying interest rates for new debts with a similar maturity dates.

### Issued debt instruments

Total fair value is calculated based on current capital markets' rates. As for securities that have no active market, it is calculated based on the discounted cash flows model using the current interest rate according to the remaining maturity.

### Mutual fund certificate

Mutual funds certificates which are valuated by the redemption value (fair value).

### 4.4.2-Financial instruments not measured at fair value:

### Financial instrument at amortized cost

The financial investment includes bonds that are held to maturity, quoted and measured with amortized cost.

## 4.5 - Capital management

The bank's objectives for capital management, which include other elements along with the reported equity in the balance sheet, are represented in the following:

- Complying with the capital's legal requirements at Arab Republic of Egypt and at other countries where the bank's branches operate.
- Maintaining a strong capital base to enhance growth of the bank's operations.

Capital adequacy and capital uses are reviewed according to the requirements of regulatory authorities (Central Bank of Egypt) and by the bank's management using models based on the guidelines of Basel Committee for Banking Supervision. The required information is submitted to the Central Bank of Egypt on a quarterly basis.

### The Central Bank of Egypt requires the following:

- Maintain the sum of EGP 5 Billion as a minimum limit for issued and paid-up capital.
- Maintain a percentage equal to 10% or more as a ratio between capital elements and the risk-weighted assets and liabilities.
- Overseas branches are subject to the banking supervision rules of the countries in which they operate





All Figures are in EGP Millions

### The numerator of the capital adequacy ratio consists of:

### * Tier one after exclusions includes the following:-

- Share capital after exclusion (Common Equity-CETI)
- Additional going concern share capital

As well as, items that are deducted from the share capital if its value is negative, otherwise (positive value) are neglected inconformity with regulators' instructions regarding the minimum of capital adequacy ratio.

### * Tier two after exclusions includes:-

45% of special reserve, subordinate loans (deposits) within the set percentage and the expected credit losses provision formed against debt instruments, loans and advances ,contingent liabilities, which included at (stage 1).

### Capital adequacy ratio includes significant notes and points as follows:-

1- Reserves: which include legal, general, statutory, supportive, and capital reserves only.

2- General risk reserve is formed at the initial implementation of IFRS 9 according to CBE regulation on February 26, 2019 which includes, special reserve-credit, general banking reserve-credit and IFRS 9 risk reserve. Considering when calculating the capital adequacy ratio in the subsequent periods, the bank should follow the minimum capital adequacy ratio instructions and excluding the general risk reserve in the ratio.

3- Balances of other comprehensive income items' are included whether positive / negative .

4- Periods profits /(losses): profits is permitted to include in the capital base, after issuing the bank's limited review audit report on a quarterly zbasis. However, the losses are unconditionally included.

5- The credit-part is not included inconformity with CBE regulation on April 2009, page (7), section (9).

6- The base should not exceed 1.25% of the total credit risk -weighted assets and contingent liabilities, with condition that expected credit losses provisions' for debts, loans, credit facilities and contingent liabilities included at stage 2 and 3 to be sufficient to meet its obligations .

7- "The limit over due of the predetermined placement in the risk-weighted countries: Should included this amount in according of model number 720, which related to the overseas placement in , considering the capital base, which previously determined in the said statement above. "

* The constant share capital after regulatory amendments mean is , the item 1.1 before deducting financial investments companies' (Shares or Mutual fund certificates ) which represent in item (1.1.3.1).

* The Share capital before regulatory amendments includes paid up capital, reserves, retained earnings, general risk reserve and other comprehensive income items' after excluding goodwill and treasury shares.

* Subordinate loans (deposits):on condition that not exceed 50% from Tier one after exclusions, with annual amortization 20% over the last 5 years of maturity.

All Figures are in EGP Millions

**Capital adequacy ratio is prepared based on the consolidated financial statement (as a group of finance companies)**

| | | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|---|
| Tier one after exclusions | | | |
| 1.1.1 | Issued and paid capital | 105,000 | 50,000 |
| 1.1.4 | Reserves | 81,333 | 41,408 |
| 1.1.5 | General risk reserve | 3,793 | 3,793 |
| 1.1.6 | Retained earnings (accumulated losses) | 4,683 | 5,408 |
| 1.1.7 | Quarterly profits/ (losses) | - | 24,255 |
| 1.1.8 | Total other comprehensive income items' | 21,270 | 8,726 |
| 1.0 | Total exclusions of the common equity capital | (5,121) | (3,241) |
| 1.1 | Total common equity capital after exclusion | 210,958 | 130,349 |
| 1.2.2 | Non-controlling interest | 108 | 98 |
| 1.2.3 | Differences between nominal value and present value (subordinated loan) | 76,044 | 79,986 |
| 1.2 | Total additional capital | 76,152 | 80,084 |
| 1.0 | Total tier one after exclusion | 287,110 | 210,433 |
| Tier two after exclusions (subordinated capital) | | | |
| 2.1 | 45% of the special reserve | 48 | 48 |
| 2.4 | Subordinate loans within the approved limit | 46,956 | 43,014 |
| 2.5 | Debt instrument , loans and advances and contingent liability at expected credit losses stage one | 27,032 | 20,463 |
| 2.0 | Total tier two after exclusions | 74,036 | 63,525 |
| | Total capital base after exclusions | 361,146 | 273,958 |
| 4.1 | Total credit risk | 2,180,272 | 1,659,645 |
| 4.4 | Total market risk | 35,833 | 24,551 |
| 4.5 | Total operational risk | 71,000 | 83,632 |
| 4.0 | Total assets and contingent liabilities weighted by credit, market and operational risks | 2,287,105 | 1,767,828 |
| | Capital adequacy ratio | 15.79% | 15.50% |

| Financial leverage | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Tier one of capital after exclusion (1) | 287,110 | 210,433 |
| Total exposure on/off balance sheet (2) | 5,717,091 | 4,773,839 |
| Leverage ratio (1)/(2) | 5,02% | 4,41% |





All Figures are in EGP Millions

## 5 - Segmental analysis

Segmental activity includes operational processes, assets used in offering banking services', management of associated surrounding risks and relevant yield, which vary from the other business activities' segmentation analysis of operations according to banking activities as follows :

**Large Corporate and SMEs:-** This includes the current accounts activities, deposits, overdrafts, loans, and credit facilities.

**Investment :-** This includes activities such as merging of companies, investments acquisition, financing and restructuring of companies and financial instruments.

**Banks:-** This includes Central, Domestic and Foreign banks.

**Individual:-** This includes current accounts, savings, deposits, credit cards, personal loans, mortgages.

**Governmental:-** This includes treasury bills and governmental bonds as for assets, deposits and other governmental loans as for liabilities.

**Asset and liability management:-** This includes other banking business such as assets, liabilities and treasury management .Inter-segment activities are affected within the bank's normal course of business and include operational assets and liabilities as presented in the bank's statement of financial position.

| 31-DEC-2023 | Corporate | SME | Investment | Individual | Other activities | Total |
|---|---|---|---|---|---|---|
| Business activity assets | 1,914,160 | 144,202 | 2,654,071 | 286,464 | - | 4,998,897 |
| Non-classified assets | - | - | - | - | 235,055 | 235,055 |
| Total Assets | 1,914,160 | 144,202 | 2,654,071 | 286,464 | 235,055 | 5,233,952 |
| Business activity liabilities | 1,139,142 | 61,532 | 930,932 | 2,544,246 | - | 4,675,852 |
| Non-classified liabilities | - | - | - | - | 260,894 | 260,894 |
| Total liabilities | 1,139,142 | 61,532 | 930,932 | 2,544,246 | 260,894 | 4,936,746 |
| **31-DEC-2022** | **Corporate** | **SME** | **Investment** | **Individual** | **Other activities** | **Total** |
| Business activity assets | 1,323,773 | 131,807 | 2,156,869 | 225,367 | - | 3,837,816 |
| Non-classified assets | - | - | - | - | 532,791 | 532,791 |
| Total Assets | 1,323,773 | 131,807 | 2,156,869 | 225,367 | 532,791 | 4,370,607 |
| Business activity liabilities | 826,603 | 62,704 | 688,593 | 2,343,376 | 0 | 3,921,276 |
| Non-classified liabilities | - | - | - | - | 226,250 | 226,250 |
| Total liabilities | 826,603 | 62,704 | 688,593 | 2,343,376 | 226,250 | 4,147,526 |

All Figures are in EGP Millions

## 6 - Net interest income

### 6.1 - Interest income on loans and similar income

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| | | |
| Interest income on loans and advances-Banks | 14,874 | 129 |
| Interest income on loans and advances-Customers | 233,406 | 141,892 |
| Total interest on loans and advances | 248,280 | 142,021 |
| Interest income on due from banks | 60,720 | 33,421 |
| Interest income on Bonds and Treasury bills | | |
| Interest income on debt instrument at fair value through OCI | 103,201 | 49,791 |
| Interest income on debt instrument at amortized cost | 192,946 | 142,470 |
| Interest income on debt instrument at profit and loss | 4 | 22 |
| Total interest income on Bonds and Treasury bills | 296,151 | 192,283 |
| Reverse repo agreement | 30 | 17 |
| Total interest income on loans and similar income | 605,181 | 367,742 |

### 6.2 - Interest expense on deposits and similar expense

| | | |
|---|---|---|
| Interest expense on deposits -Banks | (29,653) | (6,599) |
| Interest expense on deposits-Customers | (362,355) | (232,818) |
| Repo agreement | (501) | (598) |
| Other loans | (34,731) | (15,847) |
| Total interest expense | (427,240) | (255,862) |
| Net interest income | 177,941 | 111,880 |





All Figures are in EGP Millions

## 7 - Net fees and commissions income

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Fee and commission income : | | |
| Credit-related fees and commissions | 10,034 | 7,737 |
| Other fees | 8,690 | 5,750 |
| | 18,724 | 13,487 |
| Fee and commission expenses : | | |
| Fees paid to banks | (720) | (601) |
| | (720) | (601) |
| Net fee and commissions income | 18,004 | 12,886 |

## 8 - Dividends income

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Subsidiaries companies' | 838 | 631 |
| Associates companies' | 80 | 137 |
| Financial investment at fair value through profit / loss | 195 | 6 |
| Financial investment at fair value through other comprehensive income | 819 | 727 |
| Mutual funds certificates | 106 | 71 |
| | 2,038 | 1,572 |

## 9 - Net trading income

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Loss from foreign currency transactions | (9,680) | (243) |
| Financial investments at fair value through profit/loss | (82) | 526 |
| Profits from financial derivatives | 8,758 | 3,116 |
| | (1,004) | 3,399 |

All Figures are in EGP Millions

### 10 - Charge of expected credit losses (ECL)

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| Revese of expected credit losses on contingent liabilities-Customers | 763 | 57 |
| Reverse/Charge of expected credit losses on contingent liabilities-Banks | 47 | (108) |
| Charge of expected credit losses on Loans-Customers | (20,073) | (15,685) |
| Charge of expected credit losses on Loans-Banks | (18) | - |
| Charge of expected credit losses on financial investments | (15,421) | (1,142) |
| Charge of Expected credit losses on due from banks | (30) | (140) |
| Amounts recovered during the financial year | 2,821 | 737 |
| Total | (31,911) | (16,281) |

### 11 - Administrative expenses

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| Staff costs: | | |
| Salaries and wages | (11,720) | (10,561) |
| Social insurances | (561) | (451) |
| Pension Cost | (683) | (638) |
| Other administrative expenses* | (43,197) | (31,240) |
| | (56,161) | (42,890) |
| *Other administrative expenses include the following: | | |
| Buildings and lands expenses | (2,480) | (2,007) |
| Machines and equipment's | (6,069) | (3,165) |
| Taxes and fees | (7,669) | (4,822) |
| Marketing and donation fees | (1,348) | (1,558) |
| Bank's share of Insurance fees | (1,602) | (980) |



National Bank of Egypt
Separate Statement of Financial Position as at 31 December 2023

All Figures are in EGP Millions

### 12 - Other operating income / expenses

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| Foreign currencies revaluation profits from monetary assets and liabilities | 9,805 | 2,121 |
| Other provision charge | 1,276 | (2,756) |
| Reverse / Charge of Assets reverted to the bank provision | 454 | (59) |
| Other debt balances provision Reverse/ Charge | 43 | (57) |
| Fixed assets sale gain | 123 | 41 |
| Other income | 5,299 | 303 |
| Net of other operating income / expense | 17,000 | (407) |

### 13 - Income tax expenses

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| Taxes on treasury bills, bonds, cash dividends, securities capital gain and foreign branches | 55,623 | 36,153 |
| Total | 55,623 | 36,153 |

Reconciliation to calculate the effective tax rate

Taxes on the bank's profits vary from the amount derived from applying the current tax rates as follows:

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| Profit before tax | 126,309 | 70,803 |
| Effective tax rate | 22.50% | 22.50% |
| | 28,420 | 15,931 |
| Add | | |
| Non- deductible expenses | 43,063 | 31,610 |
| (Deduct) | | |
| Non- taxable income | (62,085) | (44,962) |
| Income tax expenses | 9,398 | 2,579 |
| Effective tax rate (excluding taxes on treasury bills, bonds and cash dividends ) | 7.44% | 3.64% |
| Effective tax rate (including taxes on treasury bills, bonds and cash dividends ) | 44.04% | 51.06% |

All Figures are in EGP Millions

**Not recognized deferred tax assets**

| | 31-DEC-2023 |
|---|---|
| Impairment loss provision for loans (excluding 80% of the amount charged during the period ) | 991 |

Deferred tax assets are de-recognized due to the lack of reasonable assurance that this account can be utilized/ or a proper conformity level that there are a future taxable profits enough to settle these assets.

## 14 - Basic earnings per share/ Diluted

Earnings per share is calculated by dividing the bank's shareholders net profit over the weighted average of common shares issued during the financial period / year after excluding the weighted average of treasury shares repurchased by the bank.

| | 31-DEC-2022 | 31-DEC-2023 |
|---|---|---|
| Net profit for the financial period | 70,686 | 34,650 |
| Employees` profit share for the financial period | (6,506) | (4,091) |
| Net profit available for distribution to shareholders (1) | 64,180 | 30,559 |
| The weighted average of the issued common shares (2)* | 105,000 | 105,000 |
| Basic earnings per share/ Diluted 1/2 | | |
| EGP | 0.29 | 0.61 |

*The comparative figures are amended to conform with the Egyptian Accounting standard (22), as this increase is a non-cash increase, transferred from the bank's reserve.





All Figures are in EGP Millions

## 15 - Cash and balances with Central Banks

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Cash | 33,813 | 25,187 |
| Obligatory reserve balance with Central banks | 40,024 | 193,586 |
| Total | 73,837 | 218,773 |

* All balances are non-interest bearing balances

## 16 - Due from banks, net

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Current accounts | 15,359 | 47,850 |
| Deposits | 619,183 | 233,340 |
| | 634,542 | 281,190 |
| Less: Expected credit losses provision | (295) | (212) |
| Total | 634,247 | 280,978 |
| Central banks balances other than the obligatory reserve percentage | 469,853 | 135,451 |
| Domestic banks | 99,622 | 3,985 |
| Foreign banks | 65,067 | 141,754 |
| Less: Expected credit loss | (295) | (212) |
| Total | 634,247 | 280,978 |
| Non - interest bearing balances | 490 | 312 |
| Floating interest bearing balances | 445,140 | 233,341 |
| Fixed interest bearing balances | 188,912 | 47,537 |
| Less: Expected credit losses provision | (295) | (212) |
| Total | 634,247 | 280,978 |

## 17 - Financial investments at fair value through profit or loss

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Shares | 5,342 | 30 |
| Mutual funds certificates | 123 | 180 |
| Other portfolios | 3,030 | 2,040 |
| | 8,495 | 2,250 |

All Figures are in EGP Millions

### 18 - Loans and advances to banks, net

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| snaol mreT | 1,878 | 1,762 |
| Less: Expected credit losses provision | (23) | (4) |
| Total | 1,855 | 1,758 |

All balances are classified as current.

### 19 - Loans and advances to customers, net

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| **Individual loans:-** | | |
| Credit cards | 17,343 | 12,034 |
| Overdrafts | 9,913 | 10,912 |
| Personal loans | 240,455 | 183,518 |
| Auto loans | 3,740 | 3,447 |
| Mortgage loans | 20,257 | 17,196 |
| Total (1) | 291,708 | 227,107 |
| **Corporate included SME's loans** | | |
| Overdrafts | 1,125,817 | 731,188 |
| Direct loans | 663,938 | 527,082 |
| Syndicated loans | 323,553 | 242,244 |
| Total (2) | 2,113,308 | 1,500,514 |
| Total loans and advances to customers (1)+(2) | 2,405,016 | 1,727,621 |
| **Less:** | | |
| Expected credit loss provision | (76,465) | (56,506) |
| Commercial papers discount | (5,305) | 0 |
| Interest in suspense | (9,786) | (7,272) |
| | 2,313,460 | 1,663,843 |
| Current balances | 468,063 | 877,406 |
| Non-current balances | 1,845,397 | 786,437 |
| | 2,313,460 | 1,663,843 |





All Figures are in EGP Millions

| Expected credit losses for customers' loans and advances | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| **Corporate** | | |
| Balances at the beginning of the financial year | 54,765 | 38,004 |
| Charge for the financial year | 16,944 | 15,386 |
| Written-off loans during the financial year | (1,639) | (1,409) |
| Foreign currencies valuation differences (+/-) | 1,935 | 2,784 |
| **Total** | **72,005** | **54,765** |
| **Individual** | | |
| Balances at the beginning of the financial year | 1,741 | 1,662 |
| Charge for the financial year | 3,129 | 299 |
| Written-off loans during the financial year | (410) | (220) |
| **Total** | **4,460** | **1,741** |
| **Expected credit losses for customers' loans and advances (Cont.)** | | |
| **Individual loans:-** | | |
| Credit cards | 332 | 276 |
| Overdrafts | 1 | 0 |
| Personal loans | 1,352 | 670 |
| Auto loans | 155 | 77 |
| Mortgage loans | 2,620 | 718 |
| **Total (1)** | **4,460** | **1,741** |
| **Corporate & SME's loans** | | |
| Overdrafts | 25,122 | 1,108 |
| Direct loans | 35,670 | 46,005 |
| Syndicated loans | 11,213 | 7,652 |
| **Total (2)** | **72,005** | **54,765** |
| **Total loans and advances to customers' provision (1)+(2)** | **76,465** | **56,506** |

All Figures are in EGP Millions

## 20 - Financial derivatives

| 31-DEC-2023 | Notional amount | Assets | Liabilities |
|---|---|---|---|
| Interest Rate Swap-IRS | 1,5445 | - | - |
| Foreign Currency Swap | 85,695 | 258 | - |
| Cross Currency Interest Rate Swap - CCIRS | 117,444 | 408 | - |
| Restructured Cross Currency Interest Rate Swap | 82,766 | 3,670 | - |
| **Total** | | **4,336** | **-** |

| 31-DEC-2022 | Notional amount | Assets | Liabilities |
|---|---|---|---|
| SRI-pawS etaR tseretnI | 1,237 | - | - |
| Foreign Currency Swap | 14,964 | 10 | 8 |
| Cross Currency Interest Rate Swap - CCIRS | 78,591 | 10 | 1 |
| Forward contracts | 164 | - | - |
| Total | | 20 | 9 |

## 21 - Financial investments at fair value through other comprehensive income

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| sllib yrusaerT | 412,156 | 302,349 |
| Shares | 28,999 | 21,426 |
| Bonds | 27,635 | 18,394 |
| Mutual funds certificates | 1,238 | 1,114 |
| Treasury notes | 170,000 | 133,000 |
| | 640,028 | 476,283 |

### 21.1 - Treasury bills

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| 91 days maturity | 18,757 | 16,389 |
| 182 days maturity | 60,686 | 51,254 |
| 273 days maturity | 54,392 | 20,076 |
| 364 days maturity | 310,662 | 234,935 |
| | 444,497 | 322,654 |





All Figures are in EGP Millions

## 21 - Financial investments at fair value through other comprehensive income (Cont.)

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Unearned interests | (30,981) | (19,007) |
| Fair value revaluation impact | (1,360) | (1,298) |
| | 412,156 | 302,349 |

* The pledged treasury bills is amounted to EGP 162 Billion as of December 31, 2023.

### 21.2 - Equity instrument:

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Listed | 9,464 | 9,730 |
| Unlisted | 19,535 | 11,696 |
| Mutual funds certificates of the founder bank | 850 | 796 |
| Mutual funds certificates - Corporate | 388 | 318 |
| **Total** | **30,237** | **22,540** |

### 21.3 - Debt instrument:

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Governmental bonds | 1,095 | 932 |
| Corporate bonds | 26,510 | 17,390 |
| Treasury notes | 170,000 | 133,000 |
| Other | 30 | 72 |
| Total | 197,635 | 151,394 |
| Listed | 27,635 | 14,657 |
| Unlisted | 170,000 | 136,737 |
| | 197,635 | 151,394 |

All Figures are in EGP Millions

### 21.4 - Movement of financial assets at fair value through other comprehensive income-TBs:

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Balance at the beginning of the financial year | 302,349 | 255,105 |
| Additions | 2,324,928 | 747,456 |
| De-recognitions (sale / redemption) | (2,222,576) | (721,943) |
| Unearned interests | (11,566) | (1,315) |
| Fair value revaluation impact through other comprehensive income | (62) | (1,516) |
| Foreign currencies valuation differences (+/-) | 19,083 | 24,562 |
| Balance at the end of the financial year | 412,156 | 302,349 |

### 21.5 - Movement of financial assets at fair value through other comprehensive income-Bonds & Equity instrument

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Balance at the beginning of the financial year | 173,934 | 359,717 |
| Additions | 1,294,410 | 152,763 |
| Cost reclassification | - | (315,197) |
| De-recognitions (sale / redemption) | (1,249,131) | (26,263) |
| Reclassification of premium/discount-governmental bonds' amortization* | - | 538 |
| Amortization of Premium/discount-governmental bonds | 3 | (27) |
| Fair value revaluation impact through other comprehensive income | 8,301 | (43) |
| Foreign currencies valuation differences (+/-) | 355 | 2,446 |
| Balance at the end of the financial year | 227,872 | 173,934 |

*Business model of some government bonds reclassified as stated in disclosure no.22.





All Figures are in EGP Millions

### 22 - Financial investment at amortized cost

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Governmental bonds | 1,389,219 | 1,403,623 |
| Corporation bonds | - | 100 |
| Total | 1,389,219 | 1,403,723 |
| Expected credit losses provision | (16,074) | (2,797) |
| Net | 1,373,145 | 1,400,926 |
| | | |
| Listed | 826,108 | 914,394 |
| Unlisted | 563,111 | 489,329 |
| Total | 1,389,219 | 1,403,723 |

### 22.1 - Movement of financial investment at amortized cost

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Balance at the beginning of the financial year | 1,400,926 | 738,691 |
| Additions | 332,216 | 370,519 |
| De-recognitions (redemption) | (422,323) | (158,765) |
| Cost reclassification | - | 315,197 |
| Reclassification of premium/discount-governmental bonds' amortization | - | (538) |
| Amortization of Premium/discount-governmental bonds | (1,526) | 25,053 |
| Foreign currencies valuation differences (+/-) | 77,123 | 111,442 |
| Balance at the end of the financial year | 1,386,416 | 1,401,599 |
| Charge of Expected credit losses provision | (13,271) | (673) |
| Net Balance at the end of the year | 1,373,145 | 1,400,926 |

All Figures are in EGP Millions

### 22.2 - Profits from financial investments

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Fair value through other comprehensive income gain | 548 | 358 |
| Gain on sale of financial investments in subsidiaries and associates | 80 | 333 |
| Impairment loss of subsidiaries and associates | (226) | (47) |
| Balance at the end of the financial year | 402 | 644 |

### 23 - Investments in subsidiaries and associates

**Investments in subsidiaries and associates movement:-**

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Balance at the beginning of the financial year | 11,756 | 8,444 |
| Additions | 497 | 3,359 |
| Disposal | (27) | 0 |
| Impairment loss | (226) | (47) |
| Balance at the end of the financial year | 12,000 | 11,756 |





All Figures are in EGP Millions

### 23 - Investments in subsidiaries and associates Cont.

| | | Share % | Book value | Available financial statement | Company's assets | Company's liabilities without shareholders' equity | Company's revenues | Profit (losses) of the company | Currency |
|---|---|---|---|---|---|---|---|---|---|
| A-Subsidiaries companies | | | | | | 31-DEC-2023 | | | |
| 1 | NBE -Dubai international Financial center.DIFC | 100% | - | Jun 23 | 2 | - | 1 | (0) | USD |
| 2 | National Bank Of Egypt - Juba | 100% | 166 | Jun 23 | 8,876 | 6,455 | 111 | (1,097) | SSP |
| 3 | National Bank Of Egypt - NBE (Uk) | 100% | 1,083 | Dec 22 | 1,326 | 1,166 | 49 | 6 | GBP |
| 4 | Al Ahly for exchange | 100% | 499 | Dec 22 | 545 | 165 | 133 | 5 | EGP |
| 5 | Al Ahly for mortgage | 99% | 347 | Dec 22 | 3,189 | 2,724 | 364 | 58 | EGP |
| 6 | National Bank Of Egypt - El Khartoum* | 99% | 239 | Jun 23 | 17,691 | 9,172 | 20,139 | 913 | SDG |
| 7 | Al-Ahly Capital Holding Co. | 99% | 4,948 | Dec 22 | 9,610 | 196 | 574 | 297 | EGP |
| 8 | El Ahly for leasing | 99% | 296 | Dec 22 | 4,016 | 3,309 | 540 | 112 | EGP |
| 9 | The Egyptian Co. For Asset Management & Investment | 83% | 2,922 | Dec 22 | 3,597 | 16 | - | 22 | EGP |
| 10 | Upper Egypt for food industries | 78% | 40 | Dec 22 | 516 | 439 | 294 | (10) | EGP |
| 11 | Dream Land Co. For Urban Development | 72% | - | Dec 09 | 2,102 | 1,412 | 162 | 16 | EGP |
| 12 | Dream Land Markets Co. | 72% | - | Dec 09 | 110 | 83 | - | (7) | EGP |
| 13 | Dream Land Co. For Meeting | 72% | - | Dec 09 | 298 | 252 | - | (14) | EGP |
| 14 | Forsan Dream Land | 72% | - | Dec 09 | 210 | 130 | - | (15) | EGP |
| 15 | Dream Land Health Resort Co. | 72% | - | Dec 09 | 456 | 117 | 407 | 251 | EGP |
| 16 | Dream Land Pyramids Co. | 72% | - | Dec 09 | 984 | 592 | 110 | (33) | EGP |
| 17 | Rady Group for touristic investment | 52% | - | Dec 19 | 52 | 21 | - | - | EGP |
| 18 | Rawasi Co. | 40% | 80 | Sep 23 | 24,111 | 27,015 | 3,855 | (1,398) | EGP |
| Total Subsidiaries | | | 10,620 | | | | | | |

All Figures are in EGP Millions

## 23 - Investments in subsidiaries and associates Cont.

| | Name | Share % | Book value | Available financial statement | Company's assets | Company's liabilities without shareholders' equity | Company's revenues | Profit (losses) of the company | Currency |
|---|---|---|---|---|---|---|---|---|---|
| | B-Associate companies | | | | 31-DEC-2023 | | | | |
| 19 | Egy Marble | 41% | - | Dec 09 | 23 | 22 | 4 | (0) | EGP |
| 20 | Egy House | 41% | - | Dec 09 | 34 | 50 | 3 | (5) | EGP |
| 21 | International Electrical Products | 41% | - | Dec 09 | 263 | 154 | 135 | 1 | EGP |
| 22 | Dream Park | 41% | - | Dec 08 | 422 | 218 | 69 | 8 | EGP |
| 23 | International Electronics | 41% | - | Dec 06 | 377 | 318 | 14 | (9) | EGP |
| 24 | Al Ahly Real Estate Development Co.- Saboor | 40% | 32 | Sep 22 | 18,311 | 17,869 | 469 | 79 | EGP |
| 25 | Al Ahly-Misr for Investment property management Co. | 40% | 10 | Dec 22 | 44 | 13 | 36 | 6 | EGP |
| 26 | Egy Serv. | 40% | - | Dec 22 | 176 | 97 | 448 | 37 | EGP |
| 27 | National Navigation Co. | 40% | - | Sep 23 | 488 | 76 | 74 | 16 | USD |
| 28 | National Co. For Housing For Pro. Syndicates | 40% | 64 | Dec 22 | 496 | 50 | 66 | 44 | EGP |
| 29 | IMBT | 39% | - | Dec 21 | 112 | 112 | 0 | (3) | EGP |
| 30 | Al Ahly For Projects And Medical Services | 39% | 51 | Dec 22 | 351 | 162 | 128 | 18 | EGP |
| 31 | Oriental Resorts For Touristic Dev. | 35% | - | Dec 22 | 121 | 119 | 22 | 4 | EGP |
| 32 | First design for real state investment and development | 34% | 69 | Dec 22 | 7,699 | 7,902 | 16 | (397) | EGP |
| 33 | Maspiro CO. FOR URBAN Dev. | 33% | 30 | Dec 22 | 216 | 7 | 73 | 19 | EGP |
| 34 | Nile Holding Com. For Inv.& Dev. | 33% | 50 | Sep 23 | 370 | 1 | 14 | 5 | EGP |
| 35 | El Sherouk For Markets & Commercial Stores | 32% | - | Dec 22 | 109 | 46 | 296 | 6 | EGP |
| 36 | Upper Egypt for investment | 31% | - | Dec 22 | 9 | 0 | 1 | (1) | EGP |
| 37 | Misr Aswan For Fishing Hunting And Fabricating | 29% | - | Dec 21 | 26 | 7 | 33 | 0 | EGP |
| 38 | Upper Egypt For Touristic & Real-Estate Development | 29% | - | Dec 21 | 13 | 3 | 2 | (2) | EGP |





All Figures are in EGP Millions

## 23 - Investments in subsidiaries and associates Cont.

| | Name | Share % | Book value | Available financial statement | Company's assets | Company's liabilities without shareholders' equity | Company's revenues | Profit (losses) of the company | Currency |
|---|---|---|---|---|---|---|---|---|---|
| 39 | Al Ektesadia For Housing And Reconstruction | 29% | 9 | Dec 22 | 151 | 77 | 3 | 19 | EGP |
| 40 | The Universal Co. For Cellulose Products | 27% | - | Dec 22 | 77 | 11 | 16 | 12 | EGP |
| 41 | Multi-Investment International Co. | 27% | - | Dec 22 | 6 | 198 | 1 | (188) | EGP |
| 42 | Al Montazah For Tourism & Investment Co. | 25% | - | Dec 22 | 766 | 607 | 104 | 34 | EGP |
| 43 | Farma Free Zone | 24% | - | Dec 15 | 49 | 5 | 2 | (0) | EGP |
| 44 | Misr Takafoul insurance "Haya" | 24% | 36 | Jun 23 | 188 | 26 | 21 | 12 | EGP |
| 45 | Aman for E-Payment | 24% | 646 | Dec 22 | 7,113 | 6,222 | 0 | 136 | EGP |
| 46 | Misr Company For Financial Investment | 23% | | Dec 22 | | | | | EGP |
| 47 | Samcrete Development | 23% | 75 | Dec 22 | 1,668 | 1,247 | 134 | (122) | EGP |
| 48 | October For Development & Real-Estate Investment Co. | 22% | 20 | Dec 22 | 226 | 40 | 5 | (7) | EGP |
| 49 | Commercial Inter. Investment Company | 21% | 69 | Dec 22 | 537 | 97 | 98 | 57 | EGP |
| 50 | Elshorouk Co.For Moulds And Metallurgical Products | 21% | - | Dec 21 | 18 | 4 | 2 | - | EGP |
| 51 | El tahrer for investment parking (TECO) | 21% | | Dec 22 | 556 | 267 | 92 | 25 | EGP |
| 52 | Misr investment & export development | 20% | 13 | | | New establishment | | | EGP |
| 53 | El Nabila For Investment & Tourism Development | 20% | - | Dec 21 | 306 | 538 | 10 | (27) | EGP |
| 54 | Easy Cash Electronic Pyament | 20% | 150 | Dec 22 | 189 | 22 | - | (7,865) | EGP |
| 55 | International Systems For Development & Investment | 20% | - | Dec 11 | - | - | - | (0) | EGP |
| 56 | Mwasalat Misr Co. | 20% | 56 | Dec 20 | 126 | 38 | - | (4) | EGP |
| | Total Associate | | 1,380 | | | | | | |
| | Total Subsidiaries and associate companies | | 12,000 | | | | | | |

* in light of the Sudanese dispute, our investment may be affected in a way that can't be currently estimated..

National Bank of Egypt

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### 23 - Investments in subsidiaries and associates Cont.

| | Name | Share % | Book value | Available financial statement | Company's assets | Company's liabilities without shareholders' equity | Company's revenues | Profit (losses) of the company | Currency |
|---|---|---|---|---|---|---|---|---|---|
| | A-Subsidiaries companies | | | | 31-DEC-2022 | | | | |
| 1 | NBE -Dubai international Financial center.DIFC | 100% | - | Jun 22 | 2 | - | - | - | USD |
| 2 | National Bank Of Egypt - Juba | 100% | 193 | New establishment | | | | | SSP |
| 3 | National Bank Of Egypt - NBE (Uk) | 100% | 1,083 | Dec 21 | 1,213 | 1,058 | 36 | - | GBP |
| 4 | Al Ahly for exchange | 100% | 399 | Jun 22 | 512 | 127 | 69 | 10 | EGP |
| 5 | Al Ahly for mortgage | 99% | 347 | Jun 22 | 3,383 | 2,997 | 172 | 33 | EGP |
| 6 | National Bank Of Egypt - El Khartoum* | 99% | 299 | Dec 21 | 13,735 | 7,391 | 6,160 | 5,047 | SDG |
| 7 | Al-Ahly Capital Holding Co. | 99% | 4,948 | Sep 22 | 9,576 | 453 | 443 | 260 | EGP |
| 8 | El Ahly for leasing | 99% | 296 | Jun 22 | 3,334 | 2,618 | 242 | 59 | EGP |
| 9 | The Egyptian Co. For Asset Management & Investment | 83% | 2,922 | Sep 22 | 7,143 | 3,571 | - | 13 | EGP |
| 10 | Upper Egypt for food industries | 78% | 40 | Jun 22 | 435 | 347 | 159 | (9) | EGP |
| 11 | Dream Land Co. For Urban Development | 72% | - | Dec 09 | 2,102 | 1,412 | 162 | 16 | EGP |
| 12 | Dream Land Markets Co. | 72% | - | Dec 09 | 110 | 83 | - | (7) | EGP |
| 13 | Dream Land Co. For Meeting | 72% | - | Dec 09 | 298 | 252 | - | (14) | EGP |
| 14 | Forsan Dream Land | 72% | - | Dec 09 | 210 | 130 | - | (15) | EGP |
| 15 | Dream Land Health Resort Co. | 72% | - | Dec 09 | 456 | 117 | 407 | 251 | EGP |
| 16 | Dream Land Pyramids Co. | 72% | - | Dec 09 | 984 | 592 | 110 | (33) | EGP |
| 17 | Rady Group for touristic investment | 52% | - | Dec 19 | 52 | 21 | - | - | EGP |
| 18 | Rawasi Co. | 40% | 80 | Sep 22 | 11,207 | 12,277 | 37 | (1,270) | EGP |
| **Total Subsidiaries** | | | 10,607 | | | | | | |



National Bank of Egypt

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### 23 - Investments in subsidiaries and associates Cont.

| | Name | Share % | Book value | Available financial statement | Company's assets | Company's liabilities without shareholders' equity | Company's revenues | Profit (losses) of the company | Currency |
|---|---|---|---|---|---|---|---|---|---|
| | B-Associate companies | | | | 31 ديسمبر 2022 | | | | |
| 19 | Egy Marble | 41% | - | Dec 09 | 23 | 22 | 4 | (0) | EGP |
| 20 | Egy House | 41% | - | Dec 09 | 34 | 50 | 3 | (5) | EGP |
| 21 | International Electrical Products | 41% | - | Dec 09 | 263 | 154 | 135 | 1 | EGP |
| 22 | Dream Park | 41% | - | Dec 08 | 422 | 218 | 69 | 8 | EGP |
| 23 | International Electronics | 41% | - | Dec 06 | 377 | 318 | 14 | (9) | EGP |
| 24 | Al Ahly-Misr for Investment property management Co. | 40% | 10 | New establishment | | | | | EGP |
| 25 | Al Ahly Real Estate Development Co.- Saboor | 40% | 32 | Dec 21 | 13,676 | 13,333 | 668 | 9 | EGP |
| 26 | Egy Serv. | 40% | 1 | Sep 22 | 172 | 84 | 326 | 45 | EGP |
| 27 | National Navigation Co. | 40% | - | Jun 22 | 500 | 94 | 121 | 36 | USD |
| 28 | National Co. For Housing For Pro. Syndicates | 40% | 64 | Sep 22 | 535 | 93 | 47 | 41 | EGP |
| 29 | IMBT | 30% | - | Dec 20 | 111 | 108 | - | (3) | EGP |
| 30 | Al Ahly For Projects And Medical Services | 39% | 51 | Dec 21 | 270 | 87 | 10 | 14 | EGP |
| 31 | Oriental Resorts For Touristic Dev. | 35% | - | Dec 21 | 116 | 119 | 4 | (9) | EGP |
| 32 | First design for real state investment and development | 34% | 69 | Dec 21 | 4,948 | 4,753 | - | (6) | EGP |
| 33 | Maspiro CO. FOR URBAN Dev. | 32% | 30 | Sep 22 | 409 | 204 | 28 | 14 | EGP |
| 34 | Nile Holding Com. For Inv.& Dev. | 33% | 50 | Sep 22 | 297 | 1 | 8 | 2 | EGP |
| 35 | El Sherouk For Markets & Commercial Stores | 32% | - | Sep 22 | 116 | 51 | 231 | 7 | EGP |
| 36 | Upper Egypt for investment | 31% | - | Dec 21 | 36 | - | 1 | (15) | EGP |
| 37 | Horizon For Inv. & Ind. Dev. | 30% | 26 | Sep 22 | 692 | 338 | 625 | 59 | EGP |
| 38 | Misr Aswan For Fishing Hunting And Fabricating | 29% | - | Dec 21 | 26 | 7 | 33 | 0 | EGP |
| 39 | Upper Egypt For Touristic & Real-Estate Development | 29% | - | Dec 21 | 14 | 3 | 2 | (2) | EGP |

All Figures are in EGP Millions

### 23 - Investments in subsidiaries and associates Cont.

| | Name | Share % | Book value | Available financial statement | Company's assets | Company's liabilities without shareholders' equity | Company's revenues | Profit (losses) of the company | Currency |
|---|---|---|---|---|---|---|---|---|---|
| 40 | Port Said National Food Security Co, | 29% | - | Dec 21 | 3 | 1 | 1 | (0) | EGP |
| 41 | Al Ektesadia For Housing And Reconstruction | 29% | 9 | Dec 21 | 153 | 49 | 4 | 1 | EGP |
| 42 | Multi-Investment International Co. | 27% | - | Dec 21 | 64 | 11 | 17 | 14 | EGP |
| 43 | The Universal Co. For Cellulose Products | 27% | - | Dec 21 | 739 | 743 | - | (0) | EGP |
| 44 | Al Montazah For Tourism & Investment Co. | 25% | - | Dec 21 | 598 | 412 | 41 | 13 | EGP |
| 45 | Farma Free Zone | 24% | - | Dec 15 | 49 | 5 | 2 | - | EGP |
| 46 | Misr Takafoul insurance "Haya" | 24% | 36 | New establishment | | | | | EGP |
| 47 | Aman for E-Payment | 24% | 538 | Jun 22 | 5,620 | 4,782 | 1,693 | 84 | EGP |
| 48 | Misr Company For Financial Investment | 23% | - | Dec 21 | 63 | 9 | 8 | 1 | EGP |
| 49 | Samcrete Development | 23% | 75 | Dec 21 | 2,028 | 1,480 | 153 | 4 | EGP |
| 50 | Alexandria Company For Petroleum Additives (Acpa) | 23% | - | Sep 22 | 398 | 173 | 858 | 45 | EGP |
| 51 | October For Development & Real-Estate Investment Co. | 22% | 20 | Dec 21 | 248 | 53 | 34 | 3 | EGP |
| 52 | Commercial Inter. Investment Company | 21% | 70 | Sep 22 | 529 | 128 | 44 | 20 | EGP |
| 53 | Elshorouk Co.For Moulds And Metallurgical Products | 21% | - | Dec 21 | 18 | 4 | 1 | 0 | EGP |
| 54 | El tahrer for investment parking (TECO) | 21% | - | Dec 21 | 555 | 291 | 92 | 23 | EGP |
| 55 | International Systems For Development & Property Investment | 20% | - | Dec 11 | - | - | - | - | EGP |
| 56 | Misr for investment and export development | 20% | 12 | New establishment | | | | | EGP |
| 57 | Elnabila For Investment And Development Tourist | 20% | - | Dec 21 | 306 | 538 | 10 | (27) | EGP |
| 58 | Mawsalat Misr co. | 20% | 56 | Dec 20 | 126 | 38 | - | (4) | EGP |
| | Total Associate | | 1,149 | | | | | | |
| | Total Subsidiaries and associate companies | | | | | 11,756 | | | |

* in light of the Sudanese dispute, our investment may be affected in a way that can't be currently estimated.



National Bank of Egypt

Separate Statement of Financial Position as at 31 December 2023

All Figures are in EGP Millions

### 24 - Fixed assets, net

| | Land | Buildings | Automated integrated systems | Vehicles | Fixtures and fittings | Furniture | Total |
|---|---|---|---|---|---|---|---|
| Net book value as at 31 Dec,2021 | | | | | | | |
| Cost | | 5,226 | 6,959 | 511 | 3,522 | 1,976 | 18,992 |
| Accumulated depreciation | | (1,949) | (5,478) | (191) | (1,438) | (1,469) | (10,525) |
| Net book value as at 31 Dec,2021 | | 3,277 | 1,481 | 320 | 2,084 | 507 | 8,467 |
| Additions during the financial year | | 801 | 1,473 | 115 | 874 | 242 | 3,541 |
| Disposal cost | | - | (1) | (52) | - | - | (53) |
| Depreciation cost | | (274) | (711) | (101) | (386) | (224) | (1,696) |
| Disposal (Accumulated depreciation) | | - | 1 | 48 | - | - | 49 |
| Net book value as at 31 Dec,2022 | | 3,804 | 2,243 | 330 | 2,572 | 525 | 10,308 |
| | | 6,027 | 8,431 | 574 | 4,396 | 2,218 | 22,480 |
| Cost | | (2,223) | (6,188) | (244) | (1,824) | (1,693) | (12,172) |
| Accumulated depreciation | | 3,804 | 2,243 | 330 | 2,572 | 525 | 10,308 |
| Net book value as at 31 Dec,2022 | | 544 | 4,852 | 44 | 1,154 | 510 | 7,105 |
| Additions during the financial year | | (2) | (2) | (3) | (12) | - | (21) |
| Disposal cost | | (313) | (1,598) | (110) | (466) | (256) | (2,743) |
| Depreciation cost | | 2 | 2 | 2 | 12 | - | 18 |
| Disposal (Accumulated depreciation) | | 4,035 | 5,497 | 263 | 3,260 | 779 | 14,667 |
| Net book value as at 31 Dec,2023 | | 6,569 | 13,281 | 615 | 5,538 | 2,728 | 29,564 |
| Cost | | (2,534) | (7,784) | (352) | (2,278) | (1,949) | (14,897) |
| Accumulated depreciation | | 4,035 | 5,497 | 263 | 3,260 | 779 | 14,667 |

*Include fully depreciated assets

All Figures are in EGP Millions

## 25 - Investment property

| | COST | ACCUMULATED DEPRECIATION | "NET BOOK VALUE" |
|---|---|---|---|
| 31-DEC-2023 | | | |
| No. 10, Emraa El Noury street, Banha, Al Qaliubiya | 2 | 1 | 1 |
| No. 174, Al Nozha street | 1 | 1 | - |
| | 3 | 2 | 1 |
| 31-DEC-2022 | | | |
| No. 10, Emraa El Noury street, Banha, Al Qaliubiya | 2 | 1 | 1 |
| No. 174, Al Nozha street | 1 | 1 | - |
| | 3 | 2 | 1 |

## 26 - Other assets

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Accrued interest revenue | 100,036 | 62,689 |
| Assets reverted to the bank as settlement of debts, net* | 2,776 | 3,334 |
| Fixed assets advance payment | 5,304 | 4,586 |
| Deposits with others | 269 | 201 |
| Prepaid expenses | 838 | 657 |
| Memorial coins | 1 | 1 |
| Others, net** | 48,657 | 232,243 |
| Total | 157,881 | 303,711 |
| After the exclusion of the following provisons:- | | |
| *Assets reverted to the bank as settlement of debts provision | (1,558) | (2,012) |
| **Other assets' provision | (1,562) | (1,613) |





All Figures are in EGP Millions

## 27 - Due to banks

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Current accounts | 8,193 | 4,078 |
| Deposits | 526,838 | 331,171 |
| Total | 535,031 | 335,249 |
| | | |
| Central Bank of Egypt | 195,893 | 48,549 |
| Domestic banks | 292,189 | 242,412 |
| Foreign banks | 46,949 | 44,288 |
| Total | 535,031 | 335,249 |
| | | |
| Non-interest bearing balances | 1,840 | 2,233 |
| secnalab gniraeb tseretnl | 533,191 | 333,016 |
| Total | 535,031 | 335,249 |

- All balances are classified as current

All Figures are in EGP Millions

## 28 - Customers' deposits

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Demand deposits | 790,851 | 603,902 |
| Saving deposits | 334,154 | 287,206 |
| Time and notice deposits | 266,654 | 228,828 |
| Certificate of deposit | 2,340,975 | 2,101,295 |
| Other deposits | 569 | 396 |
| Total | 3,733,203 | 3,221,627 |

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Corporate | 1,188,957 | 878,301 |
| Individual | 2,544,246 | 2,343,326 |
| | 3,733,203 | 3,221,627 |
| Non-interest bearing balances | 713,359 | 431,984 |
| Floating interest bearing balances | 1,678 | 3,427 |
| Fixed interest bearing balances | 3,018,166 | 2,786,216 |
| | 3,733,203 | 3,221,627 |
| Current balances | 1,659,020 | 1,353,373 |
| Non-current balances | 2,074,183 | 1,868,254 |
| | 3,733,203 | 3,221,627 |

## 29-Other loans

| | 31-DEC-2023 | | |
|---|---|---|---|
| | Unsecured Loans | Secured Loans Against Financial Instruments* | Secured Loans Against Financial Instruments* |
| Middle east | 139,695 | 67,387 | 207,082 |
| Europe | 110,200 | 19,710 | 129,910 |
| Asia | 35,981 | - | 35,981 |
| North America | 1,545 | - | 1,545 |
| | 287,421 | 87,097 | 374,518 |

*The pledged treasury bills is amounted to EGP 162 Billion as of December 31, 2023.





All Figures are in EGP Millions

| | 31-DEC-2022 | | |
|---|---|---|---|
| | Unsecured Loans | Secured Loans Against Financial Instruments* | Secured Loans Against Financial Instruments* |
| Middle east | 138,853 | 57,956 | 196,809 |
| Europe | 68,770 | 42,435 | 111,205 |
| Asia | 29,846 | - | 29,846 |
| North America | 5,159 | - | 5,159 |
| | 242,628 | 100,391 | 343,019 |

*The pledged treasury bills is amounted to EGP 165 Billion as of December 31, 2022.

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Current balances | 212,739 | 147,309 |
| Non-current balances | 161,779 | 195,710 |
| | 374,518 | 343,019 |

## 30 - Other liabilities

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Accrued interest | 62,080 | 21,548 |
| unearned revenues | 1,830 | 1,313 |
| Accrued expenses | 32,956 | 21,212 |
| Fixed assets' purchase' creditors | 2,746 | 2,490 |
| Tax liabilities | 21,945 | 17,928 |
| Others | 122,532 | 139,815 |
| Total | 244,089 | 204,306 |

All Figures are in EGP Millions

## 31 - Other provisions

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| **Provision for other claims** | | |
| Balance at the beginning of the financial year | 10,148 | 7,676 |
| Provision reverse / charge | (1,392) | 2,711 |
| Amounts (written-off) during the financial year | (811) | (250) |
| Foreign currencies valuation differences (+/-) | 4 | 11 |
| Balance at the End of the financial year | 7,949 | 10,148 |
| **Legal claims provision** | | |
| Balance at the beginning of the financial year | 521 | 474 |
| Provision charge | 116 | 46 |
| Foreign currencies valuation differences (+/-) | 3 | 1 |
| Balance at the End of the financial year | 640 | 521 |
| **Contingent liabilities provision** | | |
| Balance at the beginning of the financial year | 5,777 | 5,260 |
| Provision reverse / charge | (810) | 51 |
| Foreign currencies valuation differences (+/-) | (129) | 466 |
| Balance at the End of the financial year | 4,838 | 5,777 |
| Total other provision | 13,427 | 16,446 |





All Figures are in EGP Millions

## 32 - Pension benefits' liabilities

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Liabilities included in statement of financial position | | |
| Pension-healthcare benefits | 5,508 | 5,146 |
| Amounts recognized in the income statement (profit / loss): | | |
| Pension-healthcare benefits | 683 | 638 |
| (A) Pensions benefits | | |
| (A) Pensions benefits | | |
| The present value of the unfunded liabilities' | 5,508 | 5,146 |
| The liability movement during the year:- | | |
| Balance at the beginning of the financial year | 5,146 | 4,775 |
| Current service Cost | 314 | 303 |
| Interest cost | 367 | 331 |
| Actuarial loss | 2 | 4 |
| Paid benefits | (321) | (267) |
| Balance at the End of the financial year | 5,508 | 5,146 |

## 33 - Paid-up capital

The Extra Ordinary General Assembly had approved on December 25, 2014 the increase of the authorized capital to be EGP 30 000 mn and increased the paid up capital with an amount of EGP 5 752 mn transferred from shareholders` equity reserves to reach EGP 15 000 mn divided on EGP 15 000 mn shares with EGP 1 par value for each paid share, also amended the Article of Association with that increase, and published in the official Egyptian newspaper (Al- Waqa`a al Masrya) on January 19, 2015 and in the Central Bank of Egypt register at January 20, 2015.

The Extra Ordinary General Assembly had approved on February 26, 2017 the increase of the authorized capital to be EGP 50 000 mn and increased the paid up capital with an amount of EGP 13 650 mn transferred from shareholders` equity reserves to reach EGP 28 650 mn, divided to 28 650 mn share with EGP 1 par value for each paid share and also amended the Article of Association with that increase, and published in the official Egyptian newspaper (Al- Waqa`a al Masrya) on April 18, 2017 and in the Commercial register at April 20, 2017.

The Extra Ordinary General Assembly had approved on February 13, 2018 the increase of The issued and paid up capital with an amount of EGP 6 350 mn transferred from the supportive reserves to reach EGP 35 000 mn and also amended the Article of Association with that increase, and published in the official Egyptian newspaper (Al- Waqa`a al Masrya) on April 1, 2018 and in the Commercial register at April 4, 2018 .

The Extra Ordinary General Assembly had approved on April 16, 2020 the increase of The issued and paid up capital with an amount of EGP 15 000 mn transferred from the general and supportive reserves to reach EGP 50 000 mn and also amended the Article of Association with that increase, and published in the official Egyptian newspaper (Al- Waqa`a al Masrya) on June 25,2020 and in the Commercial register at June 30,2020.

The Extra Ordinary General Assembly had approved on July 27, 2022 the increase of The issued and paid up capital with an amount of EGP 25 000 mn transferred from the general and supportive reserves to reach EGP 75 000 mn and also amended the Article of Association with that increase, and published in the official Egyptian newspaper (Al- Waqa`a al Masrya) on August 22,2022 and in the Central Bank of Egypt register at August 30,2022 and also in the Commercial register at May 31,2023

The Extra Ordinary General Assembly had approved on August 22, 2023 the increase of the authorized capital to be EGP 200 000 mn and increased the paid up capital to reach 30 000 transferred from the general and supportive reserves to reach EGP 105 000 mn and also amended the Article of Association with that increase, in the Central Bank of Egypt register at October 04,2023 and published in the official Egyptian newspaper (Al- Waqa`a al Masrya) on October 19,2023 and in the Commercial register at December 25,2023.

All Figures are in EGP Millions

## 34 - Reserves

| | | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|---|
| Legal reserve | 34 / 1 | 15,649 | 12,188 |
| General reserve | 34 / 2 | 759 | 3,493 |
| Capital reserve | 34 / 3 | 257 | 216 |
| Supportive reserve | 34 / 4 | 0 | 65 |
| Special reserve | 34 / 5 | 107 | 107 |
| General banking risks reserve | 34 / 7 | 2,029 | 2,029 |
| General risk reserve | 34 / 8 | 3,793 | 3,793 |
| Foreign currency translation differences for overseas branches | | 1,254 | 880 |
| Total | | 23,848 | 22,771 |
| Fair value through other comprehensive income reserves'* | 34 / 6 | 20,139 | 9,637 |

*It include EGP 3161 Mn expected credit losses for debt instrument as follow:-

### 34.1 - Legal reserve

According to the bank's Articles of Association 10% of the yearly net profit (after excluding gain on sale of fixed assets) is used to increase the legal reserve until reaching 100% of the Bank's capital.

### 34.2 - General reserve

According to the bank's articles of Association a 10% of the yearly net profit (after the exclusion of the legal reserve share and general banking risks reserve share ) is retained to increase the general reserve.

### 34.3 - Capital reserve

Includes the proceeds from sale of fixed assets (Capital gain) This reserve is used to enhance the bank's capital base and increase the issued and paid-up capital.

### 34.4 - Supportive reserve

"According to the bank's articles of association which indicate that "...The Assembly General Meeting (AGM) which indicate that the AGM has a right to create any other reserves or to retain the profit (part/ full) to the next year or to create reserves in order to support the bank's capital adequacy.
Reserves can be used as a capital injection after the AGM approval and based on BOD proposal."

### 34.5 - Special reserve

The special reserve represents the revaluation differences of previously available for sale investment in foreign currency, and will only be used after obtaining an approval form Central Bank of Egypt.





All Figures are in EGP Millions

### 34.6 - Fair value through other comprehensive income reserves'*

The fair value through other comprehensive income reserve, includes revaluation differences of fair value through other comprehensive income investments' which derived from the change in fair value represented in the market prices for each investment separately, whether profit/ loss.

34.7-General banking risks reserve

In accordance with Central Bank of Egypt instructions', which indicate forming a general banking risks reserve for a percentage of 10% related to the assets reverted to the bank , and not disposed for a five years.

### 34.8 - General risk reserve

According to the Central Bank of Egypt instructions issued at 26 February 2019 regarding the initial implementation of IFRS (9) starting from 01 July 2019, the special reserve-credit, the general banking reserve-credit and IFRS 9 risk reserve are merged into a general risk reserve, subsequently any difference between the required IFRS 9 provision and the prior provision, will be deducted from the general risk reserve. This reserve will not be used unless getting an approval from Central Bank of Egypt.

**Subsequent periods**

CBE instructions' required the formation of general banking risk reserve for the difference between the expected credit loss provision and the credit worthiness provision related to loans and advances in the relevant year.

## 35 - Contingent liabilities and commitments

### 35.1 - Guarantees and advances commitments'

The bank's guarantees and advances commitments' represented in the following:-:

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Letters of credit | 75,232 | 74,728 |
| Letters of guarantee | 261,611 | 203,802 |
| Customers' acceptances | 121,676 | 92,381 |
| Discounted bills | 869 | 747 |
| | 459,388 | 371,658 |

### 35.2 - Legal claims

There is a number of outstanding legal cases filed against the bank as of December 31, 2023.and no provision has formed against them as there is no losses expected to reslut in.

### 35.3 - Capital Commitments

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| Financial investment commitments' that not required to be paid, up to the reporting date. | 9,024 | 7,508 |
| The non executed commitments contracts related to fixed assets and branches' fixtures till the reporting date. | 6,391 | 5,217 |

All Figures are in EGP Millions

## 36 - Transactions with related parties

The Bank is an affiliate of the Ministry of Finance (Arab Republic of Egypt), which owns 100% of the bank's common shares. The bank has entered into many transactions with related parties through the bank's normal course of business, these transactions included loans and deposits.

### 36.1 - Related parties loans and advances (subsidiaries and associates) in accordance to customers' accounts

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| **Loans and advances to customers** | | |
| Outstanding loans at the financial year | 27,122 | 19,837 |
| Interest income | 4,397 | 1,735 |
| **Due from banks** | | |
| Outstanding loans at the financial year | - | 1,237 |
| Interest income | 4 | 8 |
| **Loans and advances to banks** | | |
| Outstanding loans at the financial year | 1,205 | 1,039 |
| Interest income | 94 | 37 |
| **Due to customers** | | |
| Deposits at the financial year | 4,498 | 3,135 |
| Interest expense on deposits and similar expense | 317 | 38 |
| **Due to banks** | | |
| Outstanding loans at the financial year | 1,850 | 2,140 |
| Interest expense | 98 | 30 |
| **Dividends** | | |
| Dividends debtors' | 8 | 44 |
| Ordinary shares distribution | 922 | 768 |
| **Other transactions** | | |
| Expenses | 665 | 662 |
| Other debt balances | 19 | 178 |
| Other credit balances | 2,706 | 2,707 |
| Assets' purchase | 106 | - |
| Credit card | 2 | - |
| **Contingent liabilities and commitments** | | |
| Letters of credit | 1,294 | 1,744 |
| Letters of guarantee | 383 | 314 |





All Figures are in EGP Millions

### 36.2 - Employee monthly average, form the top 20 employee

| | 31-DEC-2023 | 31-DEC-2022 |
|---|---|---|
| | 0.7 | 0.5 |

## 37 - Mutual funds

### 37.1 - NBE's First Mutual Fund with Accumulated Return

NBE's First Mutual Fund with Accumulated Return has been established by CBE's approval dated 14 July 1993 and license No. (25) issued by Capital Market Authority on 26 June 1994. The Fund started business on 4 September 1994.Capital Market Authority approved amending the Fund into a mutual fund with a periodic and accumulated return as well as splitting its nominal value to become EGP 10 on 6 November 2007. Al Ahly Mutual Fund Management company operates the Fund. The number of certificates as at 31 December 2023 reached (1,502,615) certificates with market value of EGP 124 mn. NBE's share on the same date reached (500,000) certificates with a market value of EGP 41 mn classified as fair value through other comprehensive income investments, as per the declared rates on 31 December 2023 According to the prospectus ,the Bank shall receive 7.5 per thousand annually of the fund's net assets value against supervision fees and other administrative services performed by the Bank. The bank obtained EGP 0.585 mn total commission for the year ended 31 December 2023.

### 37.2 - NBE's Second Mutual Fund with a Periodic Return

NBE's Second Mutual Fund with a Periodic Return has been established by CBE's approval dated 14 July 1993 and license No. (70) Issued by Capital Market Authority on 12 June 1995. The Fund started business on 3 October 1995 and being operated by Al Ahly financial investment Management company. The number of certificates as at 31 December 2023 reached (1,429,084) certificates with a market value of EGP 190 mn. NBE's share on the same date reached (89,113) certificates classified as fair value through other comprehensive income investment with a market value of EGP 12 mn , as per the declared rates on 31 December 2023. Pursuant to the Fund's management contracts, the Bank shall obtain 7.5 per thousand annual commissions and fees against supervision on the Fund and the other administrative services performed by the Bank. The bank has obtained EGP 0.829 mn total commission for the year ended 31 December 2023.

### 37.3 - NBE's Third Mutual Fund with a Periodic and Accumulated Return

NBE's Third Mutual Fund with a Periodic and Accumulated Return has been established by CBE's approval dated 15 March 2005 and license No. (334) issued by Financial Regulatory Authority on 12 May 2005. The Fund started business on 9 August 2005 and being operated by Al Ahly financial investment Management company. The number of certificates as at 31 December 2023 reached (1,212,923) certificates with a market value of EGP 326 mn. NBE's share on the same date reached (50,000) certificates classified as fair value through other comprehensive income investments' with a market value of EGP 13 mn, as per the declared rates on 31 December 2023. Pursuant to the Fund's management contract and the prospectus, the Bank shall obtain 4 per thousand annually of the Fund's net asset value against supervision on the Fund and other administrative services performed by the Bank. The bank has obtained EGP 0.585 mn total commission for the year ended 31 December 2023.

### 37.4 - NBE's Fourth Cash Return Fund with Daily Accumulated Return

NBE's Fourth Cash Return Fund with Daily Accumulated Return has been established by CBE's approval dated 1 December 2005 and license No. (345) issued by Capital Market Authority on 26 March 2006. The Fund started business on 30 April 2006 and being operated by Al Ahly financial investment Management company. The number of certificates as at 31 December 2023 reached (168,302,417) certificates with a market value of EGP48,990 mn. NBE's share on the same date reached (2,490,937) ,which classified as fair value through other comprehensive income investments certificates with a market value of EGP 725 mn , as per the declared rates on 31 December 2023. Pursuant to the Fund's management contract and the prospectus, the Bank shall obtain 3 per thousand annual commissions and fees against supervision on the Fund and other administrative services performed by the Bank. The bank has obtained EGP 142 mn total commission for the year ended 31 December 2023.

### 37.5 - NBE's Fifth Mutual Fund with Accumulated Return

NBE's Fifth Mutual Fund with Accumulated Return has been established by CBE's approval dated 15 March 2005 and license No. (386) issued by Capital Market Authority on 13 February 2007. The Fund started business on 20 May 2007 and being operated by Al Ahly financial investment Management company. The number of certificates as at 31 December 2023 reached (7,921,539) certificates with a market value of EGP 187 mn. NBE's share on the same date reached (527,584) certificates, which classified as fair value through other comprehensive income investments' with a market value of EGP 8 mn as per the declared rates on 31 December 2023. Pursuant to the Fund's management contract and the prospectus, the Bank shall obtain 4 per thousand annual commissions and fees against supervision on the Fund and other administrative services performed by the Bank. The bank has obtained EGP 0.341 mn total commission for the year ended 31 December 2023.

### 37.6 - NBE's and Al Baraka Bank's Sixth Mutual Fund with Periodic and Accumulated Return (Bashaier)

NBE's and Al Baraka Bank's Sixth Mutual Fund with Periodic and Accumulated Return (Bashaier) has been established by CBE's approval dated 5 July 2007 and license No. (432) issued by Financial Regulatory Authority on 31 December 2007. The Fund started business on 10 February 2008 and being operated by Al Ahly Financial Investment Management company. The number of certificates as at 31 December 2023 reached (3,137,014) certificates with a market value of EGP 518 mn. NBE's share on the same date reached (35,950) classified as fair value through other comprehensive income investments with a market value of EGP 6 mn and (140,240) certificates classified as fair value through profit / loss investments with a market value of EGP 23 mn as per declared rates on 31 December 2023. Pursuant to the Fund's management contract and the prospectus. The Bank shall obtain 3.75 per thousand annual commissions and fees against supervision on the Fund and other administrative services performed by the Bank. The bank has obtained EGP 0.987 mn total commission for the year ended 31 December 2023.

### 37.7- NBE's Seventh Mutual Fund with Accumulated and Periodic Return (the Fund of Egyptian Funds)

NBE's Seventh Mutual Fund with Accumulated and Periodic Return (the Fund of Egyptian Funds) has been established by CBE's approval dated 6 January 2009 and license No. (513) issued by Capital Market Authority on 19 May 2009. The Fund started business on 29 July 2009. It is operated by Al Ahly financial investment Management company. The number of certificates as at 31 December 2023 accounted for (114,357) certificates with a market value of EGP 23 mn. NBE's share on the same date reached (50,000) certificates ,which classified at fair value through other comprehensive income investments with a market value of 10 mn, as per declared rates on 31 December 2023. Pursuant to the Fund's management contract and the prospectus, the Bank shall obtain 3.75 per thousand annual commissions and fees against supervision on the Fund and the other administrative services performed by the Bank. The bank has obtained EGP 0.065 mn total commission for the year ended 31 December 2023.

### 37.8- NBE's eighth EL-Waed Mutual Fund with quarterly fixed income

NBE's eighth EL-Waed Mutual Fund with quarterly fixed income has been established by CBE's approval dated 14 November 2010 and license No. (636) issued by Capital Market Authority on 23 May 2011. The Fund started business on 16 October 2011.Al Ahly Financial Investment Management co. operates it. The number of certificates as at 31 December 2023 reached (216,195) certificates with a market value of EGP 485 mn. NBE's share on the same date reached (11,616) certificates that classified as fair value through other comprehensive income investments with a market value





of EGP 26 mn. In addition to certificates classified as fair value through profit / loss investments' amounting to (25,700) certificates with a market value of EGP 58 mn. This reflects the declared rates on 31 December 2023. Pursuant to the Fund's management contract amended on 03 April 2016 and the prospectus, the Bank shall obtain 2 per thousand annual commissions and fees against supervision on the Fund and other administrative services performed by the Bank. The bank has obtained EGP 1.169 mn total commission for the year ended 31 December 2023.

### 37.9 - NBE's Misr Takafoul insurance Mutual Fund "Al-Ahly Haya"

NBE's Misr Takafoul insurance Mutual Fund "Al-Ahly Haya" has been established by CBE's approval dated 23 June 2021 and license No. (847) issued by Capital Market Authority on 17 November 2021 The Fund started business on 23 December 2021. Al Ahly Financial Investment Management co. operates it. The number of certificates as at 31 December 2023 reached (662,264) certificates with a market value of EGP 115 mn, as per declared rates on 31 December 2023. NBE's share on the same date reached (25,000) certificates that classified as fair value through other comprehensive income investments with a market value of EGP 4 mn. In addition to certificates classified as fair value through profit / loss investments' amounting to (75,000) certificates with a market value of EGP 13 mn. Pursuant to the Fund's management contract amended and the prospectus, the Bank shall obtain 2 per thousand annual fees from the net fund's assets. The bank has obtained EGP 0.190 mn total commission for the year ended 31 December 2023.

## 38 - Significant events

### Events during current year

On 30 March 2023, the Monetary Policy Committee (MPC) decided to raise the Central Bank of Egypt's (CBE) overnight deposit rate, overnight lending rate, and the rate of the main operation by 200 basis points to 18.25%, 19.25%, and 18.75%, respectively. The discount rate was also raised by 200 basis points to 18.75%.

On 3 August 2023, the Monetary Policy Committee (MPC) decided to raise the Central Bank of Egypt's (CBE) overnight deposit rate, overnight lending rate, and the rate of the main operation by 100 basis points to 19.25%, 20.25%, and 19.75%, respectively. The discount rate was also raised by 100 basis points to 19.75%.

- Based on the change in the US dollar exchange rate from 24.74 pounds per dollar to 30.9 pounds per dollar, the values of assets and liabilities of monetary nature in foreign currencies, as well as the income statement, were effected by the results of evaluating the existing currency position at hte date of the financial position. As illustrated in note 4/2/2

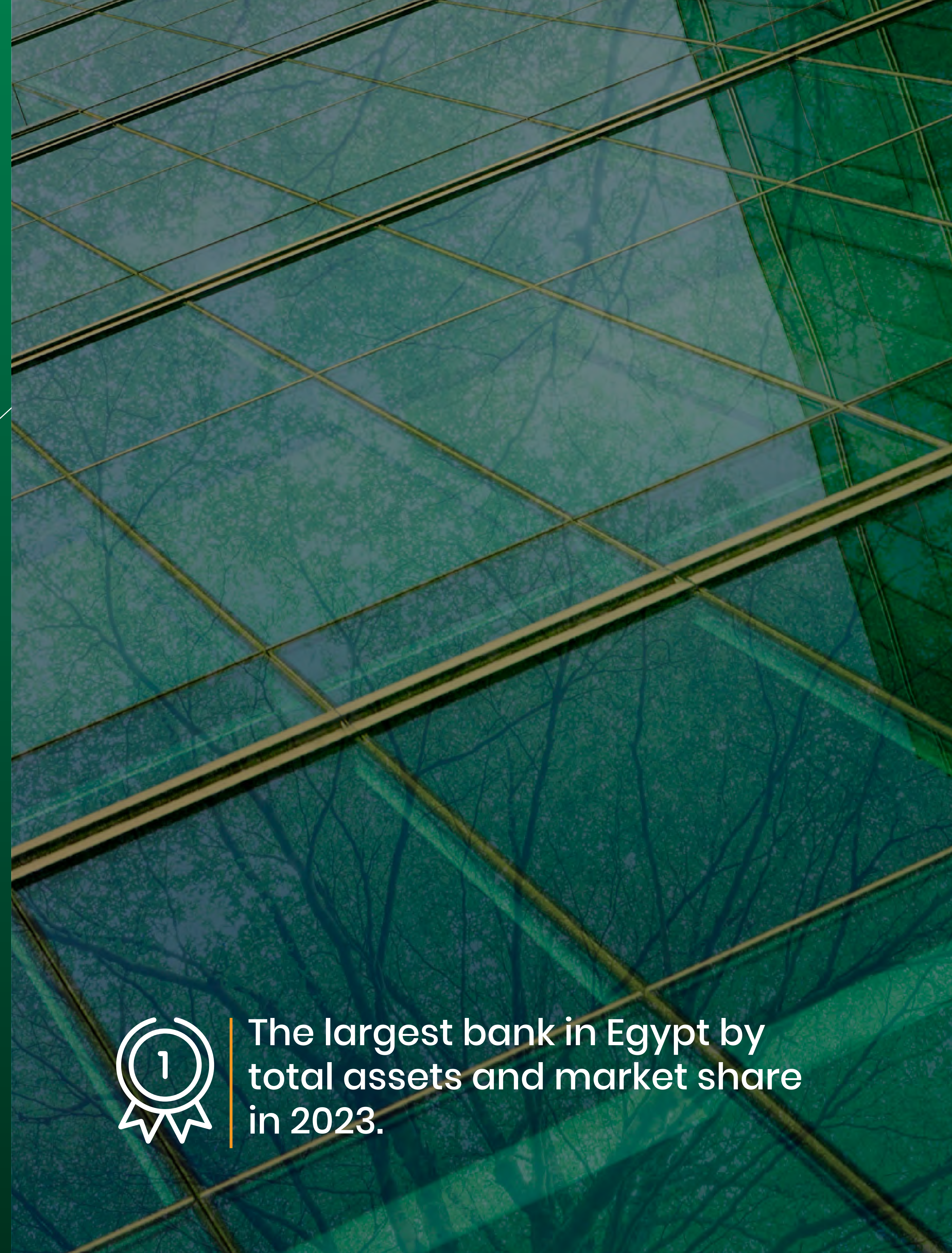
### Subsecuent Events

- On the 1st of February 2024, the Monetary Policy Committee (MPC) decided to raise the Central Bank of Egypt's (CBE) overnight deposit rate, overnight lending rate, and the rate of the main operation by 200 basis points to 21.25%, 22.25%, and 21.75%, respectively. The discount rate was also raised by 200 basis points to 21.75% , which may affect the bank's policies in pricing current and future banking products
- The CBE's Monetary Policy Committee (MPC) had decided on the 6 March 2024 the raise of the overnight deposit rate, the lending rate, and the CBE's main operation rate by 600 basis points to reach 27.25 %, 28.25 %, and 27.75 %, respectively. In addition to, the increase of the credit/discount rate by 600 basis points to reach 27.75 % , which may affect the bank's pricing policies for current and future banking products.
- The US dollar exchange rate reached 47 pounds per dollar On 30 March 2024.

## 39 - Comparative figures

The Bank has amended the comparative figures to comply with the current presentation of the financial statements.

# 5 NBE's Branches Inside Egypt and Abroad



| Key Branches | |
|---|---|
| Greater Cairo Region (02) | |
| Main Branch<br>24 Sherif St. - Cairo<br>23971102-23971061-23971082 | Aghakhan Branch<br>13,14 Aghakhan Towers - Corniche El Nil<br>Shoubra El Mazalat<br>22061515 |
| Capital Branch<br>8 Ibrahim Naguib St.<br>Garden City 27948951 | El Orouba Branch<br>7 Al-Ahram St. - Heliopolis<br>22663837 |
| Tower Branch<br>1187 Corniche El Nil<br>Boulaq Abu El-Ela – Cairo 25945805 | Airport Branch<br>Cairo International Airport<br>22663837 |
| Tharwat Branch<br>39 Abdel Khalek Tharwat St. – Cairo<br>23914644 | Dokki Branch<br>98 El Tahrir St. – Dokki<br>37609554 |
| El-Nasr Branch<br>13 El-Gomhoria St.<br>Abdeen – Cairo<br>23937600 - 23936700 | Giza Branch<br>3 (A) El-Gamaa St. – Giza<br>35726632 |
| Heliopolis Branch<br>21 Ibrahim El Lakani St.<br>Heliopolis<br>24153859 | Agouza Branch<br>201, 26th July St. - Agouza<br>33032167 |
| El-Sherifein Branch<br>9 El-Sherifein St.<br>23956703 - 23950047 | Zamalek Branch<br>27 Al-Mansour Mohamed St. - Zamalek<br>27360929 |
| Elwi Branch<br>4 El-Shawarbie St. – Cairo<br>23938079 | El-Rawda Branch<br>23 El-Manial St.<br>23631928 |
| Helwan Branch<br>37A Khesro St. at the intersection of Sherif St.<br>25560979 | Industrial Zone Branch<br>Banks Complex - 4th Industrial Zone - 6th of October City<br>38332338 |
| El-Rehab Branch<br>Banks Complex - Talaat Moustafa St.,-Al Rehab City<br>26072412 | 10th of Ramadan Branch<br>Banks complex - Al Ordonia Square<br>10th of Ramadan City<br>015/367964 |
| Nasr City Branch<br>63 Mohamed Hassanein Heikal St.<br>Nasr City<br>26720085 | Sarayat El-Maadi Branch<br>39, Street 10 – Maadi, El Sarayat<br>29815289 |
| Geziret El Arab Branch<br>52 Geziret El-Arab St. - El-Mohandeseen - off Gameat El Dewal St.<br>33031585 | |



| Key Branches | |
|---|---|
| Alexandria Region (03) | |
| Alexandria Branch<br>24, 26 Salah Salem St. – El Attarin<br>4852284 | Borg El-Arab Branch<br>New Borg El Arab City – Borg El Arab<br>4593459 |
| Mahatet El Raml Branch<br>15 El Ghorfa El Togaria St. - Concord Tower – Mahatet El Raml<br>4878420 | Semoha Club Branch<br>Semoha Sports Club Fence – Semoha<br>4258300 |
| Damanhour Branch<br>El Gomhoreya St. – Damanhour<br>045/3312205 | Marsa Matrouh Branch<br>El Galaa St. – Marsa Matrouh<br>046/4935500 |
| Lower Egypt Region | |
| El Mahalla El Kobra Branch<br>6 Moheb St. opposite the Culture Palace<br>040/2230565 – 040/2245127 | El-Mansoura Branch<br>167 El Gomhoreya St. – El Mansoura<br>050/2262156 |
| Tanta Branch<br>2 El Geish St. – Tanta<br>040/3419096 | Zagazig Branch<br>36 Saad Zaghloul St.- Manshiet Abaza, Zagazig<br>055/2349440 – 055/2303084 |
| Shebin El Kom Branch<br>El Geish St. – Shebin El Kom<br>048/2228247 – 048/2224327 | |
| Canal, Sinai, and Red Sea Region | |
| Ismailia Branch<br>El Tahrir and Khaled Ibn El Walid St.<br>064/3922494 | Sharm El-Sheikh Branch<br>Banks St. - Hadabet Om El Sayed<br>069/3662323 |
| Suez Branch<br>5 Saad Zaghloul St. – Suez<br>062/3335732 | El-Arish Branch<br>23rd July St. – El Maleh Square<br>068/3350676 |
| Port Said Branch<br>52 El Gomhoreya St.<br>066/3323629 | Hurghada Branch<br>Banks Area – Hurghada City<br>065/3453011 |
| Damietta Branch<br>29 El Bahr St. - Damietta First Police Station<br>057/2245038 | |
| Upper Egypt Region | |
| Qena Branch<br>Haridy St. beside Qena Security Directorate<br>096/5349100 | Assiut Branch<br>26th July St. – Assuit<br>097/2325573 |
| Luxor Branch<br>3 Corniche El Nil St. – Luxor<br>095/2370177 | Aswan Branch<br>Abtal El Tahrir St. off Corniche El Nil St. – Aswan<br>097/2325573 |

## NBE's Local and International Presence

### Arab Republic of Egypt

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Home Page: www.nbeuk.com

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## NBE's Local and International Presence

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Home Page: www.nbeny.com

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# 6 Corporate Social Responsibility

## NBE's Corporate Social Responsibility Role

As part of its efforts and contributions toward supporting society, out of its belief that individual development is deeply rooted in the ongoing development of societies with their various institutions and entities, NBE has assumed a leading and pivotal role in serving and supporting Egyptian citizens since its establishment. The Bank has had an effective impact on their lives through relying on a thought-out strategy for social development, in alignment with the concept and globally applied standards of sustainable development, as well as its dimensions that form the key pillars of Egypt's Vision 2030.

The Bank is committed to addressing the specific needs of its surrounding society based on its conditions. This concept has become a key to success over the years in social development, culminating in NBE's commitment to being an example and role model in serving the individuals and society as a whole. Being Egypt's oldest bank and the most instrumental banking institution in serving national economy, NBE is definitely worthy of being the "People's Bank". It is one of the first banking and economic institutions that have realized, early on, the importance of their role in serving society. NBE's total contributions to social development recorded EGP 1.3 bn. in 2023, distributed in alignment with the standards of sustainable development to ensure optimal developmental impact on the Egyptian people. The social development areas that NBE has mainly focused on include supporting healthcare, education, slums development, and combating poverty. The Bank also helps people with disabilities, promotes culture, protects heritage, and supports youth and female breadwinners.



## Supporting the Health Sector

NBE continued its efforts toward providing the necessary support to enhance health-care services and improve the quality of life of those who are most in need. NBE's contributions managed to support and develop the health sector with a specific focus on developing and equipping a large number of public and university hospitals, as well as specialized medical centers across different Egyptian governorates, aiming to provide treatment to low-income and critically ill patients, extending top-notch medical services free of charge, and reducing waiting lists. Such hospitals include Cairo University Hospital, Ain Shams University Hospital, and Mansoura University Hospital, as well as some hospitals affiliated with charitable institutions and organizations, such as Baheya Foundation for Early Detection and Treatment of Breast Cancer, Al Nas Children Hospital, Nile of Hope Hospital specialized in pediatric surgeries of congenital anomalies in Alexandria, and Shefaa Al Orman Hospital in Luxor. Intensive care units (ICUs), operating rooms, and diagnostic and treatment devices needed for these hospitals were provided by NBE to be used bywell-trained professionals to ensure that patients receive quality medical services.

## Ministry of Health and Population (MOHP)

NBE donated EGP 100 mn. for the implementation of the first phase of the development plan of 251 health facilities affiliated to MOHP nationwide to offer top-notch primary health care (PHC) services with the citizens, especially in the most vulnerable areas. This includes preventive, public health, and family planning services and regular health check-ups for the identification of any early signs of health issues. The Bank's donation has also optimized the benefit of the Haya Karima (Decent Life) Initiative and other presidential health initiatives, including 100 mn Seha (100 mn Healthy Lives).

# University hospitals

## Ain Shams University hospitals

NBE's total donations to Ain Shams University hospitals reached around EGP 78.042 mn., distributed as follows:

## Ain Shams University Medical City

NBE contributed EGP 50 mn. to support the development of Ain Shams Medical City in terms of construction, equipment, and devices. The development of the Medical City comes within the framework of introducing new still offering models for university hospitals, while maintaining free treatment for low-income individuals. It included the new Emergency Hospital the Academic Institute for Heart Surgery, and the Children's Hospital, as well as the construction of the specialized Pediatric Surgery Hospital.

## Ain Shams Specialized Hospital

The donation of EGP 25 mn. to contribute to robotic surgeries is approved for 500 patients annually through using robot-assisted techniques and equipment in various medical fields, including urology, gastroenterology, surgical oncology, and gynecology, to perform complex operations. In such types of surgery, impoverished patients are offered medical care at lower costs with shorter hospitalization and recovery periods. This, in turn, positively impacts patients' health after surgery.

## Cairo University hospitals

NBE's total donations to Cairo University hospitals reached around EGP 123.341 mn., distributed as follows:

## Abu El Reesh Specialized Children's Hospital (El Yabani)

NBE's donations to the Hospital reached EGP 55 mn, which were channeled to upgrading, renewing, and developing the capacity of four operating rooms to serve multiple surgical specialties. These include general surgery, orthopaedic surgery, urology surgery and ophthalmological surgery. The Hospital performs about 6,000 surgical procedures annually to treat children free of charge and professionally deliver high-quality medical services to reduce waiting lists and save the lives of as many children as possible.

## El Qasr El Ainy New Educational Hospital (Qasr El Ainy French Hospital)

The donation of EGP 5 mn. was approved to equip the emergency department, intensive care unit in the ground floor, and outpatient clinics with the necessary medical devices to treat the largest number of patients vising the Hospital, aiming to reduce waiting lists.

## King Fahd Unit at the Urology and Nephrology Center

NBE donated EGP 2 mn. to equip the Unit with the necessary medical devices to provide optimal health care services in order to reduce the number of patients on the (dialysis/ kidney transplant/ kidney stones/ extracorporeal shockwave lithotripsy “ESWL”) waiting lists.


## National Cancer Institute (NCI)

NBE donated a total of EGP 61.341 mn. to complete the national project for the development of the Breast Cancer Hospital (NCI-New Cairo). The donation included EGP 33.341 mn. allocated to raising the Institute’s efficiency to be able to accommodate cancer patients treated free of charge. It also included EGP 25 mn. allocated o providing the Surgical Oncology Department with a robotic surgery system “i.e. surgical robot” to perform surgeries with utmost care and precision for the largest number of patients possible and to reduce waiting lists. Out of the total donation, an amount of EGP 3 mn. is allocated to completing the construction works of the southern building of the Institute located in Kasr Al-Aini and complete the medical equipment cost.

## Brain stroke unit

NBE donated EGP 3.042 mn. to complete the establishment of the annexed unit of the stroke department, which includes new rooms for inpatients, rehabilitation rooms; a special laboratory area for stroke patients, service rooms, and isolation rooms in line with the unit's standard infection control precautions (SICPs), The donation was also made to upgrade the department's design, including the cath lab and its accessories, and rearrange services performed in the stroke department to apply quality standards and maintain effective infection prevention.

## Mansoura University Children's Hospital

NBE made a contribution of EGP 15 mn. to provide and purchase medical devices for the Hospital's cardiac surgery unit to serve thousands of patients in various governorates. The Hospital is also establishing new and upgraded units for more precise diagnosis of cases and to treat rare pediatric diseases, including the research unit of stem cell extracted from umbilical cords and the genetic and metabolic diseases diagnostic unit.


## The Urology and Nephrology Center at Mansoura University

NBE donated EGP 3.6 mn. to provide and purchase some of the medical devices necessary for the Center. It is a major leading scientific and medical center in the Middle East specialized in artificial kidney, kidney transplantation surgeries, and urologic cancer surgery. The Center also provides services free of charge to patients with renal failure, urinary tract diseases, cancer, and birth defects.


## Badr University Hospital at Helwan University

NBE made a contribution of EGP 5 mn. to upgrade the Hospital by providing the necessary medical devices to the Department of Cardiology and Pulmonology at Badr Hospital, Helwan University. It is a large university hospital with various medical specialties. The Hospital is located in Badr City near to the New Administrative Capital. The Hospital also has varied medical cadres in all fields. The number of beds, operating rooms, and intensive care units were increased to accommodate as many patients as possible to reduce waiting lists.


## Therapeutic foundations’ hospitals and charity hospitals

### Al-Mabarra Hospital – Old Cairo (Therapeutic Foundation in Cairo)

NBE made a contribution of EGP 55 mn. to develop and upgrade the cardiac surgery and catheterization unit and its intensive care unit with all the necessary equipment and devices to provide free and distinguished healthcare services, aiming to eliminate cardiac patients waiting lists at government hospitals. Moreover, such contribution was made to develop two rooms equipped with the capsule technology of cardiac surgery for both adults and children; add a number of 10 open-heart surgery care beds; and provide an extracorporeal membrane oxygenation (ECMO) system, a 3D-cauterizing system for catheterization in the treatment of electro-cardiac disorders and critical cardiac conditions, as well as an arterial ultrasound imaging device. It is noteworthy that, the Hospital serves more than 3,600 cardiac cath patients and more than 10,000 cardiac care patients annually.

### Baheya Foundation for Early Detection and Treatment of Breast Cancer

NBE contributed EGP 88.125 mn. to support the hospital affiliated with the Foundation, which is the primary destination for women’s health and wellness. The donation included providing the necessary medical devices, such as a medical linear accelerator (LINAC) and radiotherapy simulator, at a cost of EGP 68.125 mn. The hospital contributes to the treatment of the largest possible number of patients diagnosed with breast cancer by providing fast and highly efficient treatment to reach global recovery rates, reduce waiting lists, and provide psychological support and care for each breast cancer patient. The Bank’s contribution also aimed at providing around 5,128 chemotherapy sessions costing EGP 20 mn.

## The Children's Cancer Hospital Egypt 57357 (CCHE)

An amount of EGP 40 mn. was donated by NBE to contribute to the treatment of children diagnosed with cancer for free and to help CCHE continue to carry out its mission. NBE's support aims at enhancing recovery rates for all cancer patients. The goal is to expedite their access to state-of-the-art diagnostic, treatment, and holistic healthcare methods. Notably, this has enabled the provision of treatment to nearly 5,200 children in the past years.


## Al-Nas Hospital for Children

NBE donated EGP 4.104 mn. to the Hospital affiliated with Al Joud Foundation to purchase a system, i.e. software, intended for managing and digitalizing the Hospital in light of the development, governance, digitalization, and connection all the Hospital's departments. In other words, the Hospital shall operate according to the international quality standards of the Joint Commission International (JCI) and the accreditation standards of the General Authority for Healthcare Accreditation and Regulation (GAHAR) to facilitate follow-up for patients requiring treatment and provide seamless access to patients' medical records for keeping track of their health conditions.


## Nile of Hope Foundation

NBE donated EGP 29 mn. to Nile of Hope Hospital for pediatric surgeries and congenital anomalies, which is affiliated with Nile of Hope Foundation. The amount is dedicated to perform 200 pediatric cardiac catheterization and 100 pediatric open-heart surgeries free of charge. The Bank's donation was also channeled to supporting patients with indications of cardiac catheterization, vascular bypass procedures, or cardiac surgery interventions and developing advanced training programs and courses on leadership and professionalism developing tailored to the Hospital's pediatric cardiology staff.

## Shefaa Al Orman Hospital

NBE donated EGP 155 mn. to the Hospital affiliated with Al Orman Charity Organization to provide all accessories to the cyclotron device, which is tantamount to the national project for serving cancer patients in Upper Egypt. The device is used to produce radioactive substances used in injecting patients who are referred for a PET CT scan, i.e. an accurate method of diagnostic imaging, which ultimately helps offer appropriate treatment and higher survival rates.

## Nasr City Association for Development and Social Welfare

NBE donated a total of EGP 40 million equally divided to equip the operating ward of Nasr City Specialized Hospital and continue equipping the departments of the Hospital's Third Settlement Branch, which is affiliated with the Association and serves patients in various specialties. This contribution involves purchasing the required medical devices to treat the largest number of patients and expanding the Hospital's room and bed capacity. The Hospital is one of the healthcare institutions that undertake charitable work, and it represents a true safety valve for middle-class and low-income individuals. It serves as a model and a distinguished medical facility that caters to patients who cannot financially afford the cost of treatment, serving thousands of citizens annually.

## NBE's Charity Association

NBE approved a total donation of EGP 12 mn. to contribute to treating renal failure patients to alleviate the burdens Egyptian families, in mutual collaboration between NBE's Charity Association and Nasser Social Bank – Zakat Committee.

## Masr Shoryan Alataa Association (MSAA)

NBE donated EGP 10 million to support the "Shoryan Masr" project, which aims at providing adequate and safe blood supplies for transfusions in Egypt and establishing a base of regular voluntary blood donors to ensure that sufficient blood donations are available for children who receive transfusions regularly. Moreover, an integrated donor system and an Egyptian blood donor association will be established to enhance blood donation literacy in the Egyptian society to save the lives of thousands of patients; recruit and develop the capacities of 5,000 targeted voluntary blood donors (i.e. university students and staff members); and establish Shoryan blood donation clubs at governmental and private universities, sports clubs, and youth centers countrywide.

## Sherif Omar Cancer Care Foundation

NBE donated EGP 5.510 mn. to provide a mammography unit and an ultrasound device to the Women's Health Care Unit at Shagaret El Dor Hospital in Zamalek, which is affiliated with the Foundation. To illustrate, the Bank has equipped the Hospital to be specialized in breast cancer treatment in Cairo in accordance with the global standards for quality healthcare services and in support of the presidential initiative for cancer treatment in conjunction with the "100 Days of Health" Initiative. Moreover, the Hospital provides a myriad of medical services, including raising necessary health awareness through the hotline, performing regular health check-ups, and prescribing the appropriate medication for patients to reduce waiting lists.

## Sonaa Al Khair Foundation for Development

NBE approved a donation of EGP 20 mn. to Sonaa Al Khair Foundation for Development to assist the Foundation to efficiently and effectively fulfill its role and support the second phase of the "Your Eyes in Our Eyes" initiative to serve nearly 100,000 citizens in need, protecting them from causes of blindness. Furthermore, the Foundation offers medications, treatment, and eyeglasses and conducts operations in the most vulnerable villages and hamlets nationwide.

## Baseera Foundation for the Visually Impaired

A total donation of **EGP 21.428 mn.** was made by NBE to help the foundation continue its journey of treating visual impairments. The foundation conducted ophthalmic exams for approximately 70,000 school and nursery children and dispatched medical convoys to poor villages to perform eye examinations for 2,000 persons. Moreover, the foundation offers the necessary medical services required after checkup, including treatment, eyeglasses, and operations at a cost of EGP 10 mn. Furthermore, the foundation targeted the rehabilitation and training of 100 visually impaired persons by offering rehabilitation sessions and hosting training camps to educate them about self-dependence, at a cost of up to EGP 5 mn. foundation also equipped about 50 visual rehabilitators with the necessary skills and expertise by enrolling them in the first visual rehabilitation diploma in Egypt at an approximate cost of EGP 6.4 mn.

## Misr El Kheir Foundation (MEK)

A total donation of EGP 2.225 mn. was made by NBE to cover the treatment cost of seven pediatric open-heart and cardiac catheterization surgeries and pancreatic cancer treatment performed at the Air Force Specialized Hospital for children of poor families that cannot afford the costs of treatment.

## Wadi El Neel Benta Company (WNB) for pharmaceuticals and medical supplies

NBE approved a donation of EGP 3 mn. to train 120 employees of different job grades who work at WNB's factory for pharmaceuticals and medical supplies. WNB aims to improve the level of health services and alleviate the burden on the state and citizens through providing highly effective and affordable locally manufactured pharmaceuticals, compared to those imported in foreign currency. The goal is to offer alternatives tailored to the local market to avoid significant shortage of crucial medications that puts lives at risk.

## Magdi Yacoub Heart Foundation for the treatment and research of cardiovascular diseases

NBE supported the Foundation with an amount of EGP 75 mn. to contribute to performing 577 open-heart surgeries and therapeutic catheterization procedures, as well as to treating the largest number possible of patients with the highest levels of efficiency and skill. This contribution aimed to eliminate waiting lists and to save and treat the largest number of complex cases free of charge, providing them with top-notch medical care in accordance with the latest international medical standards.

## Fahim Foundation for Mental Health Support

NBE supported the Foundation with an amount of EGP 1 mn. in order to promote mental health and community awareness among families about the needs of effective patients and the possibility of their treatment and social integration, in addition to providing support and raising awareness in the field of mental health in general.

## Supporting education

To enhance the role of education as a fundamental pillar for achieving comprehensive development, NBE aims to enhance the education sector in Egypt. The Bank is driven by its firm belief that education is a shared responsibility that is not limited to governmental bodies but is also essential to build genuine partnerships with all stakeholders to achieve tangible educational results, that can be assessed by measuring the quality of education through various criteria. Such criteria include the effectiveness of the basic and vocational education systems; the quality of higher education; the availability of practical training; the efficiency of the labor market; the alignment between qualifications and job market needs; and the integration of modern technologies and applications into teaching and learning. In addition, NBE has taken proactive steps to support and develop a number of universities, including Nile University, Zewail City of Science and Technology, and the Arab Academy for Science Technology and Maritime Transport (AASTMT). This support aims to assist students throughout their university degrees and to produce high-caliber scientists and professionals with the necessary skills to meet the requirements of the local and international labor markets.

## The Ministry of Education and Technical Education

NBE donated a total amount of EGP 85 mn. allocated to support the Ministry in performing its role in the field of education development. An amount of EGP 50 mn. was contributed to educational resources to help students complete their studies and prepare for exams through TV channels such as Madrasetna "1" and "2" and the Hesas Masr platform. In addition, an amount of EGP 35 mn. was contributed for the expansion of Nile Egyptian Schools (NES) to ensure all students at different educational levels are benefiting.

## Elsewedy Electric Foundation

NBE took the initiative to donate a total amount of EGP 57.5 mn. to support the students of Elsewedy Technical Academy by offering full and partial scholarships to 125 students over three years, with an amount of EGP 7.5 mn, as well as supporting the students of Elsewedy University of Technology "Polytechnic of Egypt" through full and partial scholarships offered to 479 students. This initiative aims to bridge the gap between the graduates of technical schools and universities and the labor market, support the industrial and technological sectors, and enhance the quality of industrial production and technical and technological competencies. In addition, it contributes to promoting investment opportunities by empowering the workforce, reducing unemployment, and establishing partnerships between the business sector and academic institutions to foster scientific research and provide applied training opportunities for students.

## Fahim Foundation for Mental Health Support

The Bank sanctioned the donation of EGP 8.172 mn. to launch the mental health program in cooperation with the Education First Institution, which is dedicated to supporting public education in Egypt. The program offers training to 1,100 psychological specialists working in public and distinguished language schools across Egypt. It also aims to promote the culture of mental health and raise community awareness among families regarding the necessary psychological needs of school students, in addition to other means of providing support and raising awareness in the field of mental health to create generations capable of coping with the challenges of the current era.

## Misr El-Kheir Foundation

NBE donated an amount of EGP 11 mn. to complete the execution of the "Values and Life" project, aiming to provide its services to around one million beneficiaries. The donation also aims to continue training and empowering young cadres in order to serve as the nucleus for expanding and sustaining the project's activities. The project seeks to promote a set of human and social values over multiple phases, including training volunteers in the skills required to raise awareness of the values most needed for each period, developing promotional materials, and providing the essential basic requirements.



## Federation of Egyptian Industries

A donation of EGP 60 mn. was made by NBE to develop two schools, in line with the implementation of the applied technology system project in various governorates and across different disciplines, in accordance with the actual needs of each governorate. This project also aims to prepare technical professionals in these schools based on the requirements of the labor market, as identified by the Federation's industrial chambers, in collaboration with a group of specialized developers in applied, vocational, and technical fields.

## Nile University

NBE donated an amount of EGP 16.744 mn. to help the university carry out its mission, which aims to provide advanced education opportunities to excelling students and offer 20 scholarships to students pursuing a bachelor's degree in various scientific disciplines. In addition, the contribution supports the procurement of equipment for the scientific laboratories at the new schools, including the School of Sciences, the School of Digital Humanities, and the Graduate School of Education.


## Zewail City of Science and Technology

A total amount of EGP 13.640 mn. was donated by NBE to help the City carry out its mission through the provision of opportunities for modern education and continue to support the outstanding students from the university's class of 2020. Such amount also covered 112 full and partial scholarships offered to 214 distinguished and talented students who cannot afford the tuition fees in the Schools of Science and Engineering in the academic year of 2023/2024.


## The Arab Academy for Science, Technology, and Maritime Transport (AASTMT) Entrepreneurship Center

A donation of EGP 7 mn. was made to support the Egyptian youth in universities and startups through the Rally Startup Competition organized by the AAST Entrepreneurship Center, create additional paths for startups, and extend cooperation with around 30 Egyptian universities. the donation also covered supporting around 60 startups to be prepared for entry into the local and international markets for investment, as well as supporting members of entrepreneurship centers in 20 Egyptian universities. Furthermore, the Bank has provided all non-financial banking services, especially tailored to the needs of youth and startups, to develop their businesses and carry them out in real life.


## The Urology and Nephrology Center at Mansoura University

NBE donated a total amount of EGP 1 mn. to complete supporting the diabetes research project by using stem cells at the Urology and Nephrology Center affiliated with Mansoura University. This donation comes within the framework of encouraging and supporting scientific research and research projects related to studies on diabetes and kidney disease patients.

## Support for Combating Poverty

As part of its efforts to realize the vision of building integrated communities and achieve social stability for all, and in alignment with the UN's sustainable development goals (SDGs) and Egypt , NBE has focused on the need to upgrade slums and address challenges related to providing adequate housing for all. This includes ensuring access to essential urban services to reduce the establishment of unsafe slums in Egypt and improve existing ones.

The Bank has continued implementing comprehensive development activities to support development plans across various governorates in Egypt, aiming to support thousands of citizens in various governorates and remote regions. The Bank also contributed to securing small businesses for low-income individuals across the same areas in an effort to improve their quality of life and help them better overcome the challenges of toady.

## Support for Combating Poverty

### Tahya Misr Fund

NBE contributed an amount of EGP 43 mn., allocated to future development plans, particularlyones centered around supporting various initiatives for underprivileged families across the country. This includes shoring up social protection programs for families with an amount of EGP 20 mn. NBE's contributions included preparing, packing,and distributing Ramadan boxes with an the amount of EGP 23 mn. in different governorates to ease the burden on residents of the most impoverished areas.

### Tawasol for Developing Istabl Antar NGO

NBE donated an amount of EGP 15 mn. to support women in Istabl Antar and Ezbet Khairallah to help them make Bedouin handcraft and secure a sustainable source of income, creating an integrated developed society that preserves Egyptian heritage and traditional handcrafts. The donation also supports women across 10 governorates, directly benefiting around 4,000 women and indirectly reaching thousands more. Among the beneficiaries are women from Bir Al Abd, Siwa Oasis in Marsa Matrouh, Shandawel Island and Akhmim in Sohag, Naqada in Luxor, and Nubia in Aswan. The main objective is to prepare raw materials and design the modern patterns used in some of the distinctive and eco-friendly Bedouin products.

### Social Housing and Mortgage Finance Fund

NBE donated EGP 6.156 mn. to pay off the loans of 23 cases, which were examined carefully by the Bank's Retail Risk Division. This donation is in alignment with supporting urgent humanitarian cases of people who failed to continue the repayment of the remaining due amounts of residential units financed by the Social Housing and Mortgage Finance Fund due to lack of or shortage in financial means.

### The Northern Military Region

NBE donated an amount of EGP 5 mn. to contribute to setting up homes for young men and women from underprivileged families preparing for marriage. This contribution included the preparation and organization of a mass wedding ceremony for 500 brides and grooms, as part of aiding the most underprivileged families and the ultimate goal of combating poverty.

### Misr El-Kheir Foundation

A total amount of EGP 12 mn. was donated by NBE to the Foundation, of which an amount of EGP 7 mn. was channeled toward preparing, packing, and distributing Ramadan boxes in different governorates to alleviate the burden on the residents of the areas that are most impoverished, and an amount of EGP 5 mn. was directed to the distribution of Udhiya meat to the neediest families in several villages in Egypt.

## Supporting people with Disabilities

Within the framework of providing the necessary care and support for people with disabilities through initiatives that offer the necessary support to achieve their independence, the Bank has been keen to consider the best international practices and experiences for integrating people with disabilities into society in a natural and effective manner. Therefore, NBE has paid special attention to help them discover their strengths and talents. This role is evident through its ongoing cooperation with numerous charitable organizations specialized in supporting people with motor, visual, and intellectual disabilities, such as Al-hassan Foundation for Differently Abled Inclusion, Al Nour Wal Amal Association, Egyptian Advance Society for Autism and Other Disabilities (Advance), and Resalet Nour Ala Nour Association with the aim of integrating helping people with disabilities become effective and independent individuals who are capable of fulfilling their needs themselves and coping with life's challenges.



## Egyptian Advance Society for Persons with Autism and Other Disabilities (Advance)

NBE donated an amount of EGP 15.982 mn. to carry out four projects over two phases, including a project for developing and equipping a fully integrated vocational rehabilitation center for individuals with autism and intellectual disabilities. The center aims to improve vocational rehabilitation and training methods for employment purposes. The donation also supports a project for financing the student support fund for economically disadvantaged students, as well as a project to launch a free assessment campaign across various governorates across Egypt, with the aim of evaluating the abilities and skills of children with intellectual disabilities and autism. Moreover, the donation comprises a project aiming to raise the efficiency of the rehabilitation entities affiliated with the Ministry of Social Solidarity, which seeks to develop the system of specialized services provided to students with intellectual disabilities and autism in the Ministry's relevant institutions. include sproviding training specialists within institutions in methods of educating and rehabilitating students with intellectual disabilities and autism.

## Al Nour Wal Amal Music Institute for Blind Women

A donation of EGP 3.850 mn. was made by NBE to cover the Institute's expenses and financial needs to continue its distinguished journey, extending for more than 50 years. Al Nour Wal Amal Music Institute is keen on training and qualifying visually impaired girls to secure job opportunities and sources of income, aiming to ensure a decent life for them and to integrate them into society in a proper and healthy manner.

## The Federal Egyptian Association for Intellectual Disabilities (FEAID) – Re3aya

NBE sanctioned a donation in the sum of EGP 2 mn. for implementing the training for employment project (Work for All), which targets 1,000 participants nationwide within the framework of serving people with intellectual disabilities to help them enhance their competencies, improve their skills, and ensure their natural and effective integration into society.

## The Fund for Honoring Martyrs and Missing and Injured Persons in War, Terrorist, and Security Operations, and their Families

A donation of EGP 20 mn. was made by NBE to the Fund for Honoring Martyrs and Missing and Injured Persons in War, Terrorist, and Security Operations and their Families to offer them care and support in all aspects of life in coordination with stakeholders, civil society organizations, and the private sector.


## Harmonious Family Association for Caring for the Mentally Disabled

NBE approved a donation of EGP 5 mn. to help the association execute the specialized programs aimed to support individuals with disabilities. These programs include the "Tawasal-Best Friend" program, a social program aiming to enhance the integration of individuals with disabilities into society by building friendships with members of the surrounding community. This program serves about 6,000 individuals across Egypt's governorates. The programs also include "Masouliya" program, which focuses on rehabilitating and employing individuals with disabilities. This program serves around 2,000 individuals from 80 entities across Egypt.

## Ministry of Interior - Civil Affairs Sector

NBE donated an amount of EGP 4.642 mn. to complete the establishment of the model center for children with disabilities: "Differently-Abled" in Sheikh Zayed city, The donation also includes the provision of two vehicles to facilitate the delivery of immediate services across various locations within the Greater Cairo region, to facilitate the provision of public services for all citizens in a smooth, convenient, and civilized manner.


## Al-Amal Village Association for Development and Social Rehabilitation for the Disabled

NBE donated EGP 2.652 mn. to support the Association in carrying out several projects, including the renovation of the dormitory building for youth with disabilities in the Village – in Borg El Arab, which was built more than 20 years ago, and is need of extensive renovations. The support also covers a vocational training project that aims to train and rehabilitate individuals with intellectual disabilities and autism in different fields. Supported projects include supporting the rights of children with Phenylketonuria (PKU), a metabolic syndrome. The project aims to raise social awareness on the importance of food security for affected children and contribute to alleviating the economic burden on parents to secure appropriate nutrition for sick children.

## Resalet Nour Ala Nour Association

NBE donated EGP 1.220 mn. for improving and raising the efficiency of the “Children of Tomorrow” nursery, particularly the section for children with disabilities. An elevator has been installed to help children get up to and down from classes in upper floors. A microbus was purchased for the transportation of about 200 children with disabilities. The donation also contributes to strengthening the administrative and supervisory staff of the disabilities section and increasing the number of nursery supervisors from three to five.



## Some of NBE’s contributions to national projects

### Annual meetings of the African Development Bank Group

NBE contributed EGP 35 mn. to its effective participation in sponsoring the annual meetings of the African Development Bank Group in Sharm El-Sheikh, with the theme of “Mobilizing Private Sector Financing for Climate and Green Growth in Africa”. The meetings discussed efforts to achieve growth based on investment in clean and renewable energy in African countries, climate issues, prospects of access to green finance, and means to galvanize the private sector to expand and grow in these fields.

### Golden jubilee celebrations of the glorious October victory

NBE contributed EGP 22 mn. to the celebrations of the golden jubilee of the glorious October victory, which represents a true testament to the Egyptian people’s ability to turn a dream into reality. The celebrations commemorate the Egyptians’ fight for honor and dignity, spreading rays of hope across Egypt. The victory has led to the rebuilding and reconstruction of Sinai Peninsula, which serves as the eastern gateway to Egypt and first line of defending its security and land.


## Gabr Tek for Marine and Environmental Activities

A donation of EGP 10 mn. was allocated for protecting and growing coral reefs on concrete structures to prevent their deterioration due to unsustainable fishing activities and plastic pollution. In addition, events to raise awareness and training courses were held to encourage the protection of the marine ecosystem and educate divers on the importance of maintaining coral reefs. Furthermore, an eco-friendly product was introduced to be marketed at different governorates to secure a source of income that ensures that the business can sustain itself.



## South Sinai Governorate

NBE donated EGP 4 mn. to upgrade Sharm El-Sheikh and transform it into a prestigious and welcoming venue for tourists and delegations participating in conferences hosted by the city. The Bank contributed to providing Sharm El-Sheikh city of South Sinai Governorate with some equipment, such as graders and sweepers for graders to fully prepare and prime for any incidents or surprise events, ensuring the city is always in the best possible shape to welcome all visitors taking part in the governorate's events.

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